FPT CORPORATION [HSX: FPT]

AI? Why not BUY?

GISC Sector: Information Technology
GISC Industry: IT Services
Buying price (closing price): VND63,000
As of July 28th 2026

BUY

▲52% UPSIDE

12M Target: VND95,789

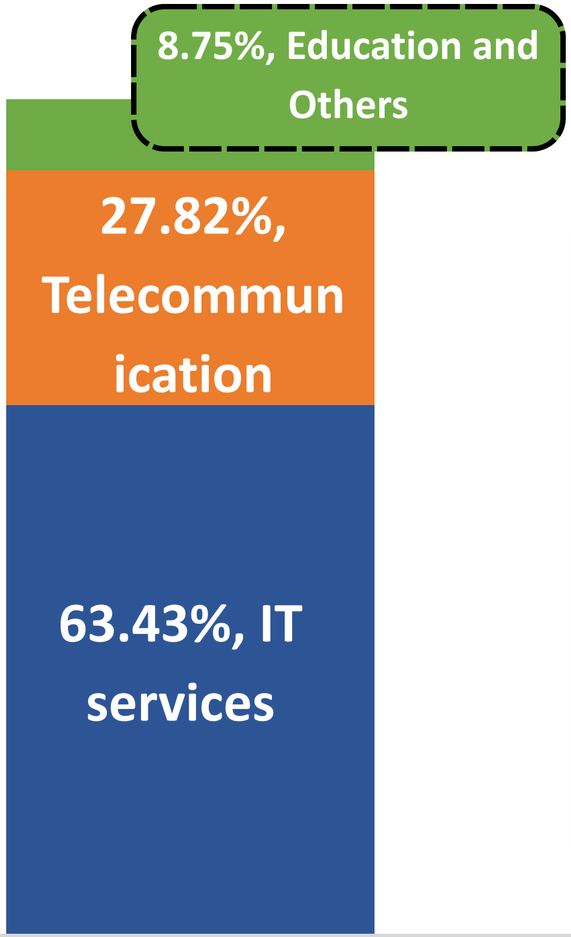
OVERVIEW

EXECUTIVE SUMMARY

We recommend a **BUY** on FPT, as its **strong Japan presence**, cost edge, and AIX capabilities far outweigh market fears of **a cyclical IT slowdown.**

THESIS 1	**Beyond Coding: AI Moves FPT Up the Value Chain**
THESIS 2	**Japan - where FPT Has the Clearest Path to AIX Growth**
THESIS 3	**Lower Cost, Higher Output**
THESIS 4	**A Cyclical Slowdown Priced as Structural Decline**

BUSINESS DESCRIPTION
Global IT services drives FPT's main revenue & profit



FPT's 2025 Revenue Structure

Education & Investment

Fpt University

5 universities, 12 vocational colleges and 18 K-12 schools

Telecommunication

FPT Play

Ads

FPT Smart Home

IT Services

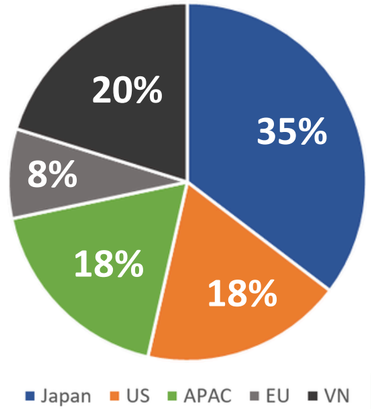
FPT Software — **Software Development**

FPT Smart Cloud — **Cloud Computing**

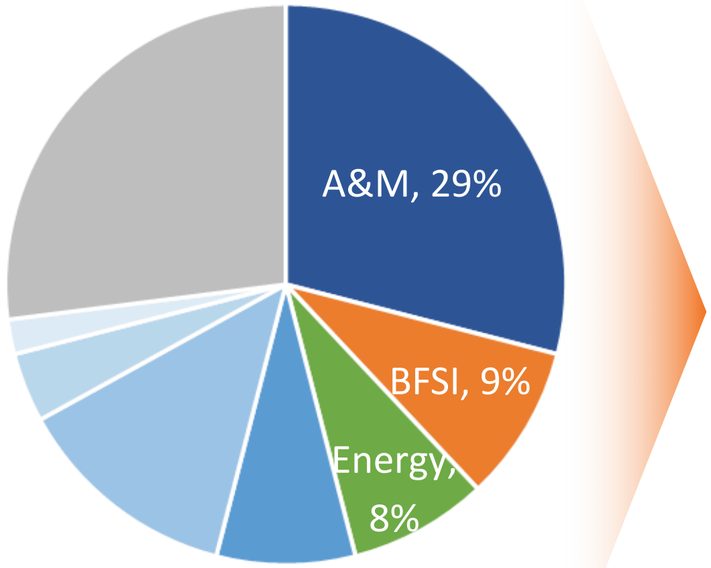
FPT IS — **System Integration**

FPT Digital — **DX Consulting**

2025 IT Services Revenue Breakdown by Market



Global IT services drives FPT's main revenue & profit



Automotive & Manufacturing

HONDA · HYUNDAI TC MOTOR · VINFAST

BFSI

SCSK · PRUDENTIAL · Shinhan Finance

Energy

e·on · PETRONAS · TEPCO

Global IT Services Revenue Breakdown by Industry (2025)

SYNNEX FPT — Ownership rate: **48%**

Fpt Retail — Ownership rate: **46.54%**

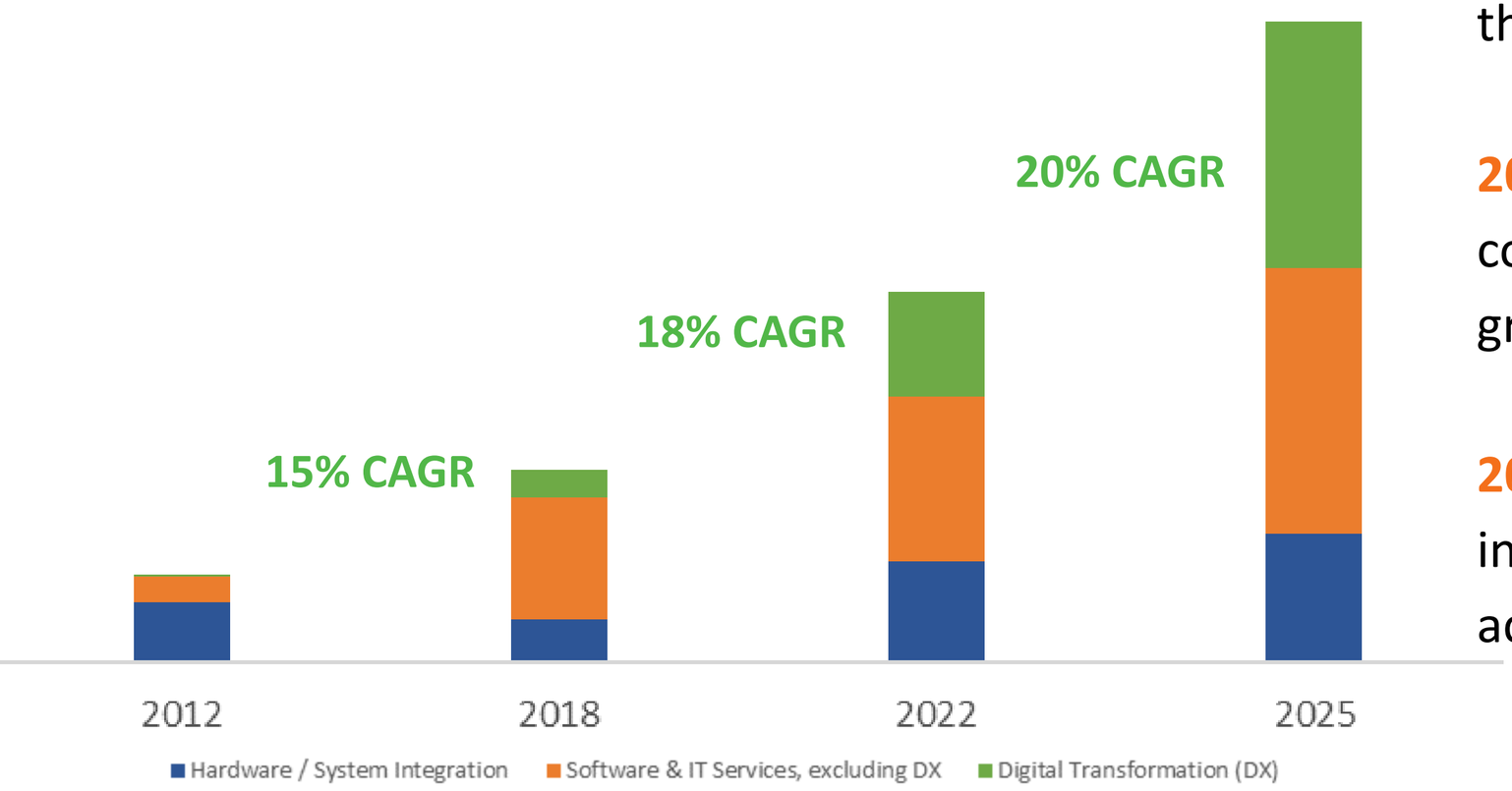
From 01/01/2026, FOX is no longer a subsidiary of FPT, so its revenue will no longer be consolidated.

FPT Telecom — Ownership rate: **45.66%**

Associated Companies

COMPANY STRATEGY

Historically, FPT has moved up the technology value chain - from traditional outsourcing to long-term system operations



2012-2018: IT outsourcing wave from Japan, the U.S. and other developed markets.

2018-2022: Digital transformation, cloud computing and big data emerged as new growth drivers.

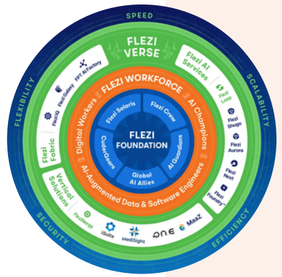
2022-2025: Generative AI and digital infrastructure; post-COVID-19 DX demand accelerated.

COMPANY STRATEGY

"AI First" Strategy

Monetize

FleziPT, FPT AI & AI agents across multiple layers



AI Factory

enables higher-value services and proprietary solutions.

TOP 500 CERTIFICATE
The List.
FPT AI Factory Japan - HGX H200, Xeon Platinum 8558 48C 2.1GHz, NVIDIA H200 SXM5 141 GB, Infiniband NDR400, Ubuntu 22.04.5 LTS
FPT AI Factory Japan, Japan
is ranked
No. 36
among the World's TOP500 Supercomputers
with 69.35 PFlop/s Linpack Performance
in the 65th TOP500 List published at the ISC2025
Conference on June 14, 2025.
Congratulations from the TOP500 Editors
Erich Strohmaier NERSC/Berkeley Lab
Jack Dongarra University of Tennessee
Horst Simon NERSC/Berkeley Lab
Martin Meuer Prometeus

TOP 500 CERTIFICATE
The List.
FPT AI Factory Vietnam - ASUS H6X H100, Xeon Platinum 8462Y+ 32C 2.8GHz, NVIDIA H100 SXM5 80GB, Infiniband NDR400, Ubuntu 22.04.5 LTS
FPT AI Factory Vietnam, Vietnam
is ranked
No. 38
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OWN IP, PRODUCTS & PLATFORMS

Proprietary software, platforms, AI models/agents and accelerators.

ADVISE & TRANSFORM

Technology strategy, architecture, transformation and governance.

ENGINEER & MODERNIZE

Product R&D, cloud/data/AI engineering and modernization.

IMPLEMENT & INTEGRATE

Solution deployment, customization and system integration.

RUN & OPTIMIZE

Managed applications, infrastructure, AI operations and support.

Technology service value chain

Higher layers typically capture greater value added

FPT's strategy is quite similar to...

TCS — Infrastructure-to-intelligence

Tech Mahindra — sovereign AI

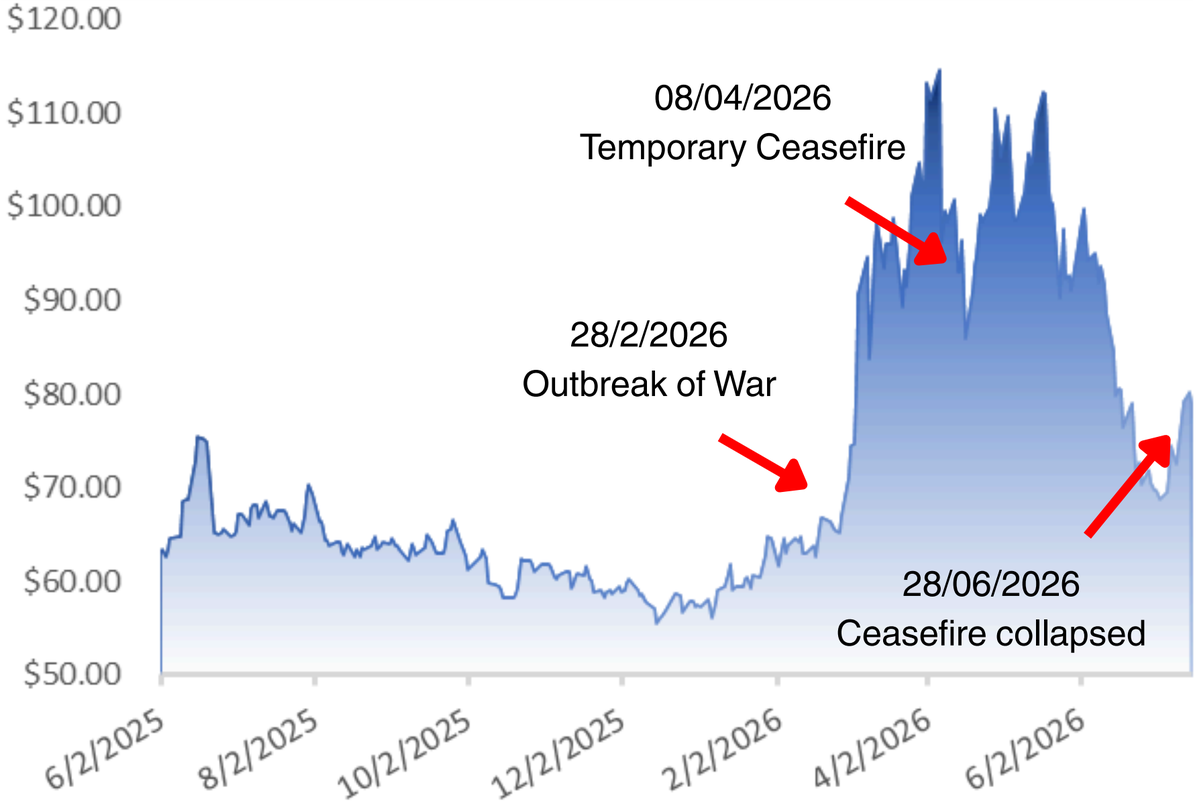
While other peers' asset-light strategies

Concentrate on consulting, AI platforms and delivery automation while relying largely on third-party infrastructure

MACROECONOMICS OVERVIEW

Given its predominantly international revenue base, FPT is exposed to both domestic and global macroeconomic conditions.

WTI Crude Oil Prices since mid 2025 (17/7/2026)



Because of the Middle East war...

Global WTI crude oil prices

$60
(per barrel)
Before the war

→

$117
(per barrel)
April 2026

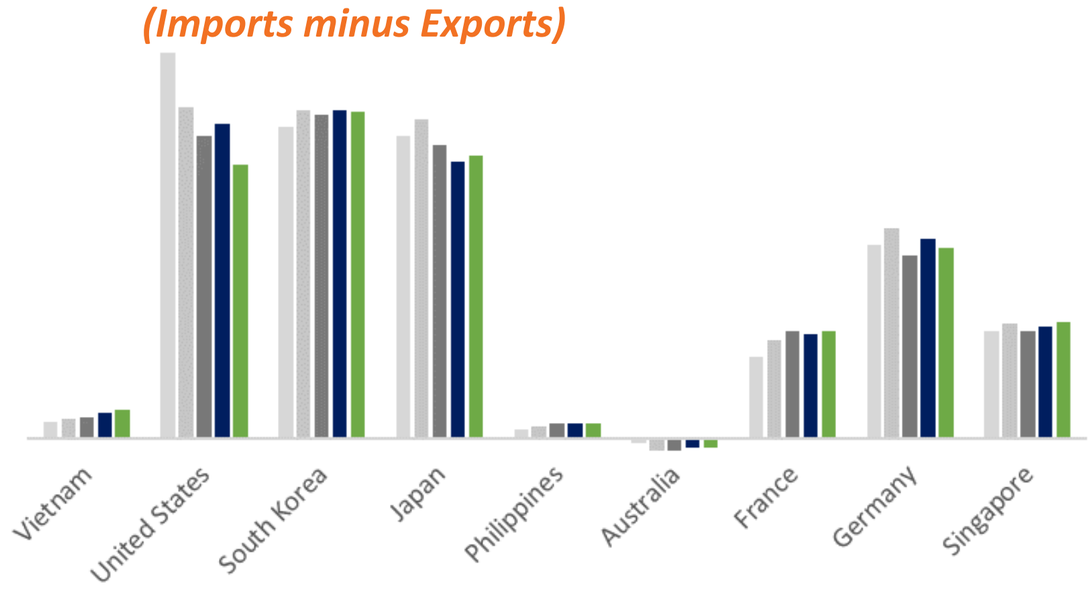
Although June 2026 ceasefire temporarily reduced oil prices (~125% vs. Feb). Early July collapse re-triggered price hikes, escalating energy and logistics cost pressures.

MACROECONOMICS OVERVIEW

The increase in oil prices affects FPT through two key transmission channels:

[1] Enterprise Technology Budgets: More competitive environment but more growth!

Crude oil balance of trade 2021-2025



Source: Ener data, Team's analysis

Deloitte's Q1 2026 CFO Signals survey shows that:

52% of CFOs identify cost management and supply-chain disruption as their joint top concerns.

52% are reallocating operating expenditure, **46%** are redirecting capital expenditure

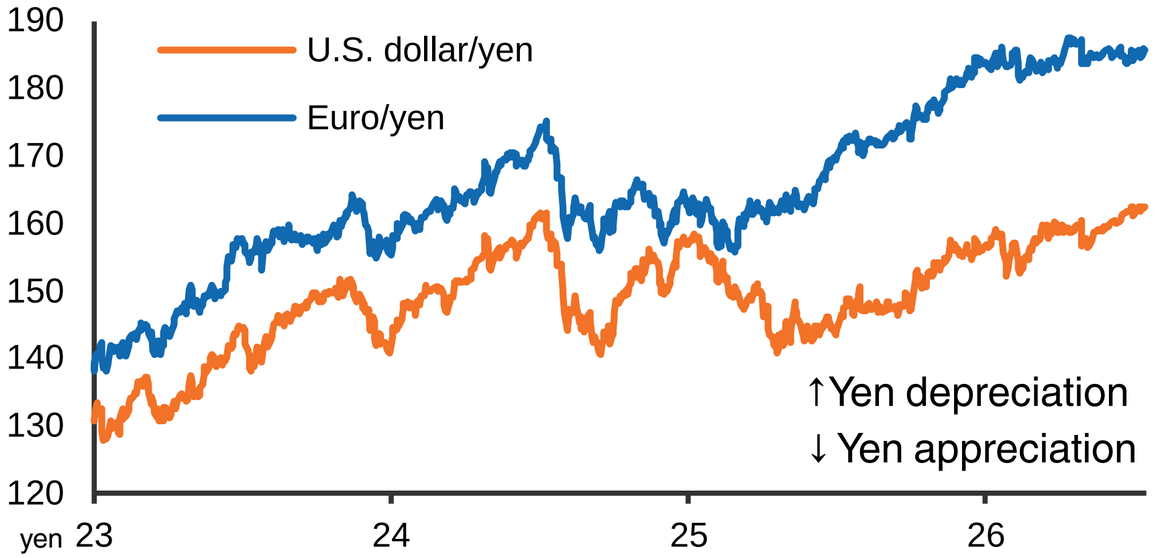
53% view automation and technology upgrades as the most effective non-layoff cost-control lever.

MACROECONOMICS OVERVIEW

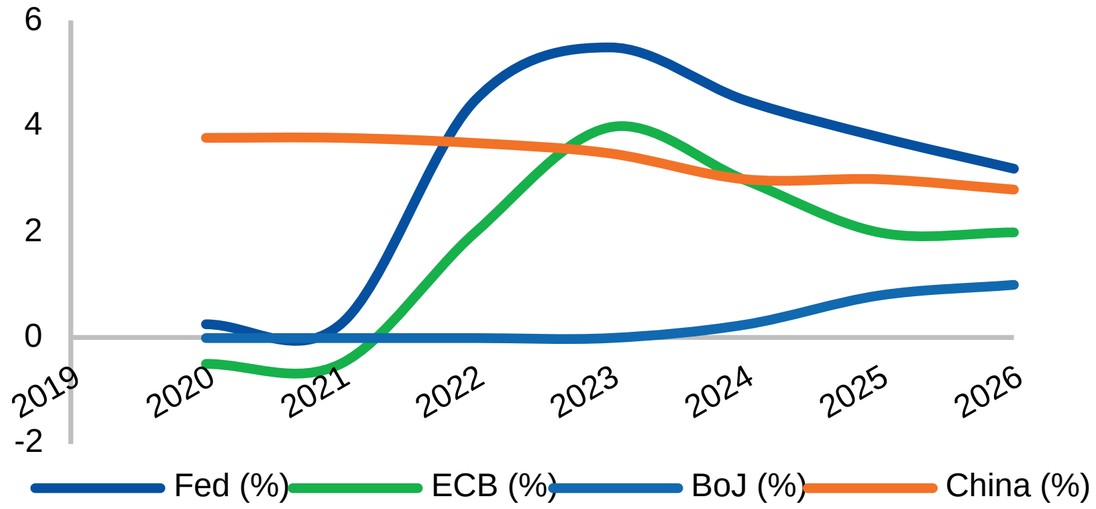
The increase in oil prices affects FPT through two key transmission channels:

[2] Foreign Exchange: weaker local currencies reduce the value of international revenue when converted into VND

JPY continue to depreciating



A higher-for-longer interest rate environment to contain cost-push inflation



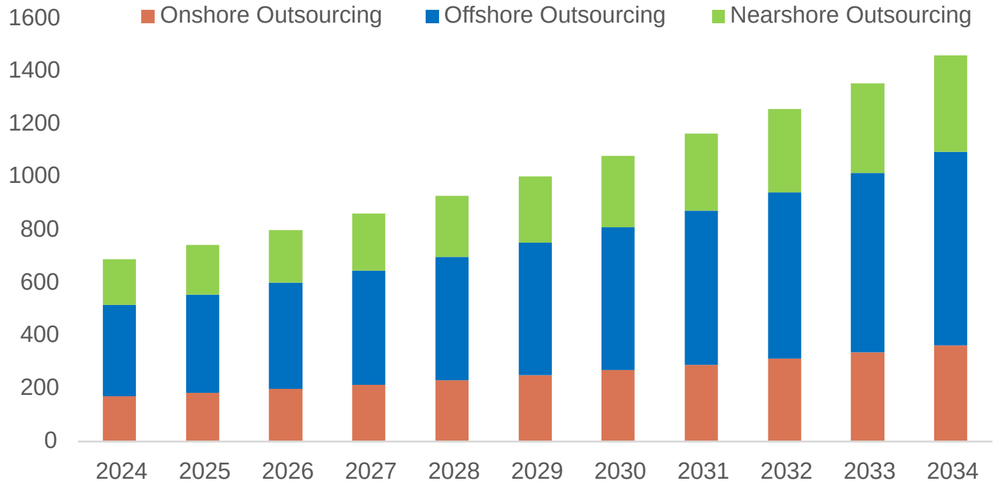
THESIS 1

Beyond Coding: AI Moves FPT Up the Value Chain

BEYOND CODING: AI MOVES FPT UP THE VALUE CHAIN

We believe FPT is one of the few mid-tier IT service providers capable of capturing a disproportionate share of enterprise AI spending

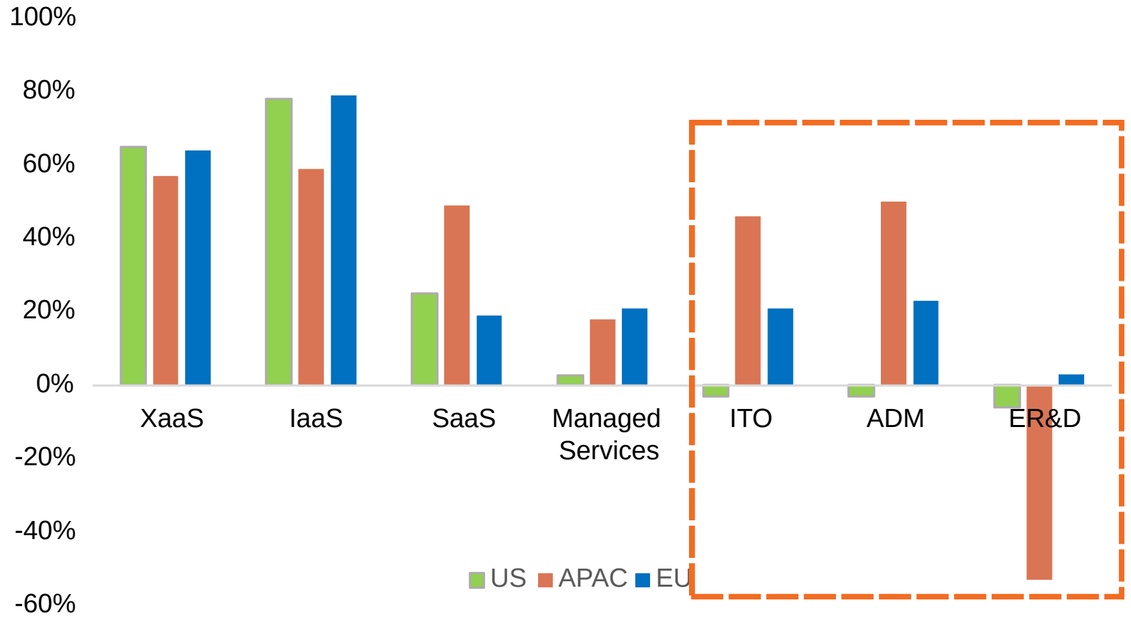
Market.us projects global IT outsourcing with a 7.78% CAGR (2025–2034), more than Mordor Intelligence's 3.32% (2026–2031).



- **Mordor Intelligence**: traditional IT services with GenAI's price-deflationary pressure.
- **Market.us** includes high-growth cloud, AI, and consulting services.

But they tell the same story:

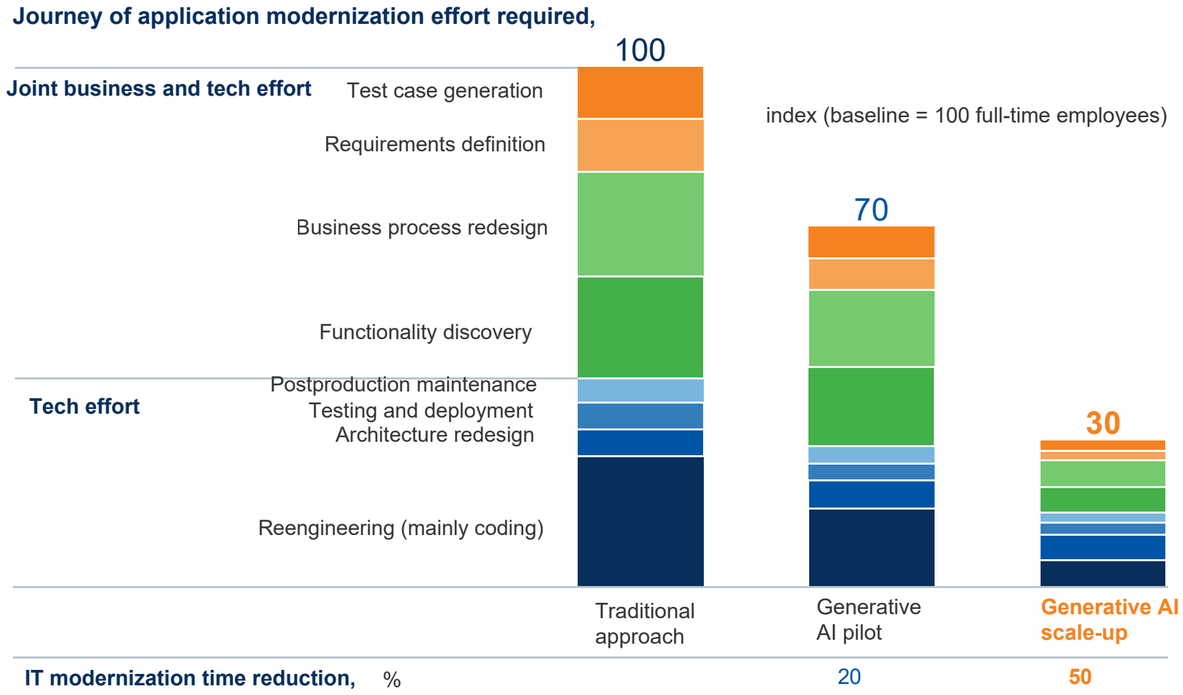
AI shifts IT spend from traditional outsourcing to AI, cloud, and managed services.



BEYOND CODING: AI MOVES FPT UP THE VALUE CHAIN

While AI disrupts the traditional model (Headcount × Worked Hours × Rate)...

As companies scale their generative AI agents, speed and productivity for IT modernization increase

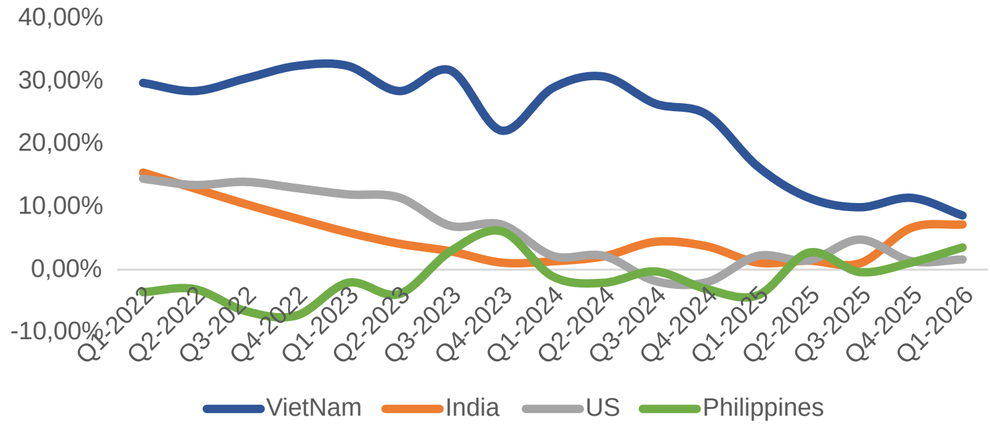


Source: McKinsey LegacyX experience implementing IT modernization efforts with generative AI

According to Bloomberg and Accenture, average hourly outsourcing fees in several regions have declined:

US	ASIA	EUROPE
Stable	7.9%	4.4%

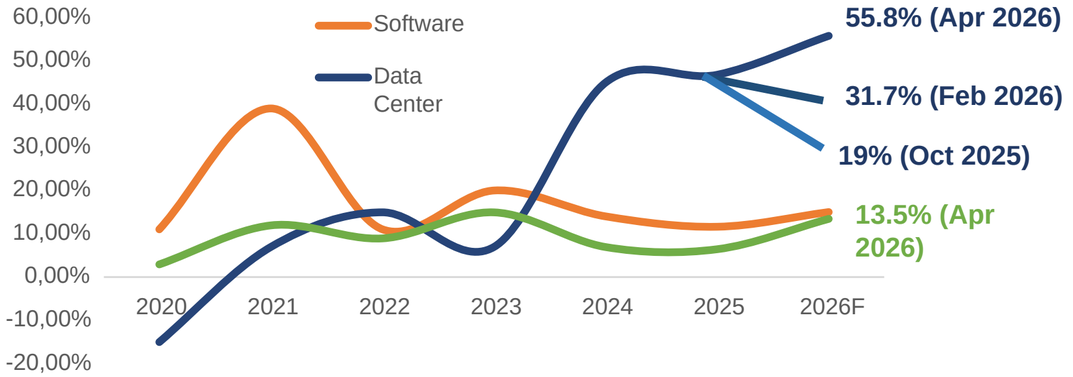
As a result, revenue growth for big outsourcing firms has slowed down over the years



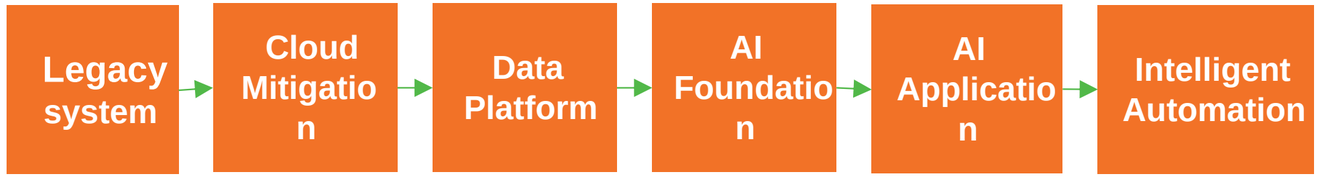
BEYOND CODING: AI MOVES FPT UP THE VALUE CHAIN

…., it unlocks new, higher-value service offerings (consulting, data engineering & system integration)

Despite macro headwinds, Gartner upwardly revised its global IT spending growth - even amid Middle East geopolitical tensions.



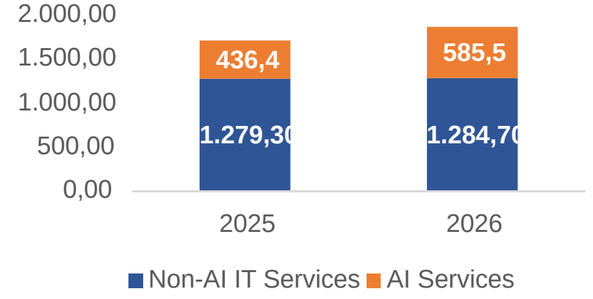
Enterprise AI shifts the bottleneck from software development to end-to-end transformation.



Consequently, **44%** of current DX contracts already include AI & automation.

While coding becomes easier and cheaper, enterprise software does not become the same.

AI services account for most of the incremental growth in IT services spending.



Capture Cloud/Data demand in key markets.

Secure a resilient growth foundation.

Liu et al (2026)

More than 15% of 304,000 AI-generated commits introduced at least one issue, while 24.2% remained unresolved.

Dell Technologies (2026)

Enterprise AI spending grew by ~320% despite that token prices dropped by 80% from 2023 to 2026,

BEYOND CODING: AI MOVES FPT UP THE VALUE CHAIN

…., it unlocks new, higher-value service offerings (consulting, data engineering & system integration)

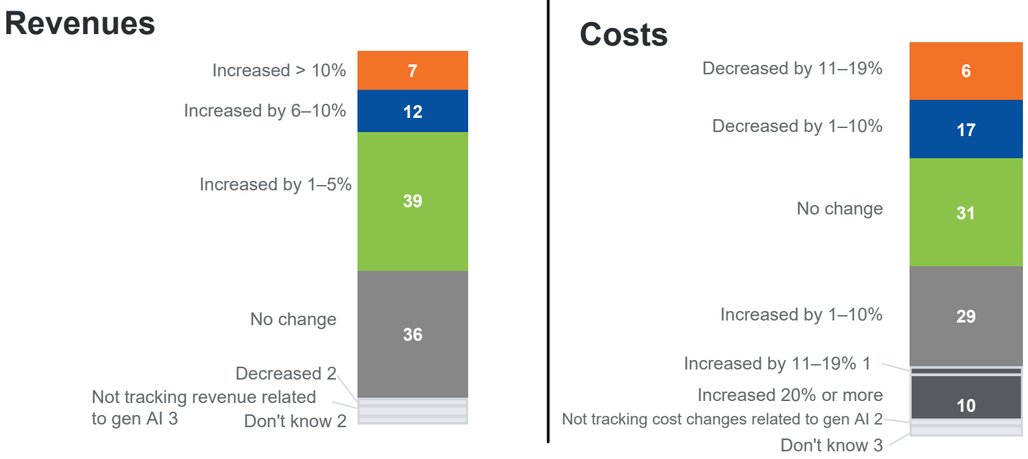
Shallow integration has led CFOs to demand proven ROI and cut unviable projects.

Most enterprises remain in early or pilot stages.

Therefore, this lack of deployment maturity is directly reflected in the financial outcomes:

Gen AI has not yet delivered significant return on investment for enterprises.

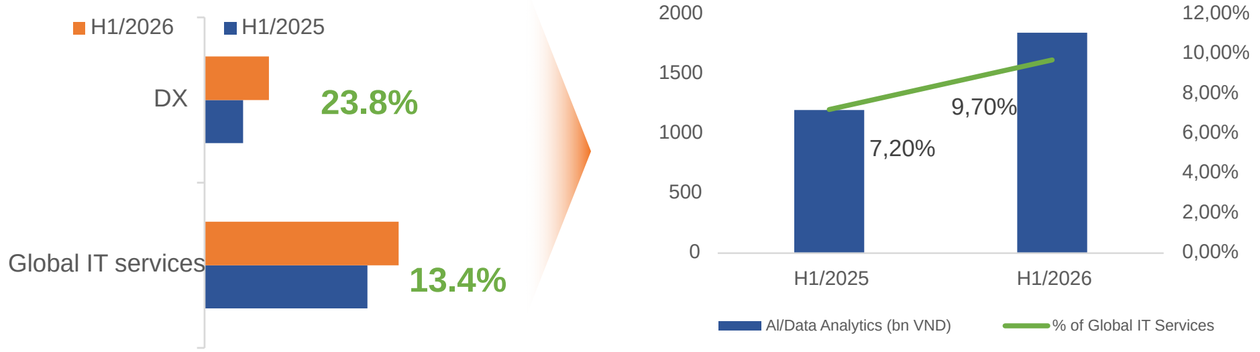
US C-suite's perception on how gen AI has affected revenues and costs, % of respondents



source: McKinsey

Unlike a company that only offers chatbots or outsources AI coding talent, FPT has the end-to-end capability:

And the shift is actually happening:

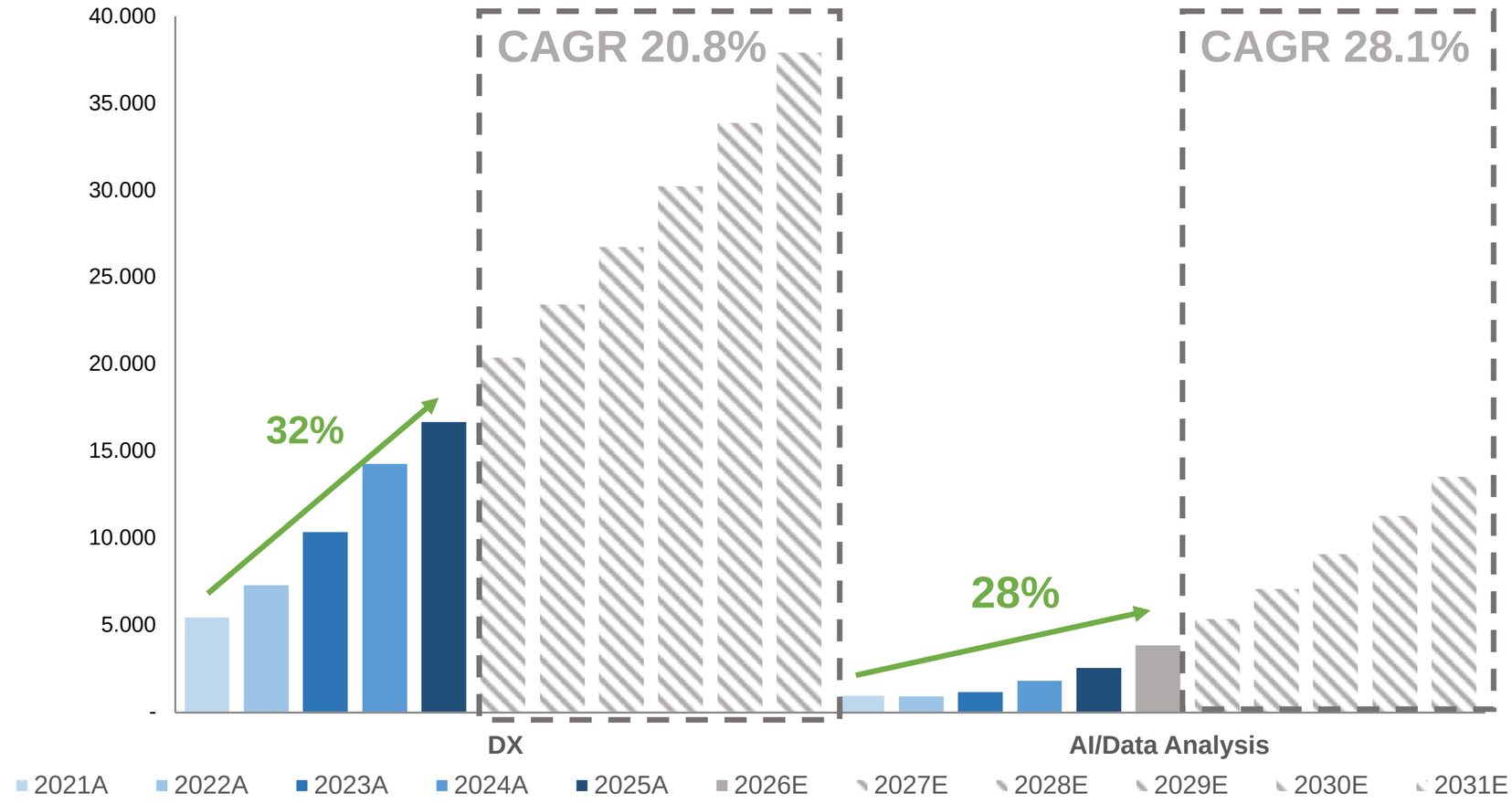


AI/Data Analytics generated **~29%** of Global IT Services' incremental revenue, despite accounting for only **9.7%** of segment revenue in H1/2026.

BEYOND CODING: AI MOVES FPT UP THE VALUE CHAIN

AI is shifting FPT's growth engine.

FPT's AIX revenue by service line



THESIS 2

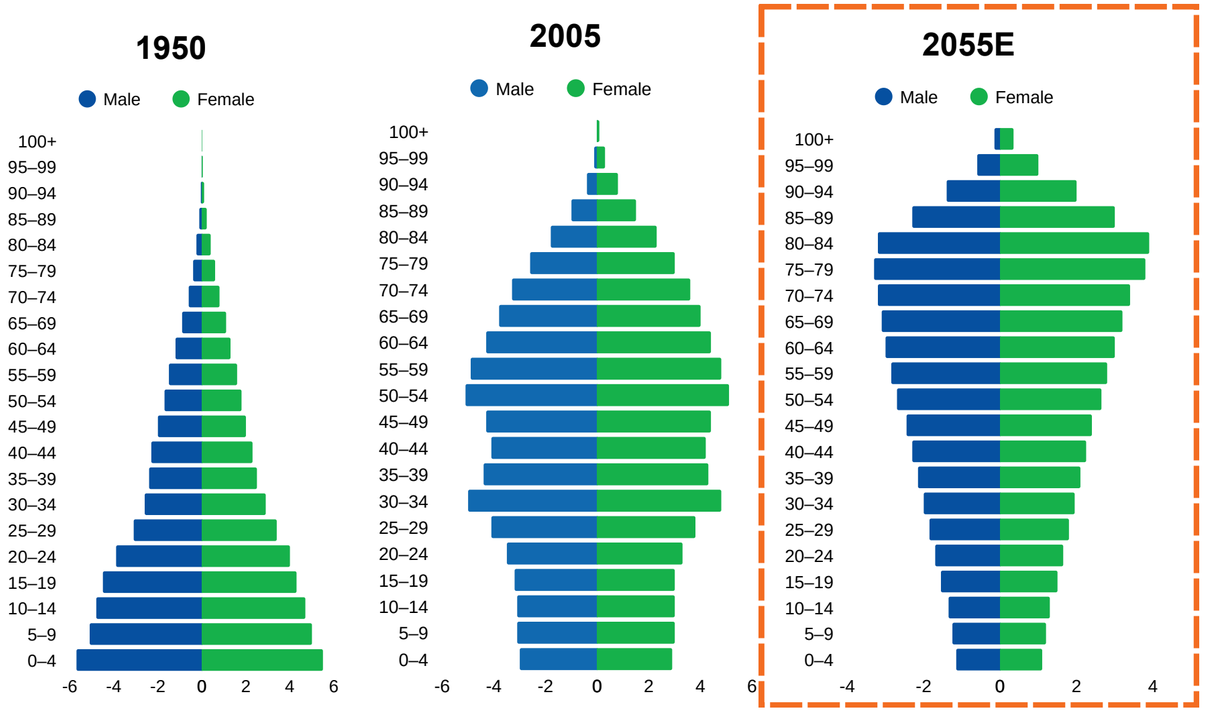
Japan - where FPT Has the Clearest Path to AIX Growth

JAPAN - WHERE FPT HAS THE CLEAREST PATH TO AIX GROWTH

Legacy Dependence And Demographics Make Modernization A Structural Need

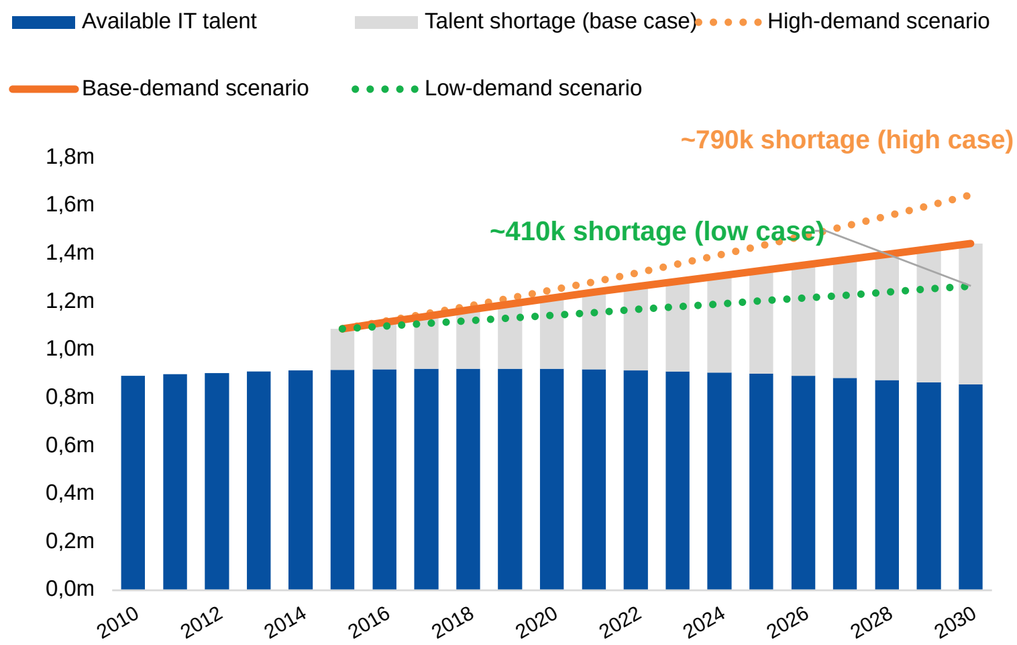
[1] Aging population and IT labor shortage

Japan continues to experience demographic aging



Source: Japan's National Institute of Population and Social Security Research

The market-wide IT-worker shortfall is projected to approaches 0.79mn by 2030.

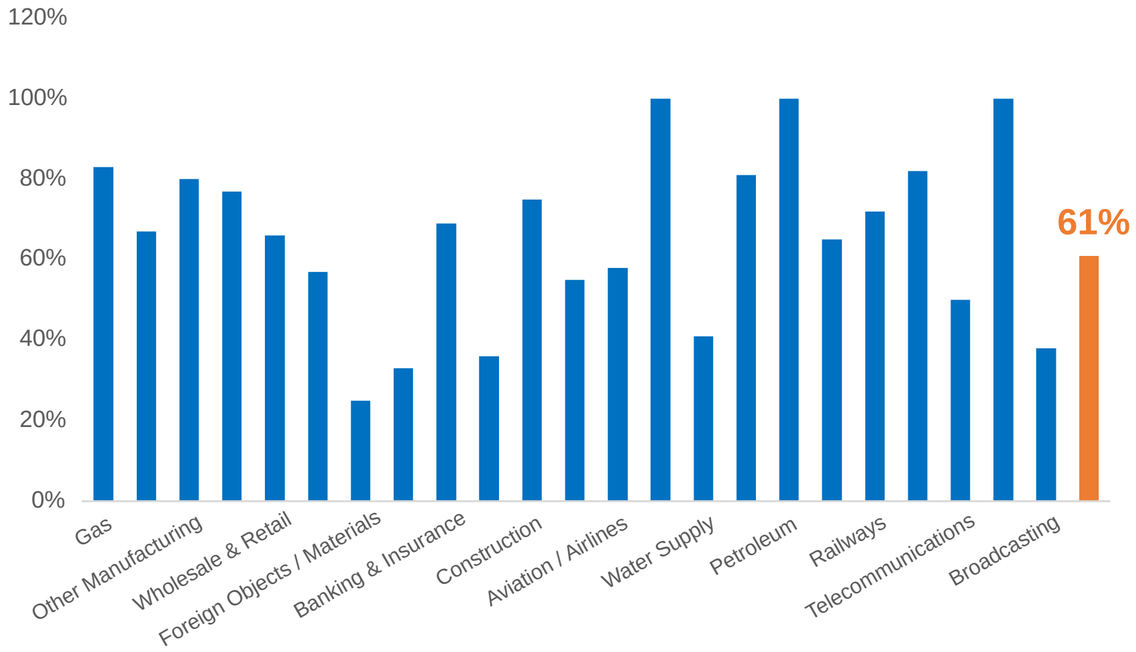


JAPAN - WHERE FPT HAS THE CLEAREST PATH TO AIX GROWTH

Legacy Dependence And Demographics Make Modernization A Structural Need

[2] Continued reliance on legacy systems

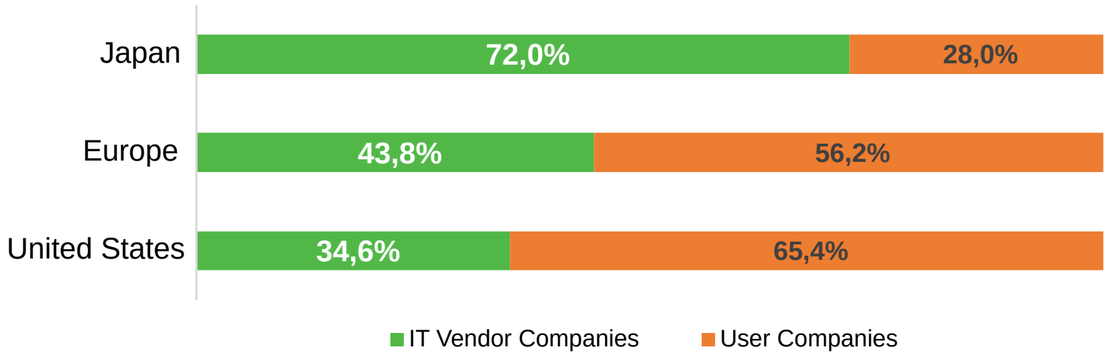
Legacy systems persist at 61% of Japanese firms, rising to 74% among large enterprises.



Japan's legacy system usage remains high, exceeding **60%** across multiple industries

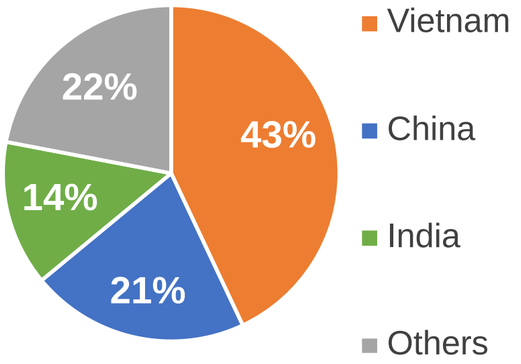
[3] Vendor lock-in and high switching costs

ICT Employees at IT Vendor vs. User Companies



Offshore Development Orders by Country

Vendor reliance slows GenAI adoption among Japanese firms versus OECD peers.



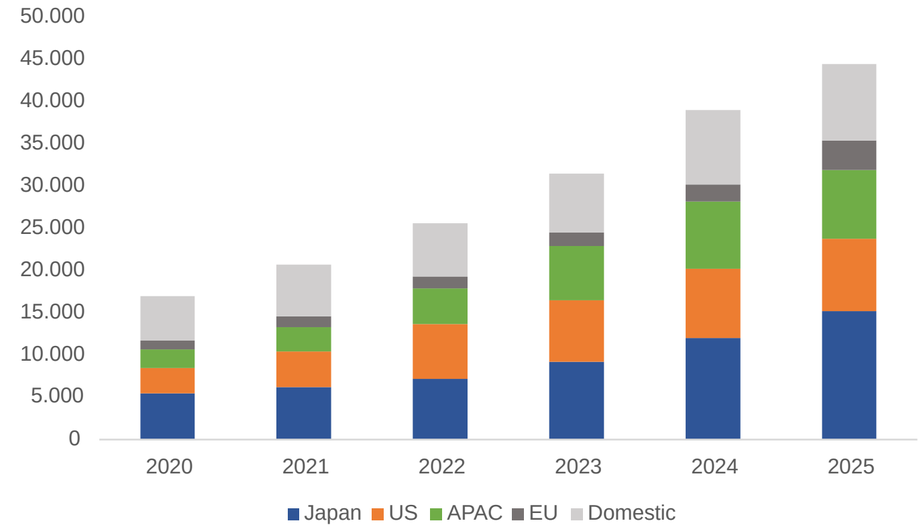
JAPAN - WHERE FPT HAS THE CLEAREST PATH TO AIX GROWTH

Despite Japan's high barriers to entry, FPT has gradually established a local presence

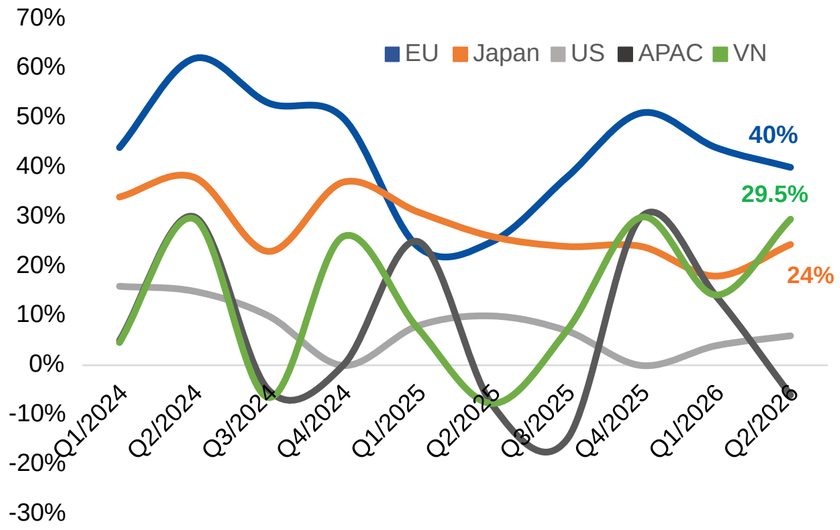
Japan Has Consistently Accounted for the Largest Share of IT Services Revenue.

17	450+	15000	4000+	20
Offices & Innovation Hubs in Japan	Clients	Offshore Engineers Dedicated to Japan	Onsite employees	Years of Operations

IT Services Revenue Breakdown



Japan revenue has maintained 20%+ YoY growth in recent quaters

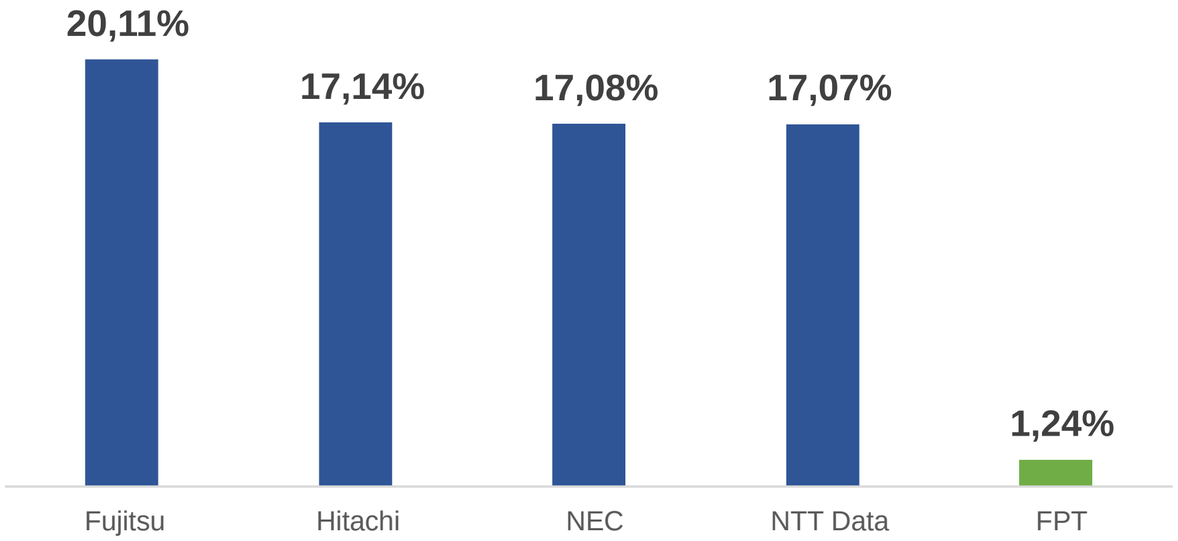


JAPAN - WHERE FPT HAS THE CLEAREST PATH TO AIX GROWTH

Despite a 20-year presence in Japan, FPT continues to lag behind domestic players in market share.

In the Japanese market (多層請負- Tasō ukeoi), domestic IT giants (Hitachi,NTT...) usually act as **prime contractors**, while FPT operates as an implementation partner or subcontractor.

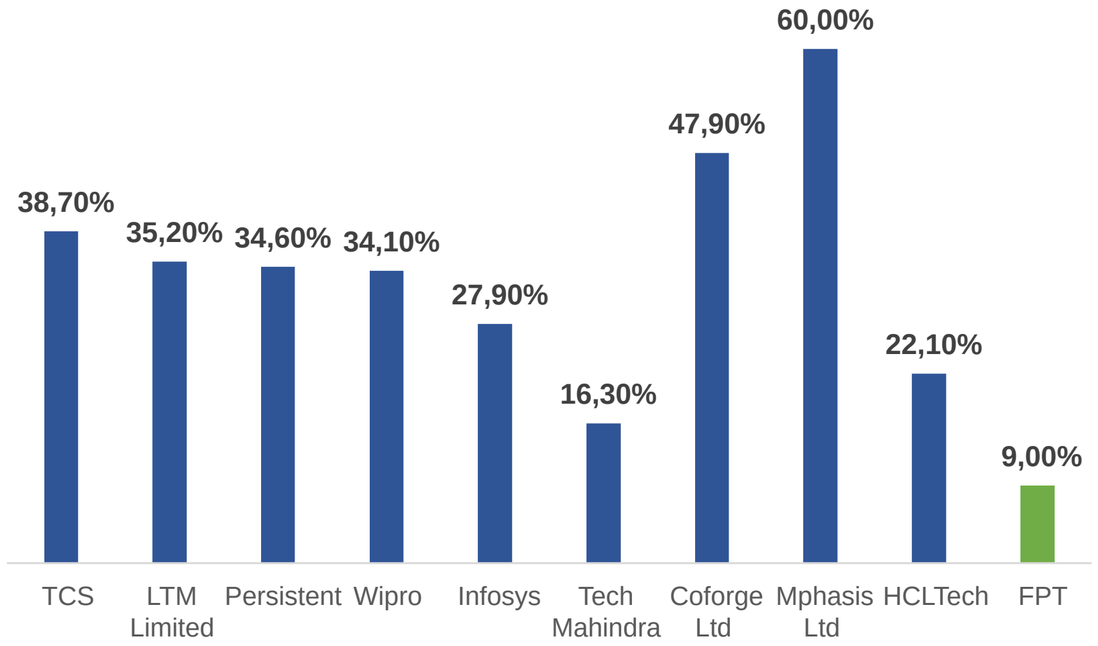
Japan IT Services Market Share (2025)



This positioning limits **FPT's bargaining power** regarding contract pricing and constrains its ability to expand market share.

The most evident can be seen in the **BFSI sector** - the segment with the highest contract values

BFSI revenue share of FPT and peers



JAPAN - WHERE FPT HAS THE CLEAREST PATH TO AIX GROWTH

The AI Factory can strengthen FPT's bidding position by combining sovereign AI infrastructure with implementation and managed services

Sumitomo Corporation — 20%
SBI Holdings — 20%
FPT — 60%

FPT AI Factory

- **FPT AI Agents**
- **FPT AI Inference**
- **FPT AI Studio**
- **FPT AI Infrastructure**

Growing Responsibility in Large-Scale DX Projects

"In Japan, FPT's clients are increasingly entrusting the company with large-scale projects worth US$30-100 million annually. These engagements require end-to-end delivery-from requirements definition and system design to implementation and post-go-live operations-with FPT taking direct responsibility for business outcomes." - *Sharing on* ***Chungta.vn***

Ms. Chu Thi Thanh Ha,
Chairwoman of FPT Software, dedicated 33 years of service to FPT Corporation

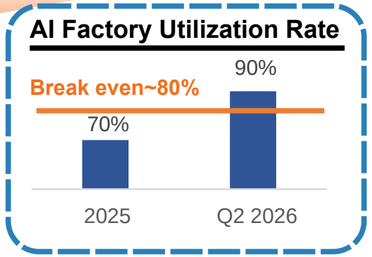
AI factory has elevated FPT from a vendor merely utilizing third-party infrastructure to a strategic partner

Japan's 総合評価落札方式 (Comprehensive Evaluation Method)
Technical criteria account for **425** of 638 points, with substantial weight assigned to **system architecture** (20 points), **model and RAG optimization** (25), **AI functionality** (80), **cost-effectiveness** (40) and **operations** (25).

Before launching AI Factories
FPT **relied** on third-party GPU infrastructure and AI platforms, **limiting** its ability to control the end-to-end AI lifecycle.

AI Factory
strengthened **FPT's technical competitiveness** and elevated it from an infrastructure user to an end-to-end AI transformation partner.

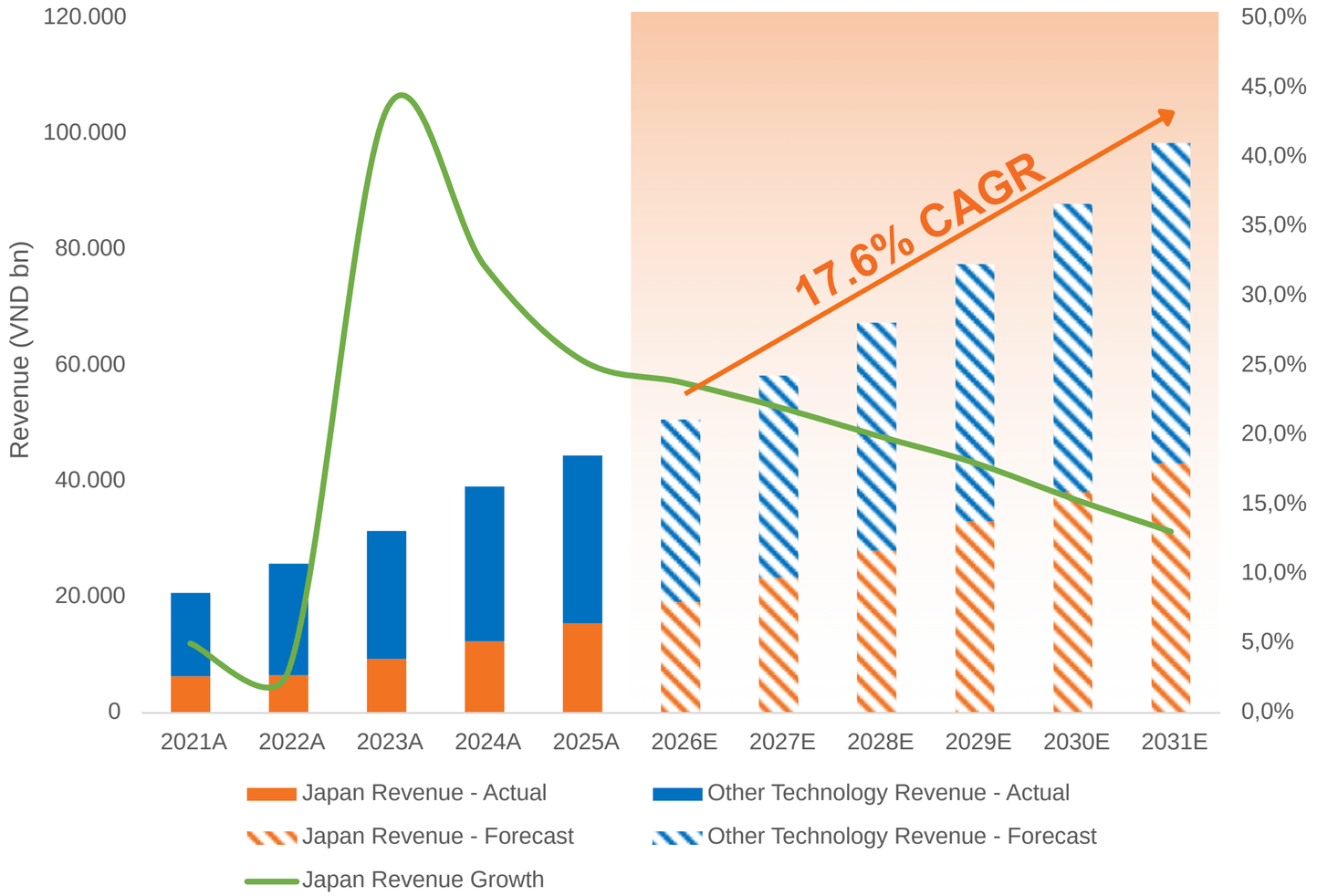
- **First USD 100 Million Project in Japan (2025)**
- **Secured 14 large-scale contracts, (>US$10 million each)**



JAPAN - WHERE FPT HAS THE CLEAREST PATH TO AIX GROWTH

From a talent-constrained market to an AI growth engine

Technology Revenue and Japan Growth (2021A–2031E)



THESIS 3

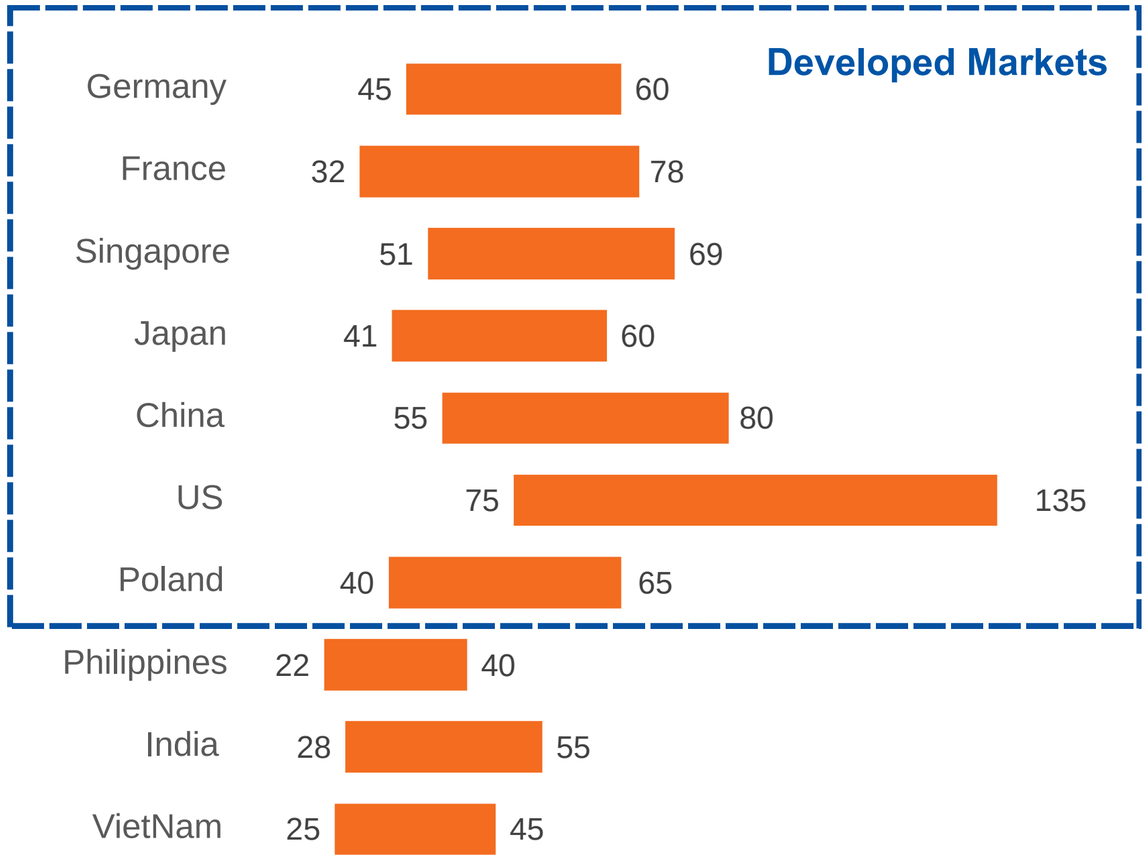
Lower Cost, Higher Output

LOWER COST, HIGHER OUTPUT

We found that AI will reinforce rather than eliminate FPT's cost competitiveness.

Vietnamese Software Engineer Salaries Remain Among the Lowest Globally

Senior engineer hourly cost by country (USD/hour)



Cost Advantage Through Hybrid Delivery

Cost advantage remains **relevant** because vendors with lower delivery costs can **combine AI-driven productivity** gains with **cheaper engineering talent**.

FPT's hybrid delivery model

combining onsite consultants with Vietnam's offshore workforce, supported by **FPT Universities**, which supply up to **25%** of its engineering talent.

Cost per outcome

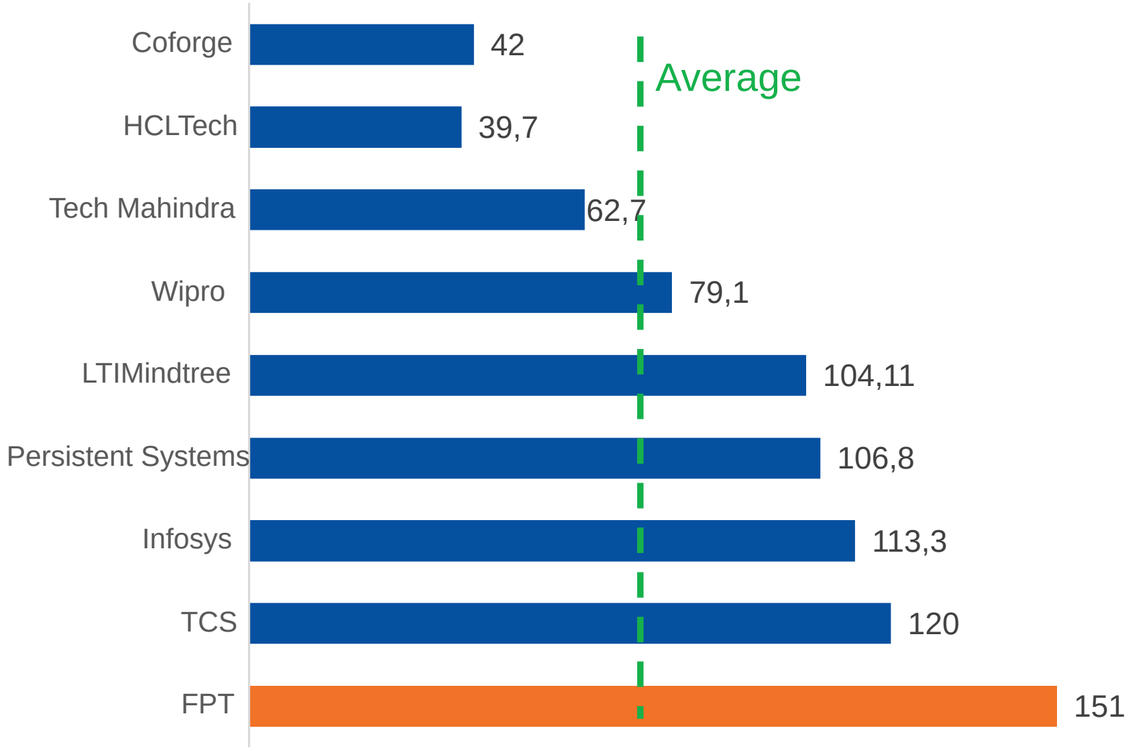
Total cost of ownership

LOWER COST, HIGHER OUTPUT

FPT Continuously Upskill To Drive Higher Productivity

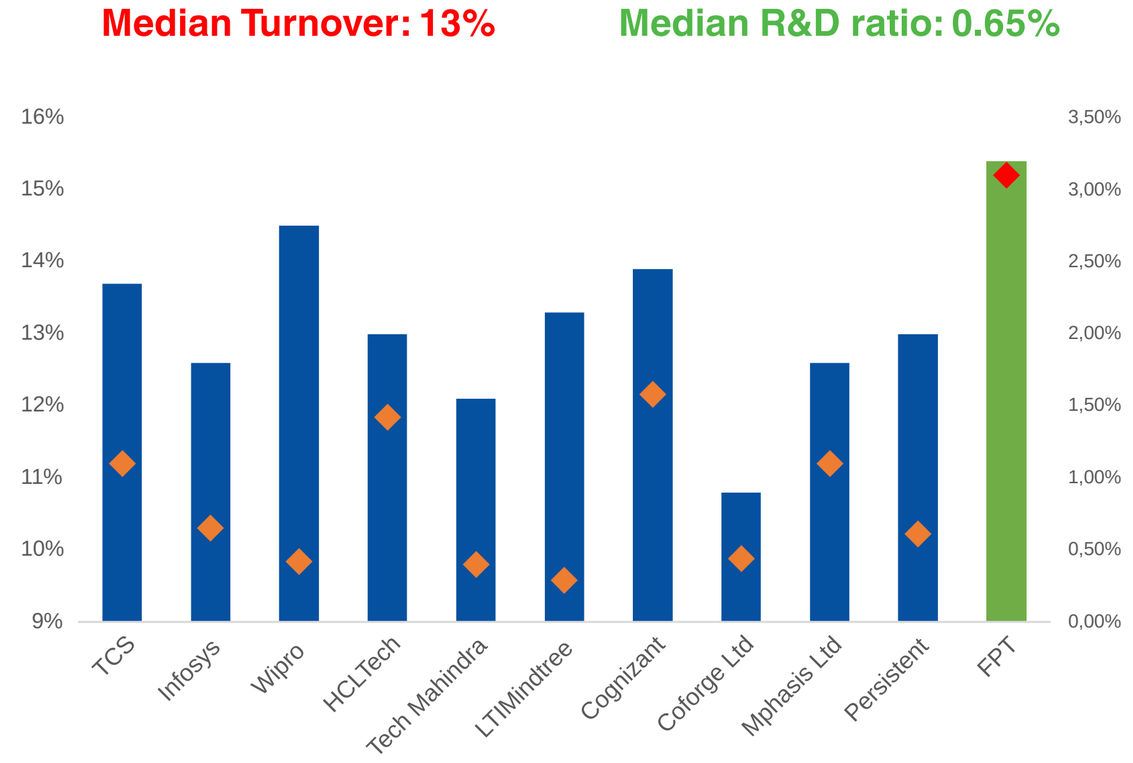
FPT Provides the Highest Training Hours per Employee Among Peers

Training hours per employee / year



FPT Leads Peers in Both R&D Intensity and Employee Turnover

Turnover rate (bars) and R&D-to-revenue ratio (dots)

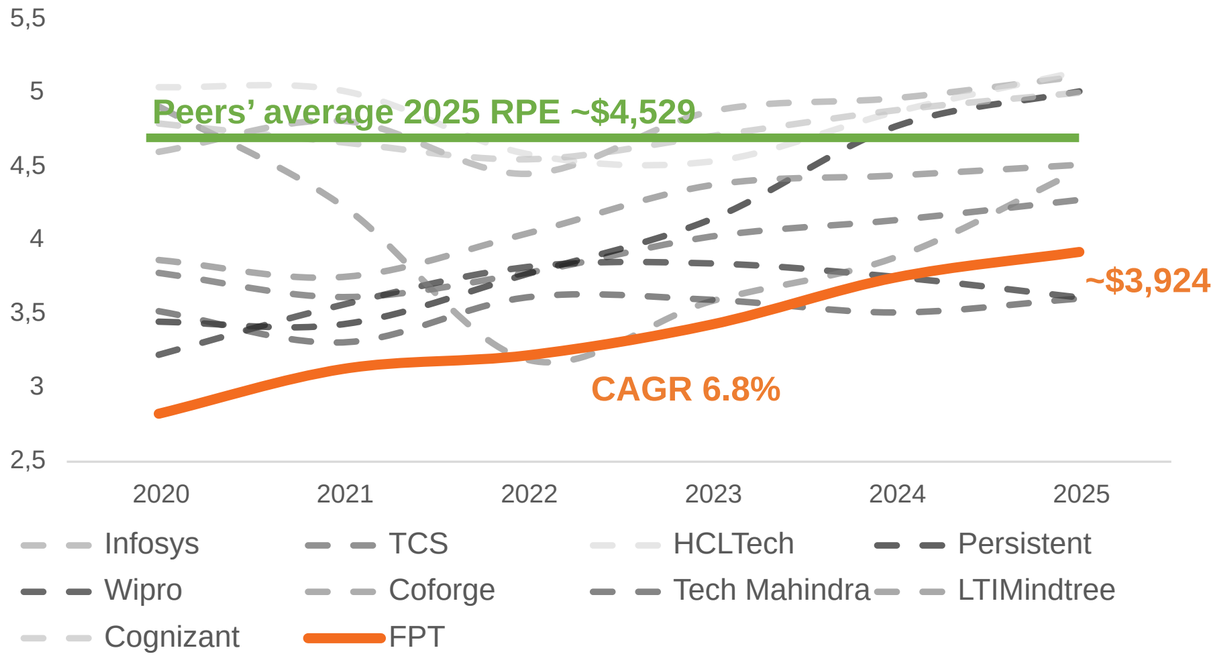


LOWER COST, HIGHER OUTPUT

FPT Achieves Faster RPE Growth Than Peers and Still Has Room to Grow

FPT Outpaces Competitors in Revenue Per Employee

RPE of FPT and peers (USD/employee/month)



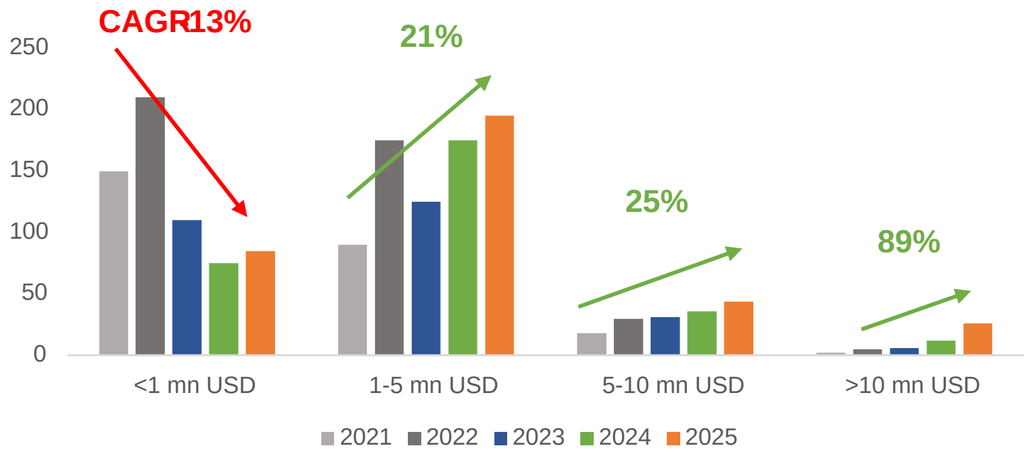
FPT's RPE grew at a **6.8% CAGR**, significantly outperforming the **2% median CAGR** of Indian peers.

Despite having lower RPE than its peers, FPT has room for growth, driven by two key catalysts.

[1] Workforce Optimization: A strategic reduction in low-tier headcount, which is being replaced by AI driven automation.

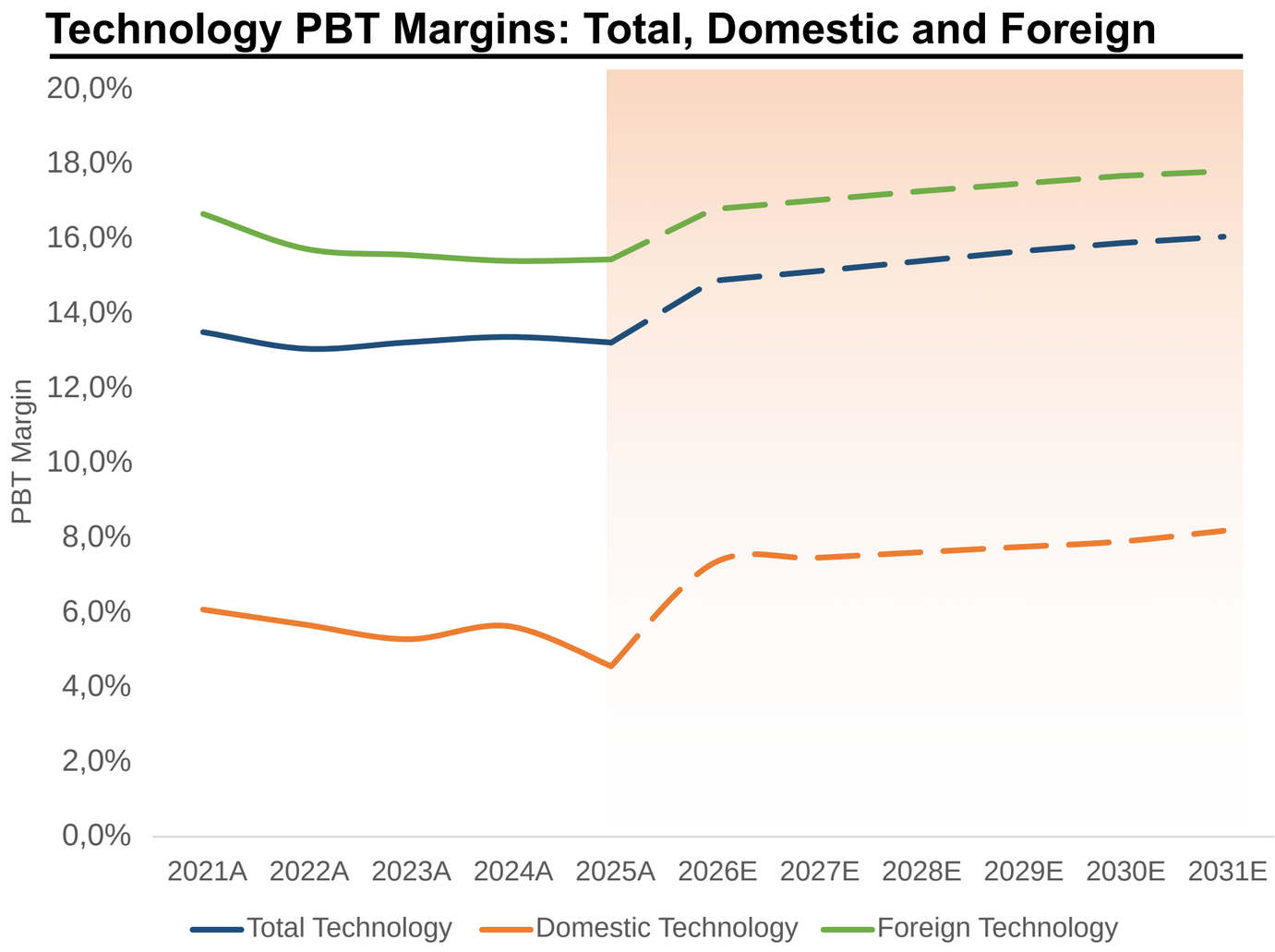
[2] Value Chain Upskilling: FPT is moving up the value chain into higher-margin segments by expanding its presence among large-scale clients with larger projects.

FPT's Deal Mix Is Gradually Shifting Toward Larger-Value Contracts (Numbers of Contracts)



LOWER COST, HIGHER OUTPUT

AI preserves FPT's cost edge while lifting productivity and expanding Technology margins



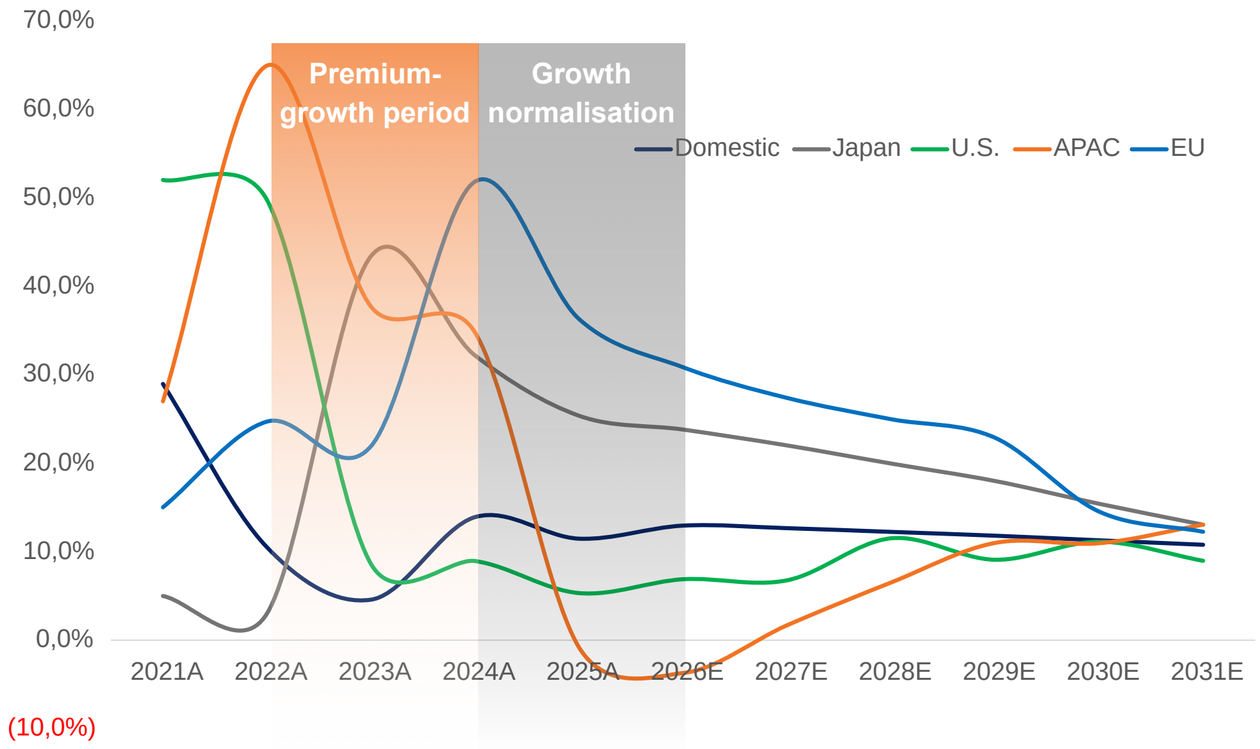
THESIS 4

A Cyclical Slowdown Priced as Structural Decline

A Cyclical Slowdown Priced as Structural Decline

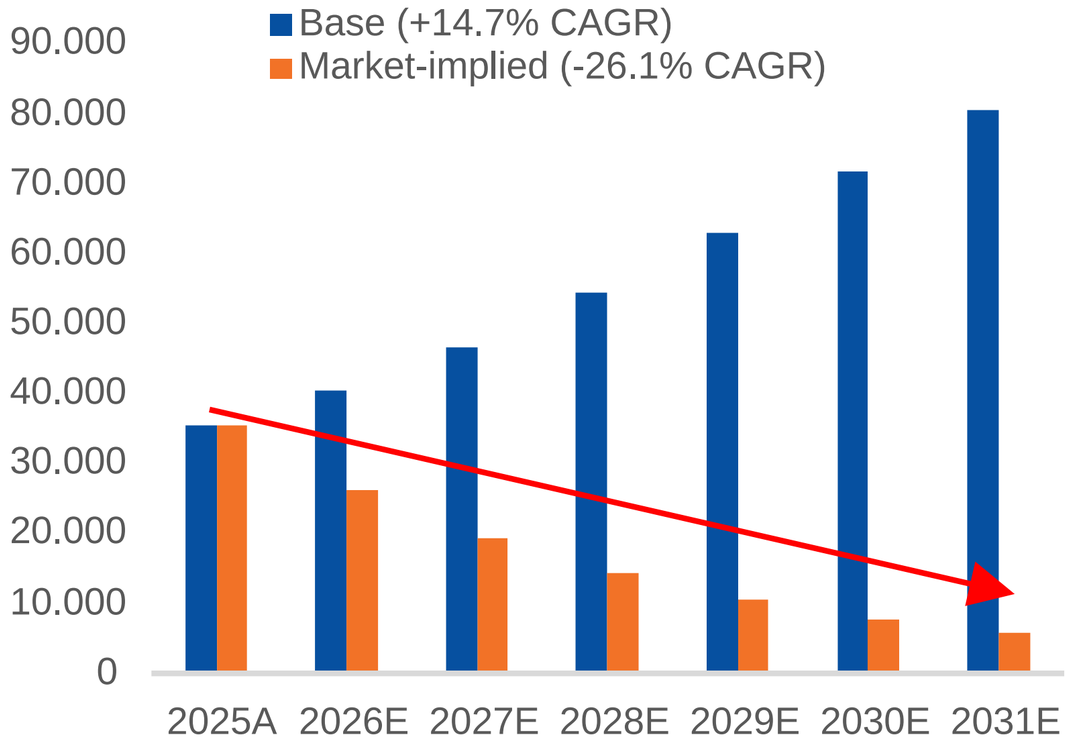
Fundamentals slowed, but the price implies collapse

Growth moderated, but did not break



Slower growth justifies de-rating, but resilient earnings and bookings limit the downside.

Current price implies structural contraction, not normalisation

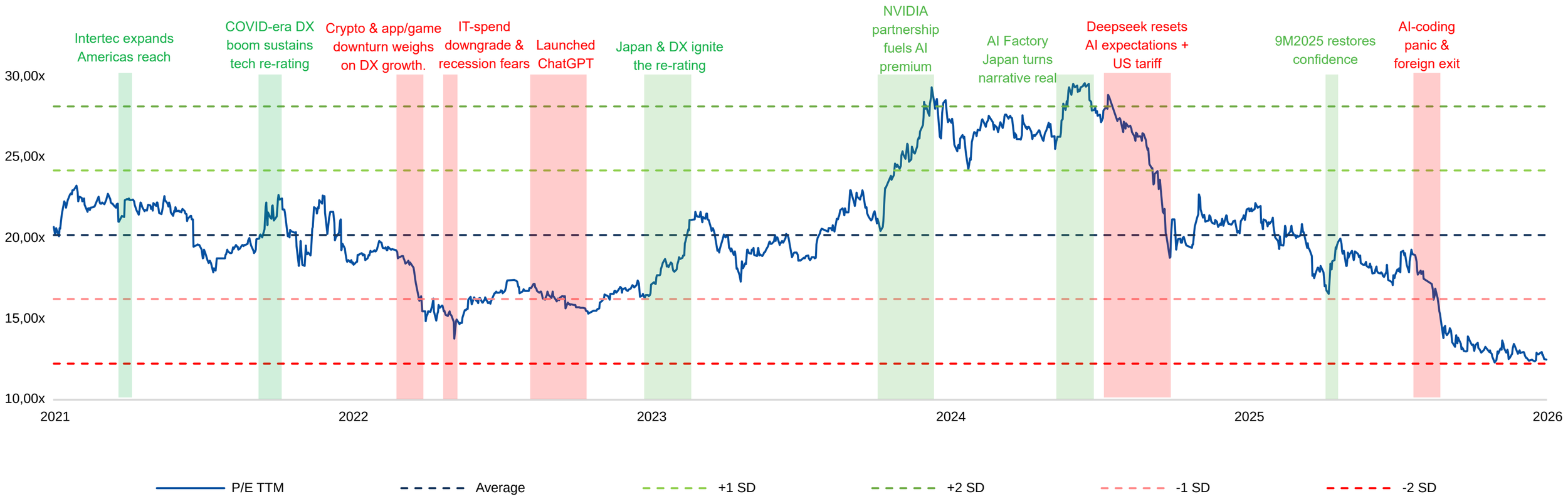


At VND66,600/share, market implies ~84% decline in Foreign IT revenue by 2031.

A Cyclical Slowdown Priced as Structural Decline

FPT's P/E swung from a digital-growth premium to an AI-disruption discount.

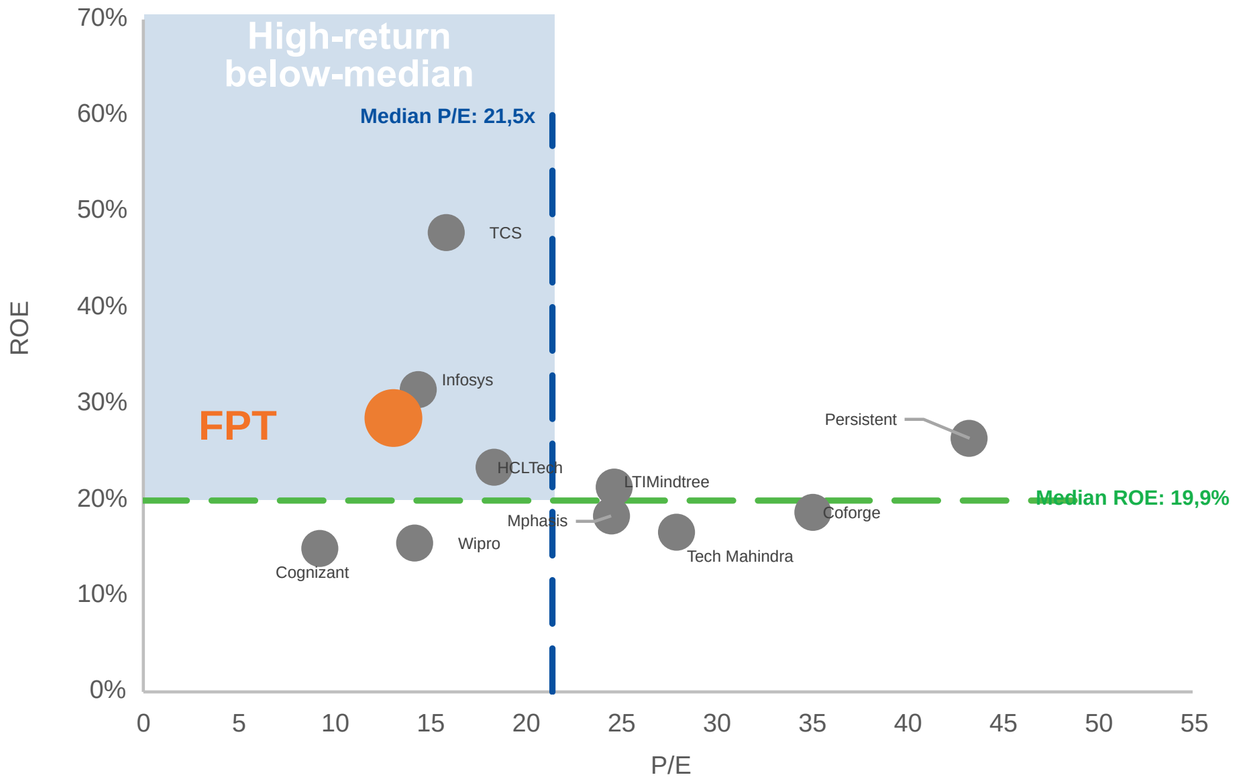
Valuation at a discount to historical levels



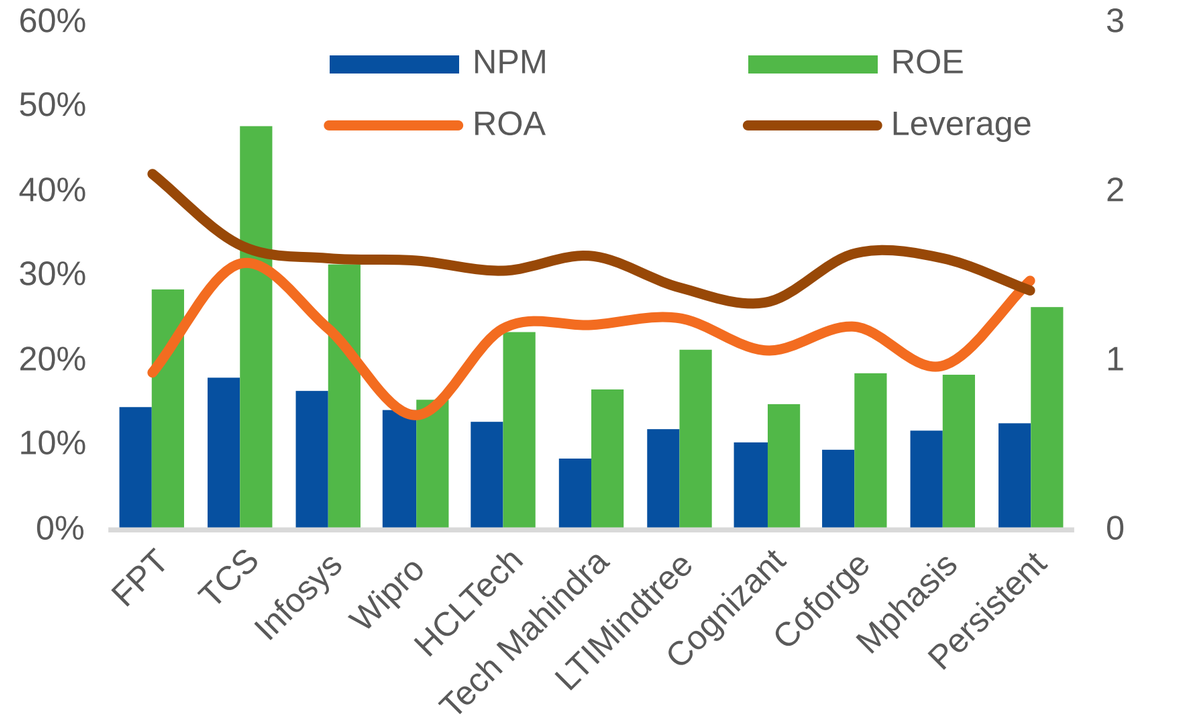
A Cyclical Slowdown Priced as Structural Decline

FPT's valuation gap has outgrown its quality gap.

P/E versus ROE scatter



Solid margins compared with peers



Solid ROE supports re-rating, while 16.1x/12.0x targets remain below the 21.5x peer anchor.

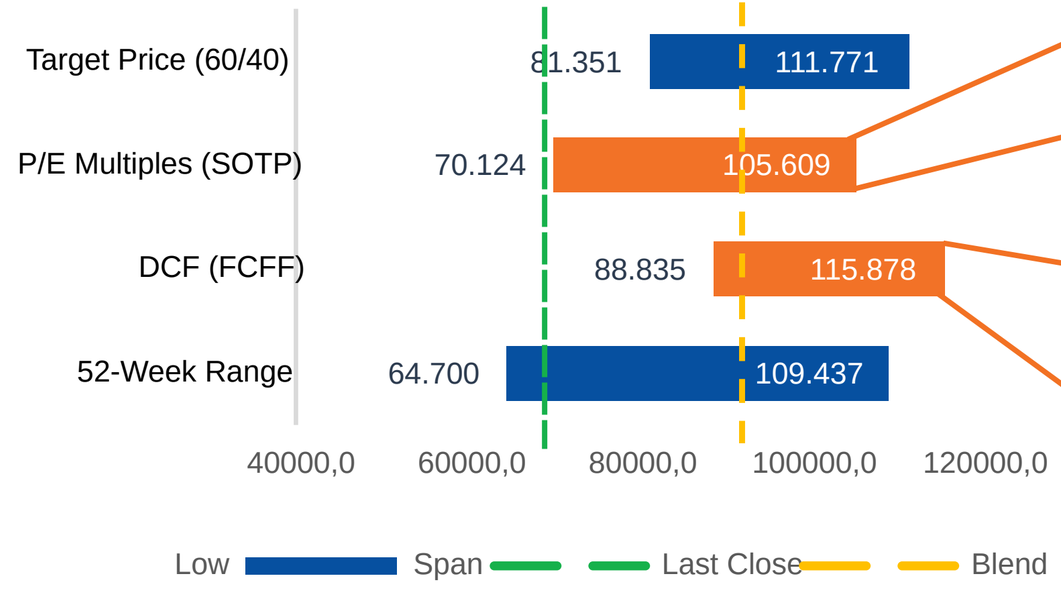
VALUATION

An attractive discount opportunity

FPT is undervalued across conservative models.

Value is primarily driven by FCF conversion and EBIT margin expansion.

Valuation Football Field



source: Team's analysis

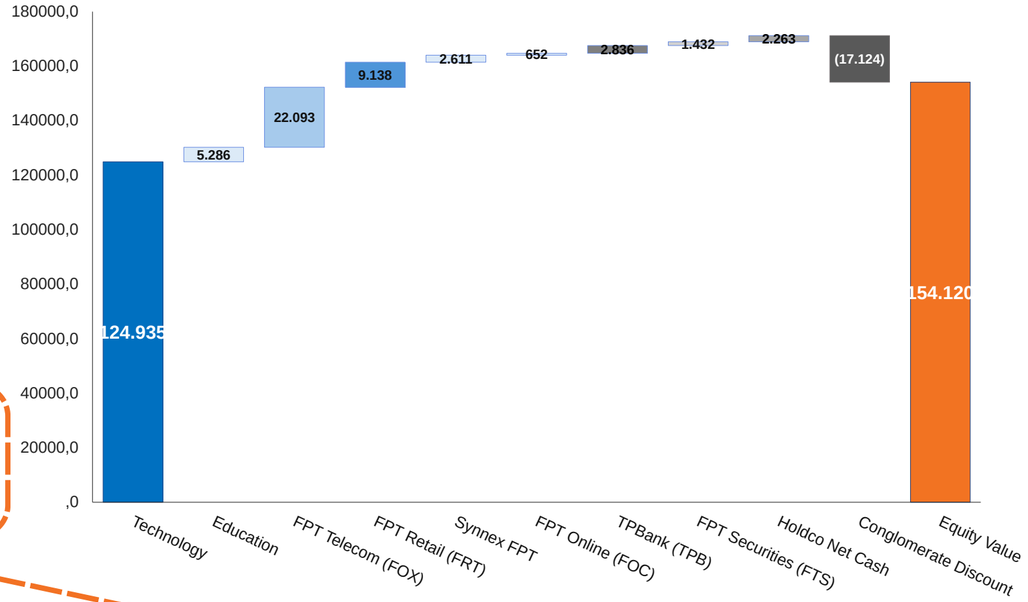
Valuation Approach

40%
SOTP
VND 89,902

60%
DCF
VND 99,714

10% Discount
for Holding Company

WACC	CoE	CoD	D/E
10.66%	11.54%	4.1%	13.3%



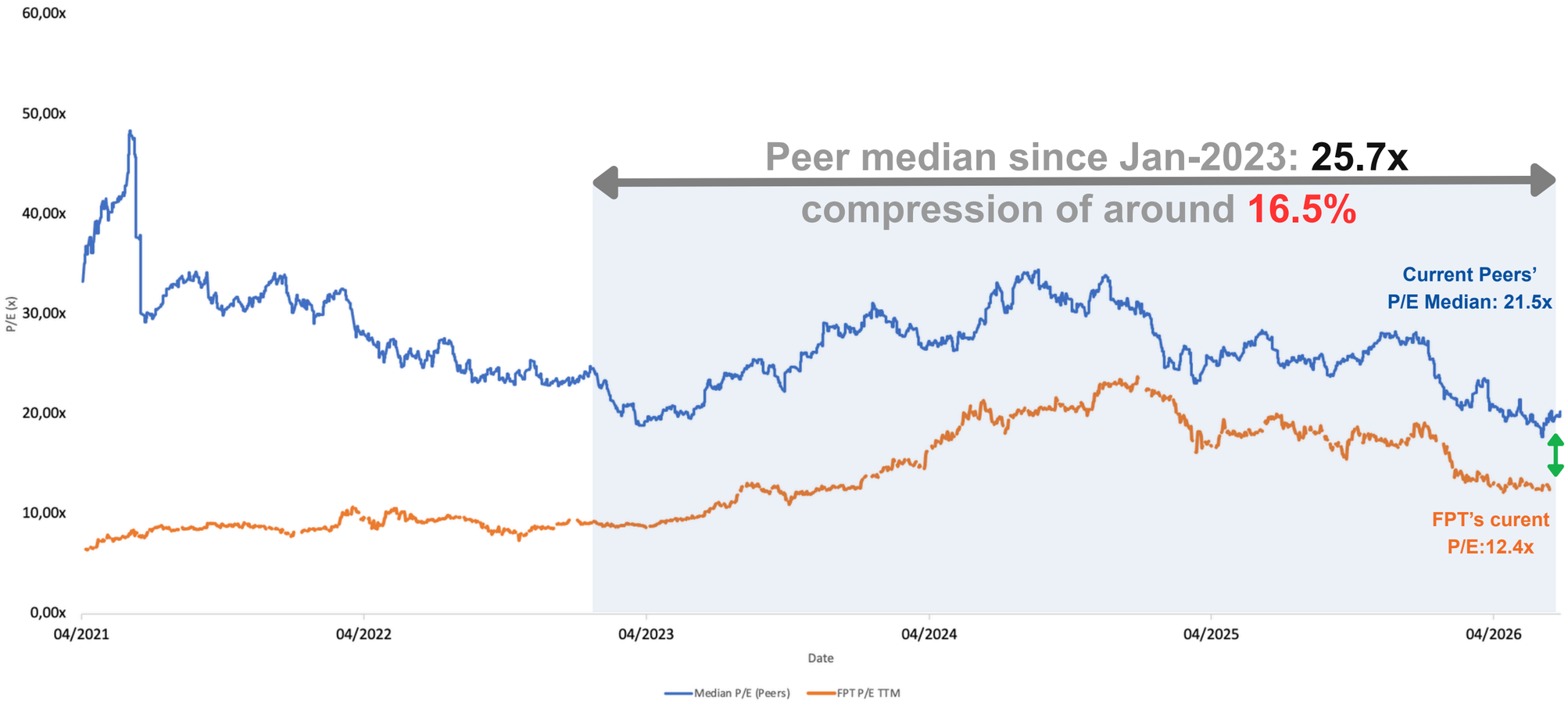
3%
Capital allocation & execution

3%
Partial ownership & liquidity

4%
Conglomerate complexity

AI disruption is already priced into peer multiples

FPT target P/Es retain an additional 25–44% haircut



Segment-specific haircuts

Foreign IT: 25% haircut

Target P/E: 16.1x

- smaller scale
- lower revenue per employee
- emerging-market liquidity
- country/FX risks.

Domestic IT: 44% haircut

Target P/E: 12.0x

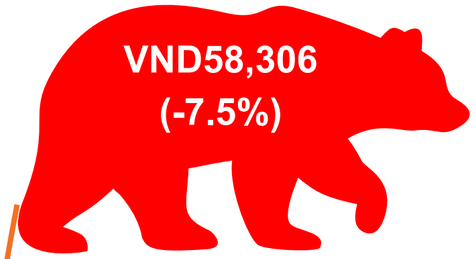
Domestic IT's:

- slower growth
- lower-margin project-based mix
- limited recurring revenue
- greater tender, execution
- working-capital risks.

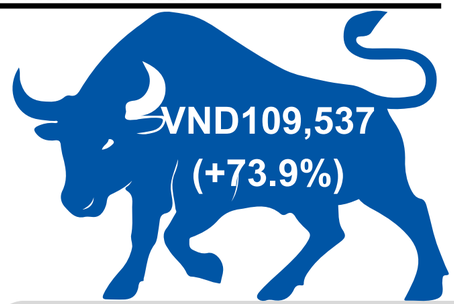
Valuation resists rate pressure, but not demand and margin shocks.

Base case offers 43.8% upside, with downside only under combined demand, margin, and cash-conversion stress.

Key assumptions across Bear, Base and Bull scenarios



VND95,789
(+43.8%)



AI pilots convert slowly and AI pricing deflation constrains monetization; Overseas IT CAGR falls by 4ppt versus Base.	**Technology demand**	Japan sustains double-digit growth; Foreign IT revenue achieves a 15.1% CAGR.
Revenue 2026E constrained by weak admissions	**Education**	Revenue stabilizes in 2026E before returning to 5–8% growth.
A1 cuts 2026E Tech PBT margin to 14.39%; broader shocks lower 2031E EBIT margin to 9.9% and raise DSO to 98–100 days.	**Margin & cash conversion**	EBIT margin expands to 15.7%, while DSO remains controlled at 84 days.

A1 | AI Pricing
Overseas IT CAGR: –4ppt vs Base | Productivity: 15% | Pass-through: 75%

DCF sensitivity across Overseas IT growth and EBIT margin

Overseas IT Growth \ EBIT Margin	13%	14%	15%	16%	17%
11%	82.656	87.799	92.941	98.084	103.226
13%	85.156	90.667	96.178	101.688	107.199
15%	87.892	93.803	**99.714**	105.625	111.536
17%	90.883	97.228	103.573	109.918	116.263
19%	94.146	100.962	107.778	114.593	121.409

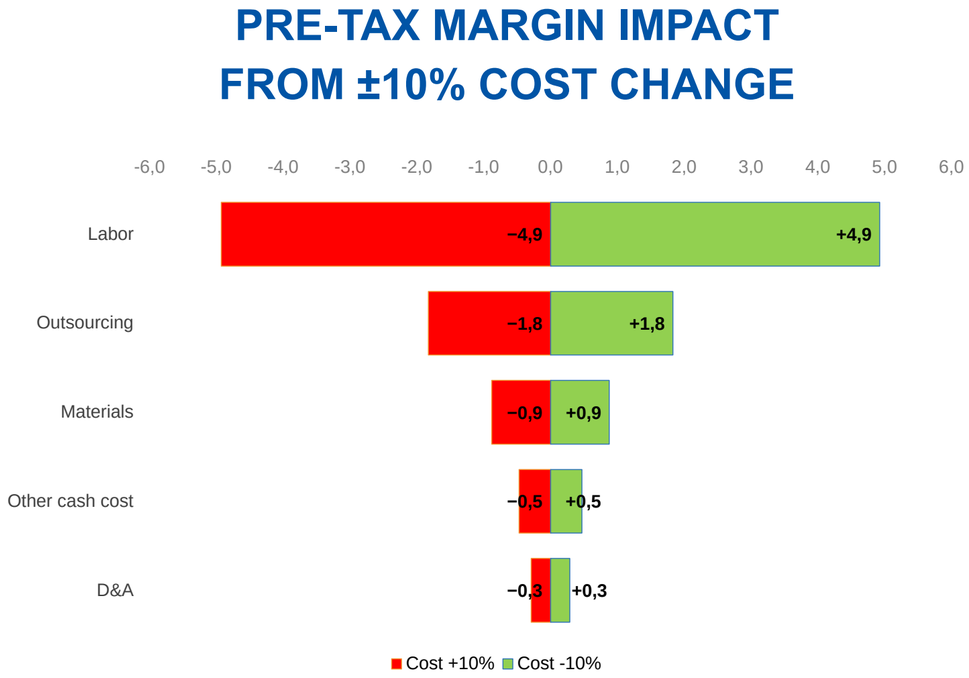
Margin preservation is more consequential than revenue growth

Margin drives valuation, while labor cost drives FPT's IT pre-tax margin.

Among the factors tested, costs (particularly labor costs) are the most significant driver of FPT's IT pre-tax margin

a **10%** increase in **labor costs** could reduce the margin from 14.9% to 10.0%

Cost	Base cost 2026E	% Rev CNTT	(10.0%)	(5.0%)	0.0%	5.0%	10.0%
Labor cost	24.967,4	49.20%	19.8%	17.3%	14.9%	12.4%	10.0%
BHXH NĐ161 overlay	-	-	14.9%	14.9%	14.9%	14.9%	14.9%
Outsourced services	9.277,8	18.30%	16.7%	15.8%	14.9%	14.0%	13.0%
Materials	4.461,5	8.80%	15.8%	15.3%	14.9%	14.4%	14.0%
D&A	1.470,3	2.90%	15.2%	15.0%	14.9%	14.7%	14.6%
Other cash cost	2.382,8	4.70%	15.3%	15.1%	14.9%	14.6%	14.4%
TOTAL cost by nature	**42.559,8**	**8%**	**23.3%**	**19.1%**	**14.9%**	**10.7%**	**6.5%**

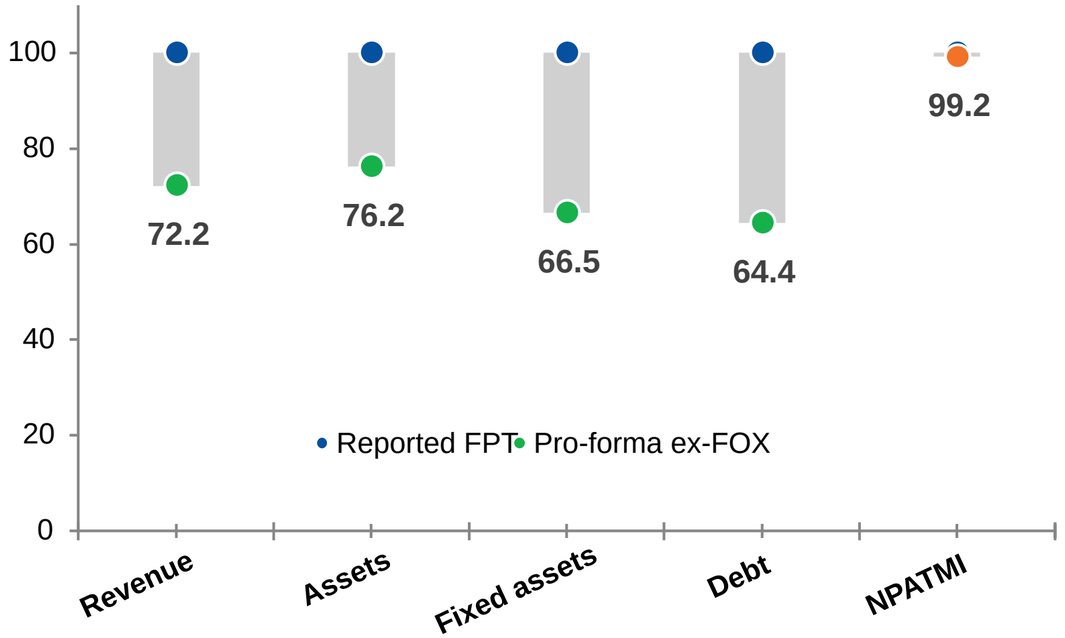


FINANCIAL ANALYSIS

Earnings preserved, cash recovering, net cash intact

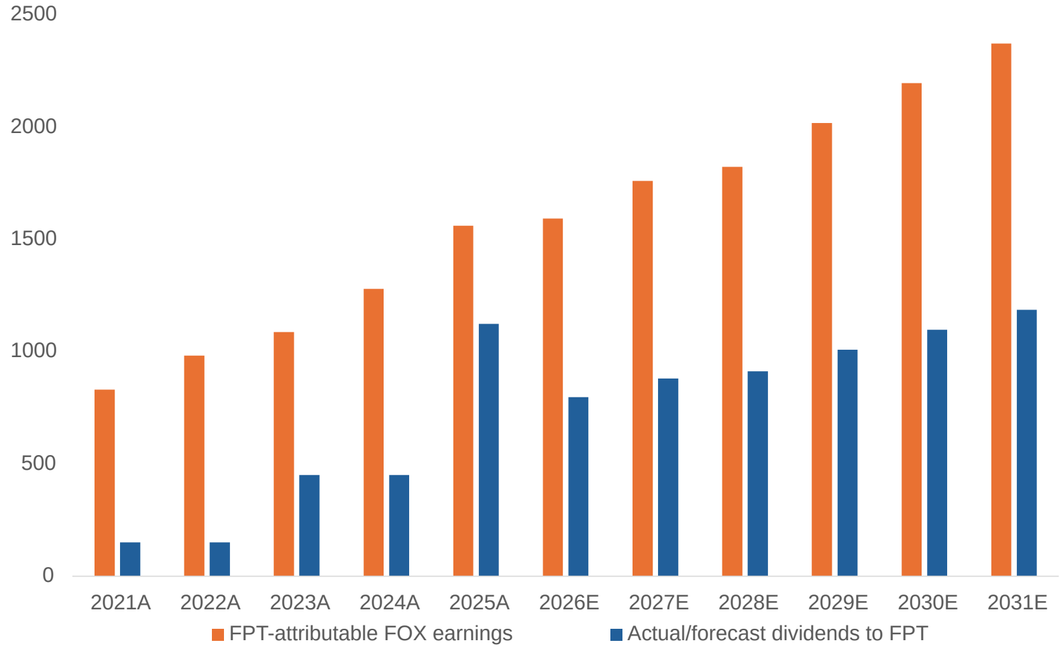
FOX DECONSOLIDATION SHRINKS REPORTED SCALE, WHILE PAYOUT HISTORY SUPPORTS EARNINGS-TO-CASH

Accounting scale shrinks, economic interest remains — NPATMI holds at 99.2% vs revenue 72.2% (Reported = 100)



source: FOX, FPT, Team's analysis

FOX earnings continue to support cash upstream after deconsolidation (VND bn)

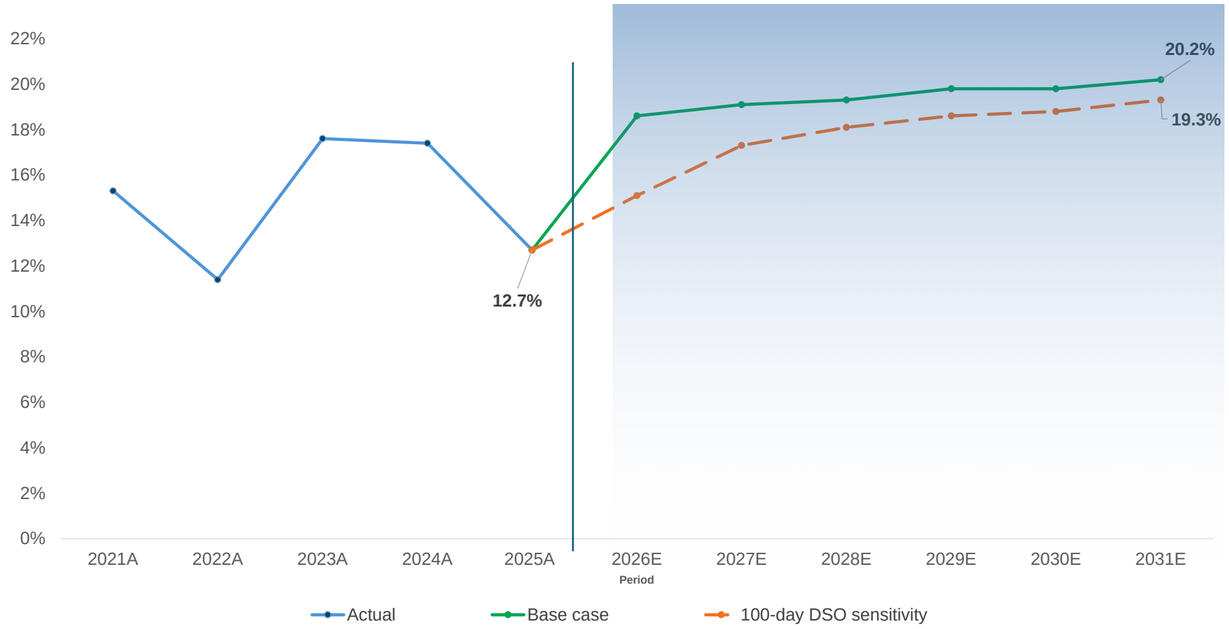


source: FOX, Team's analysis

*FOX deconsolidation is largely an accounting reset: **99.2%** of NPATMI remains, while direct dividends and a normalized payout support recurring—though uneven—cash upstream*

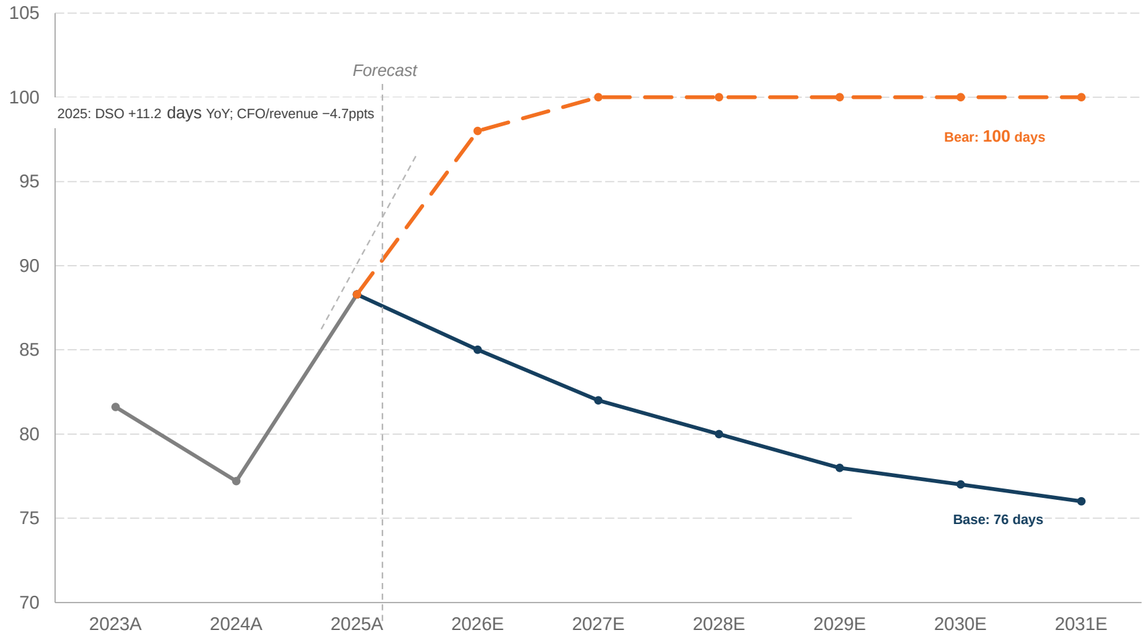
HIGHER DSO WEAKENED CASH CONVERSION; NORMALIZATION SUPPORTS RECOVERY

Core FPT CFO-to-revenue fell as DSO rose in 2025; normalization supports recovery (%)



source: FOX, FPT, Team's analysis

Rising DSO was the main working-capital drag on cash conversion in 2025 (days)

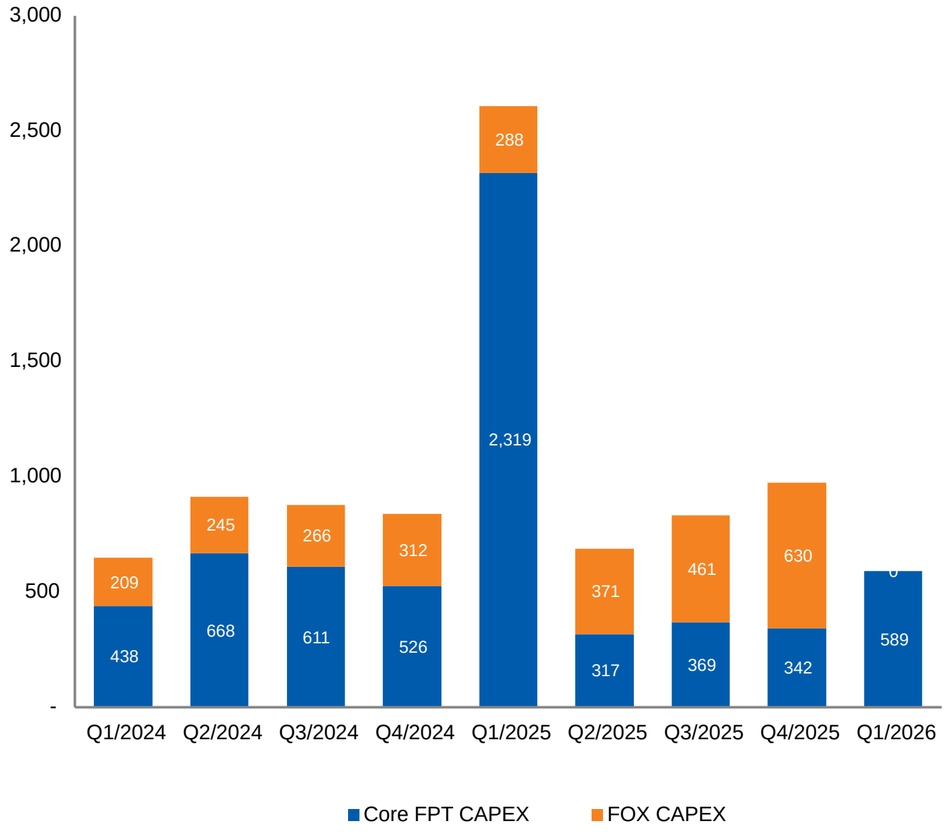


source: FOX, FPT, Team's analysis

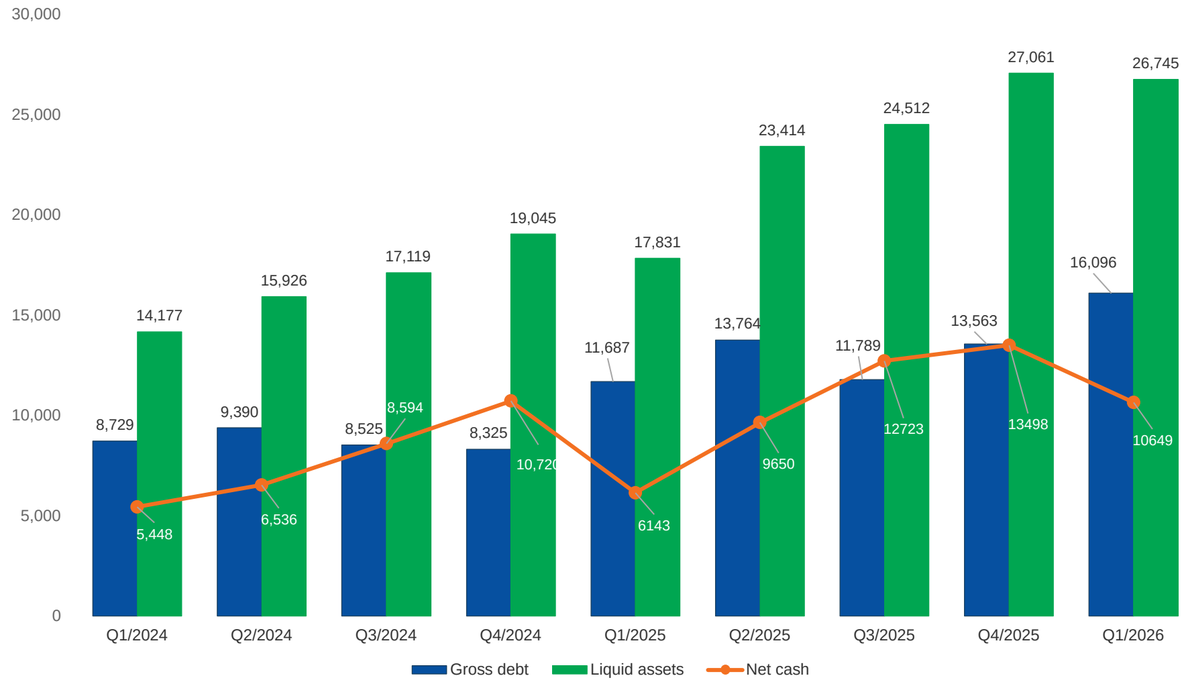
***Higher DSO** weakened 2025 cash conversion; normalized billing supports CFO-to-revenue recovery, while prolonged collections define the downside.*

AI CAPEX SPIKED, WHILE FPT RETAINED A STRONG NET CASH BUFFER

Core FPT CAPEX peaked alongside the AI Factory build-out in Q1/2025 (VND bn) (VND bn)



FPT maintains a net-cash position despite rising gross debt (VND bn)



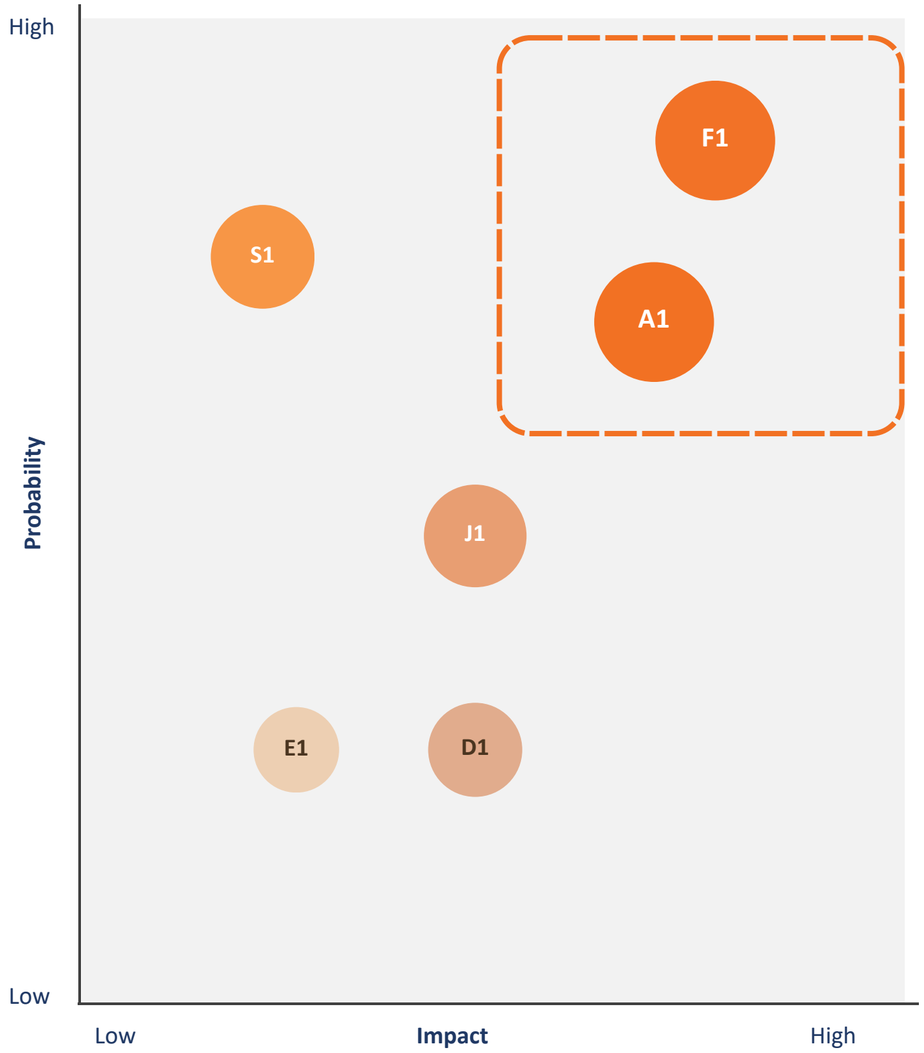
source: FOX, FPT, Team's analysis

*Despite the **Q1/2025 AI CAPEX spike**, liquid assets remained above gross debt, leaving FPT with a VND10.6tn net cash buffer in Q1/2026*

INVESTMENT RISKS

Will potential risks weaken the upside?

Two long-tail risks (A1, F1) sit in the high-impact zone and demand active mitigation.



F1 | Foreign flow and multiple compression

Foreign net selling drove estimated ownership from near 49% to about 27.8%, re-rating the stock independent of operating trends.

A1 | AI pricing and backlog conversion

New demand creates value only FPT retains part of the productivity gain.

S1| High quality workforce shortage

Vietnamese is observing a shortage in the number of skilled Techonology worker

J1 | JPY translation exposure

Rising Japan revenue share increases sensitivity to JPY/VND swings, which have moved nearly 20% since 2021.

D1 | Client-side delivery delay

US IT spending is shifting away from labor-based services, requiring re-pricing of traditional delivery models.

E1 | Education-segment utilization

Enrollment, utilization and return on invested capital in the education segment require continued monitoring.

[A1] AI pricing and backlog conversion

New demand creates value only FPT retains part of the productivity gain.

AI deflation – When higher productivity is not always good

source: Greyhound Research

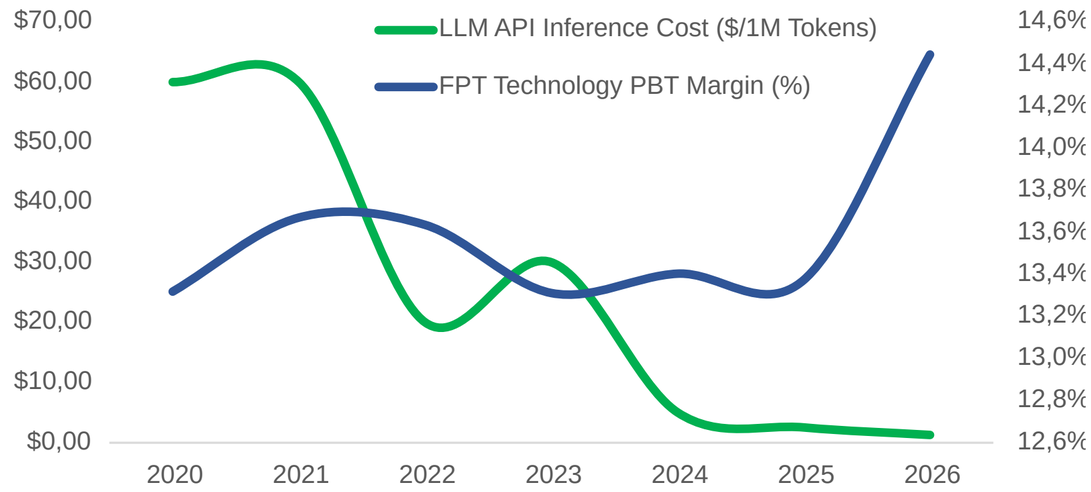
Indian IT companies

5–15% decline in revenue per unit of work in FY2026 for **AI-enabled services** with measurable productivity gains

Clients demanding AI-driven efficiency gains be reflected in **contract pricing**

Putting pressure on vendors' profit margins

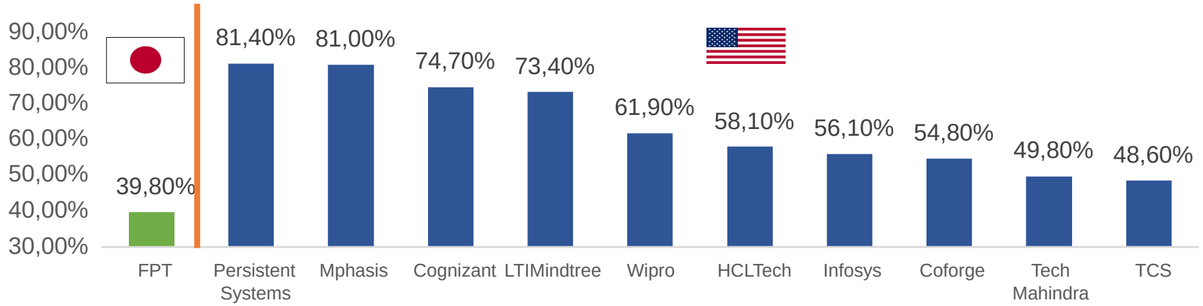
LLM API Token Price vs FPT Technology Segment Pre-Tax Margin %



In the near term, we believe this risk will have a limited impact on FPT, because of...

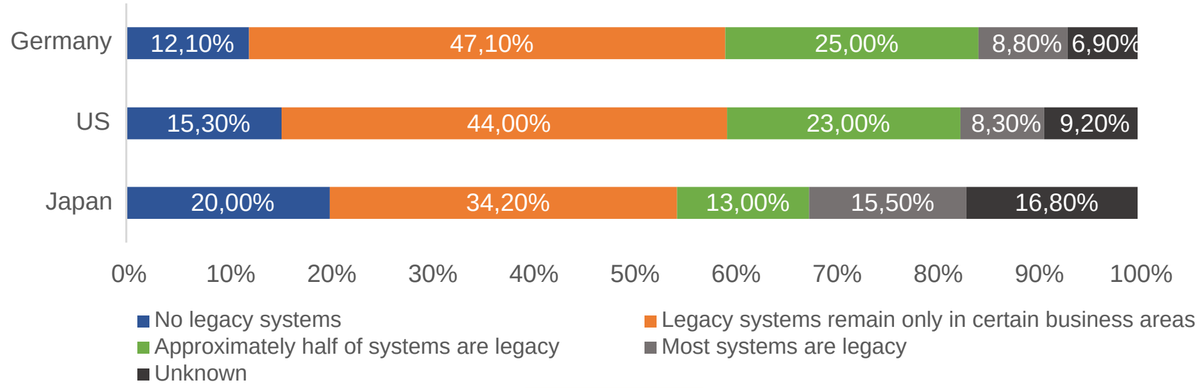
Japan is the primary market of FPT, not US...

Market with the Highest Revenue Contribution



...and the Japanese market has very unique characteristic.

Japan's legacy burden slows AI gains from translating into pricing.



[A1] AI pricing

New demand creates value only when FPT retains part of the productivity gain.

However, over the long term, we believe FPT will still be exposed to AI deflation for two reasons:

[1] Managed services and fixed-price contracts do not fully eliminate pricing risk.
[2] Outcome-based pricing shifts more execution risk to FPT.

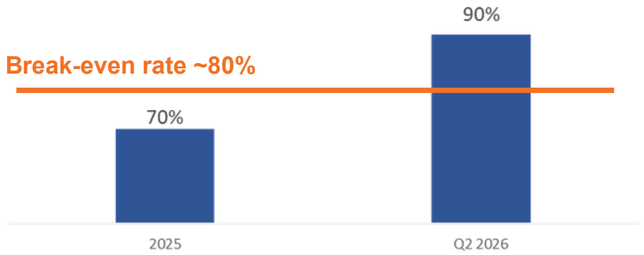
Mitigation

FPT diversifies its revenue through **fixed-price** and **outcome-based contracts**, **reusable IP**, **platform licensing**, and **recurring managed services**.

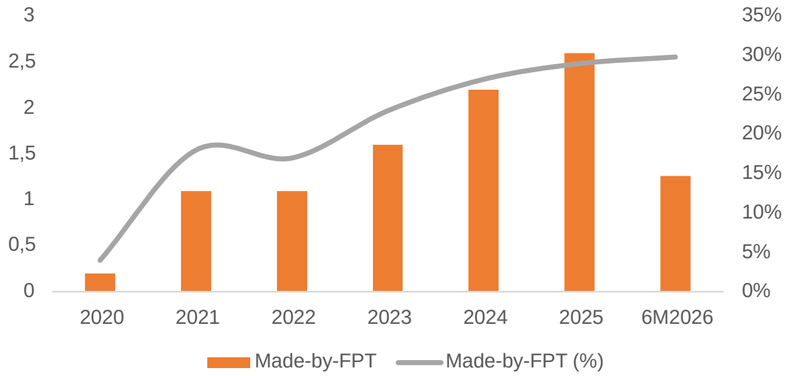
Valuation Impact

26% AI-driven productivity uplift, with 55% of the gains passed through to clients. This reduces Overseas IT revenue CAGR by 4ppt and EBIT margin by 2ppt.

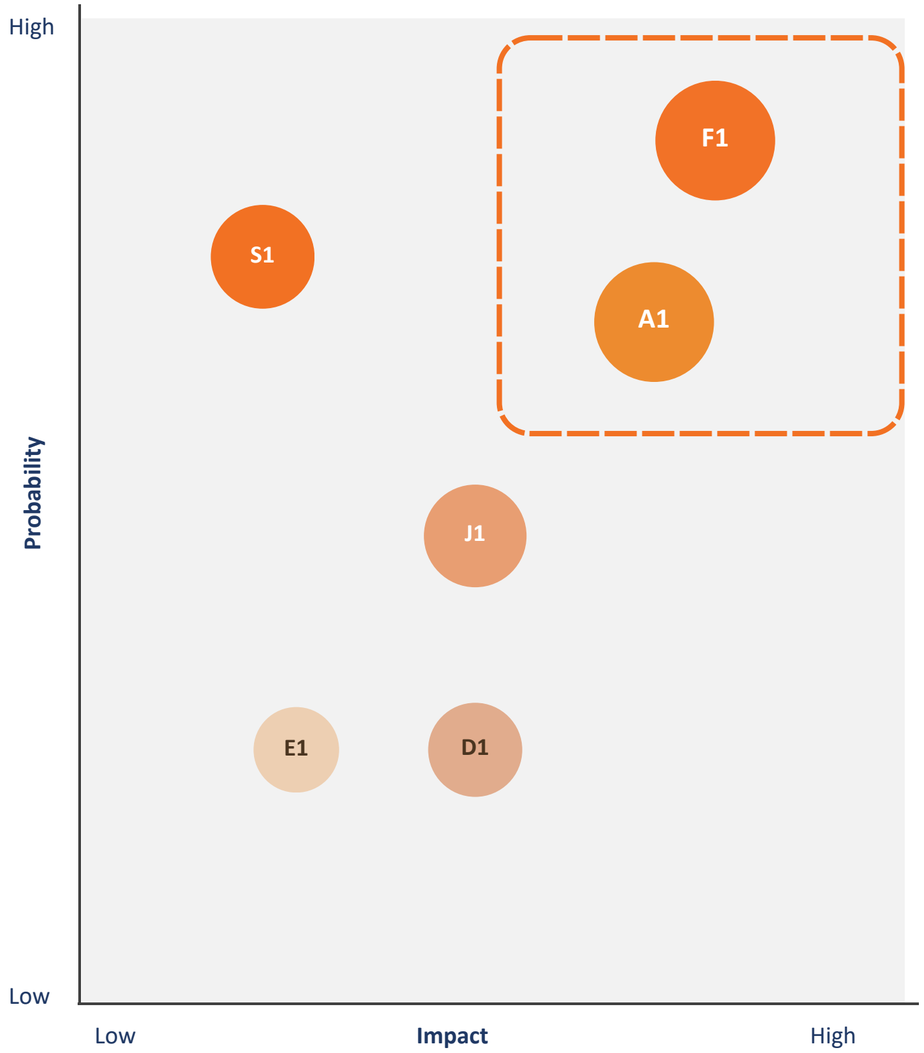
AI Factory starts to record profit in Q2 2026



Made-by-FPT is growing rapidly and has become the primary driver of domestic revenue growth.



F1 | Foreign flow and multiple compression



F1 | Foreign flow and multiple compression

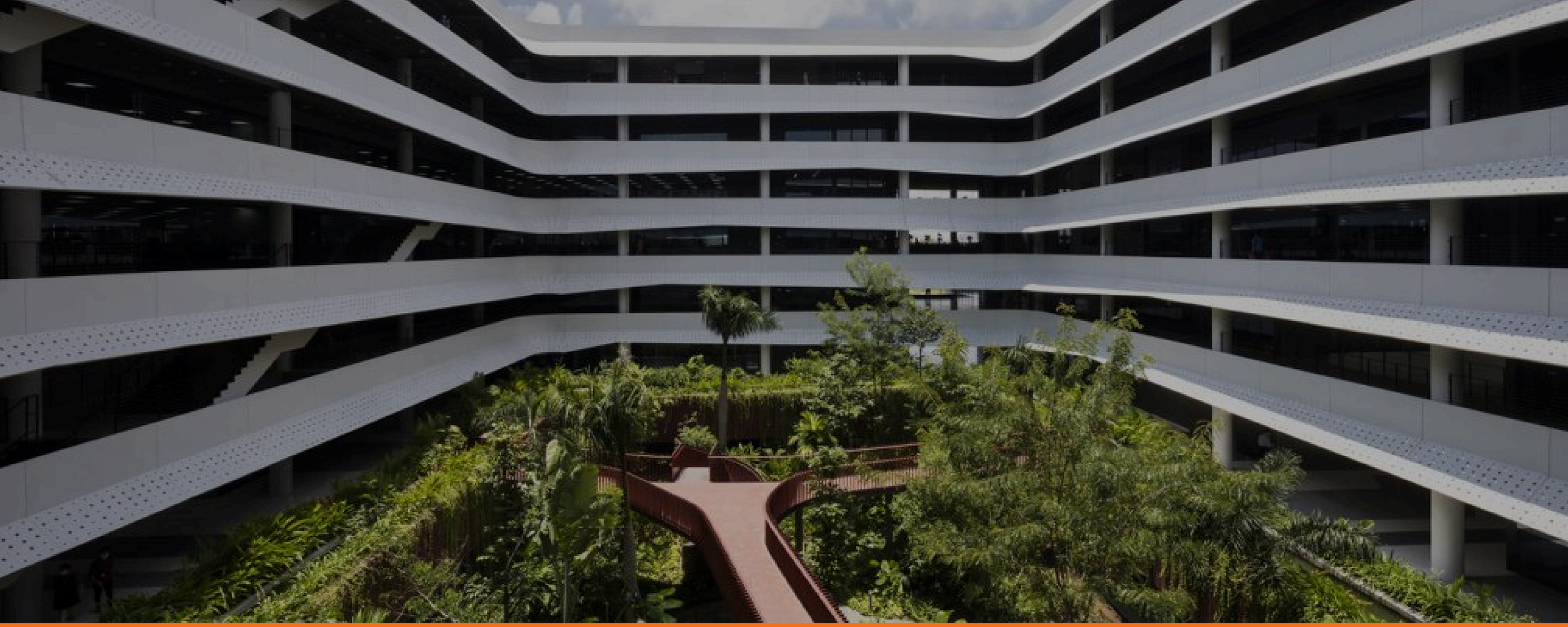
Foreign net selling drove estimated ownership from near 49% to about 27.8%, re-rating the stock independent of operating trends.

1 **Heavy Selling Pressure from Forgein Investor**

2 **Tech Sector Valuation Normalization**

Demand decreased heavily

Significant P/E De-rating



Enviroment, Social and Gorvernace

Underwhelming ESG, a disclosure gap

ESG - Environment

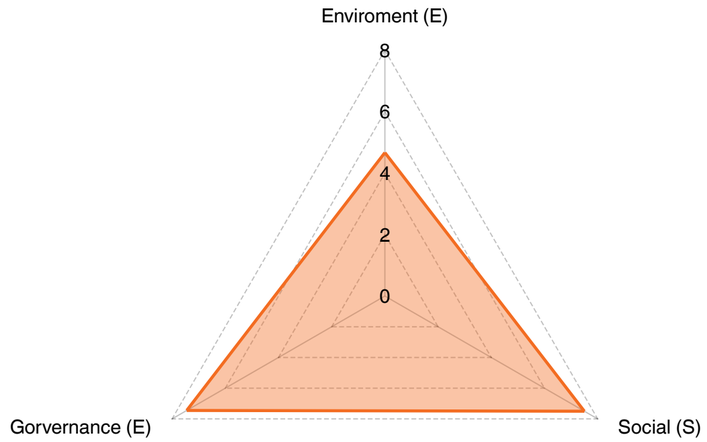
FPT's Social and Governance are peer-level, but Environmental drags the overall score down

We blend LSEG's Software & IT Services and Telecom-with-Education weightings to reflect FPT's conglomerate structure

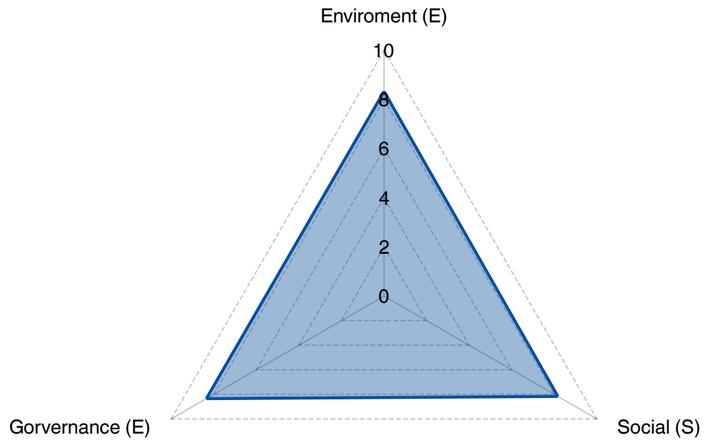
	Weight	FPT	Infosys	TCS	Wipro	TechM	Persistent	LTM	HCLTech	Cognizant	Mphasis	Coforge
Environmental	19.65%	4.67	8.33	8	8.33	6.33	7.33	7.5	6.67	7	6.17	6.17
Social	20.30%	7.5	8.17	7.17	7.17	7.75	7.58	7.42	7	7.75	7.08	7.67
Governance	67.25%	7.45	8.35	7.15	7.35	7.5	7.55	6.85	7.6	7.8	7.3	7.05
Weighted Average	100%	6.99	8.31	7.3	7.48	7.35	7.52	7.08	7.32	7.65	7.06	7.03

trailing peers almost entirely on Environmental (4.67 vs. 7.2 peer median), while Social and Governance are in line with (ahead of) peer group

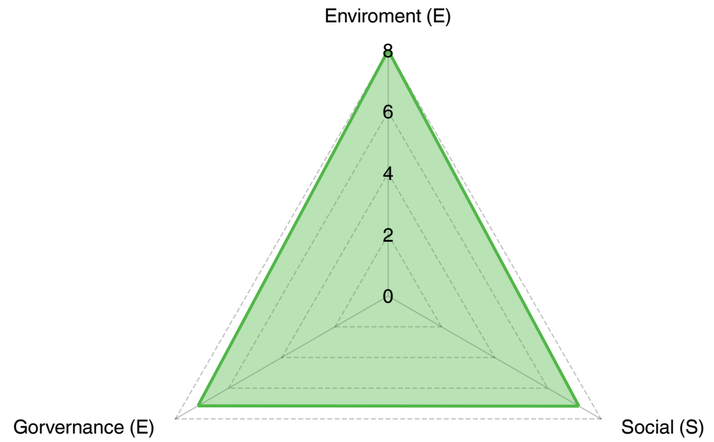
FPT



Infosys

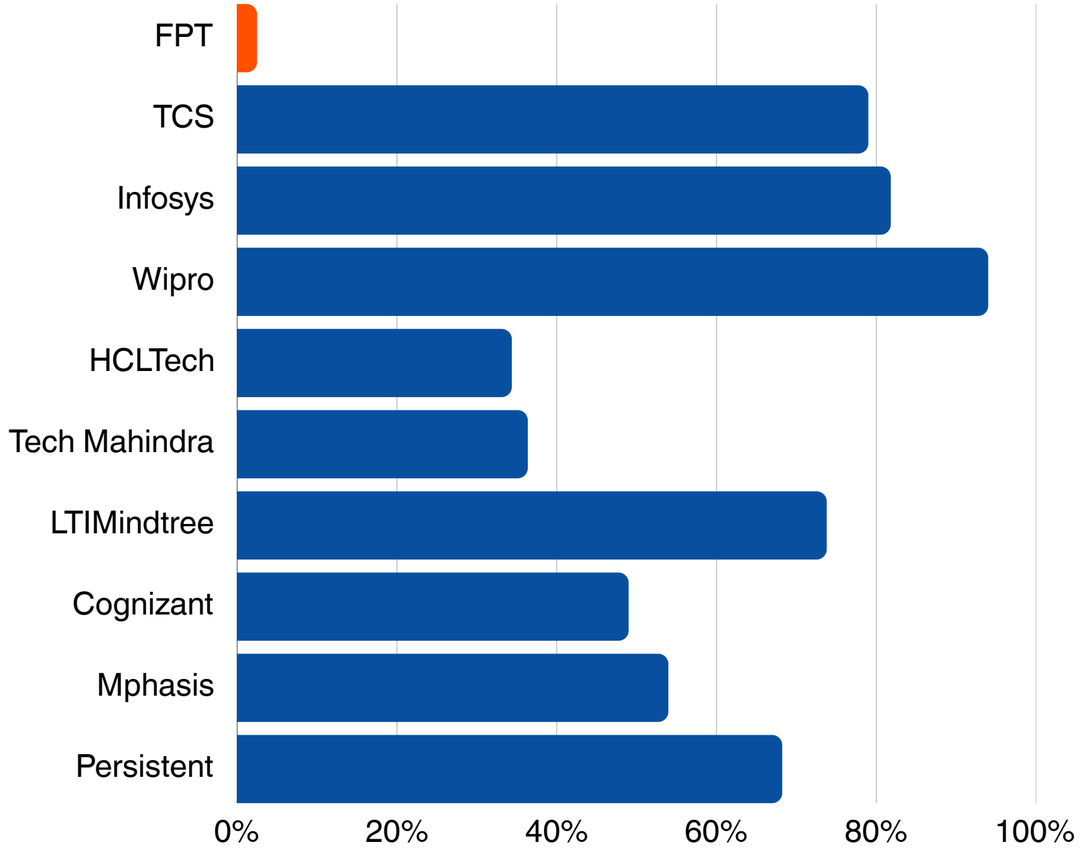


TCS



FPT's Environmental score lags peers due to weak renewable targets and no SBTi validation

FPT's 2026 renewable electricity target of 2.5% is overly conservative and drastically falls behindglobal IT peers

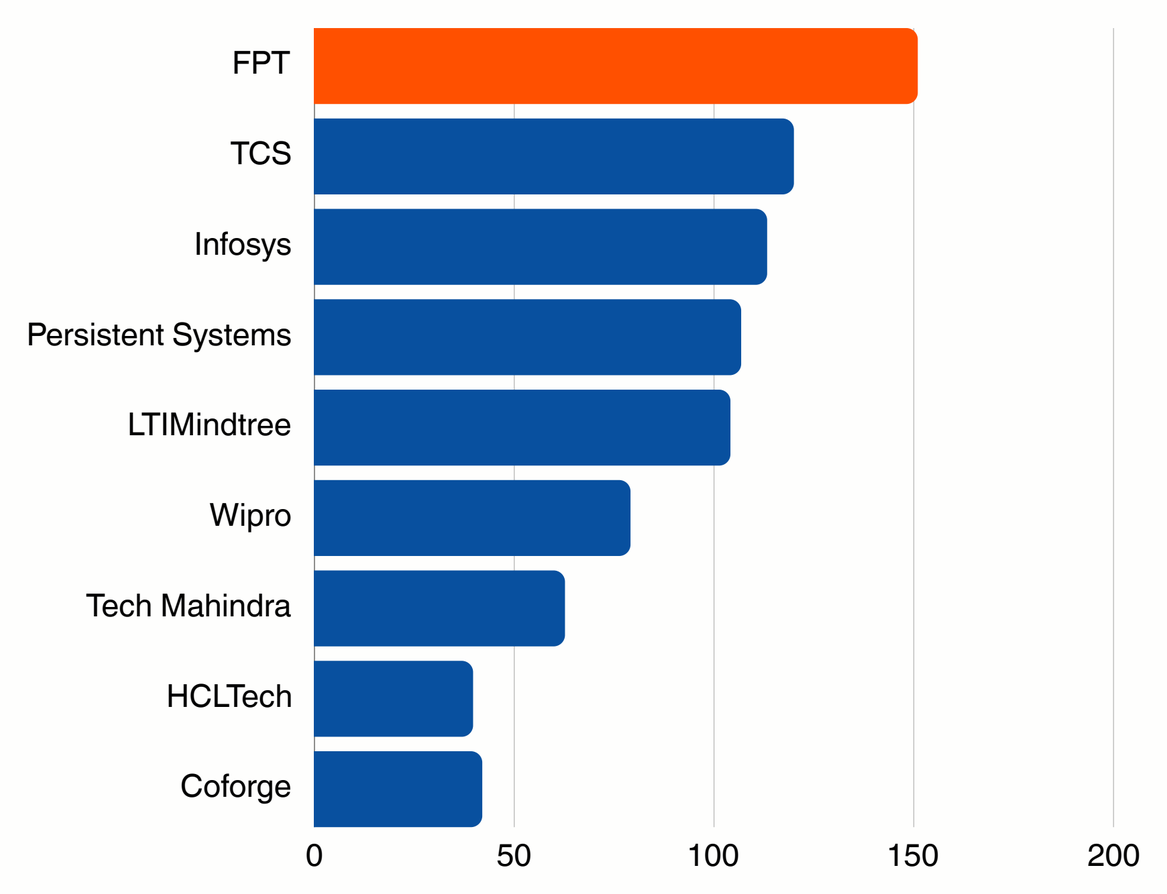


FPT's Environmental gap is as much a disclosure gap as a performance one

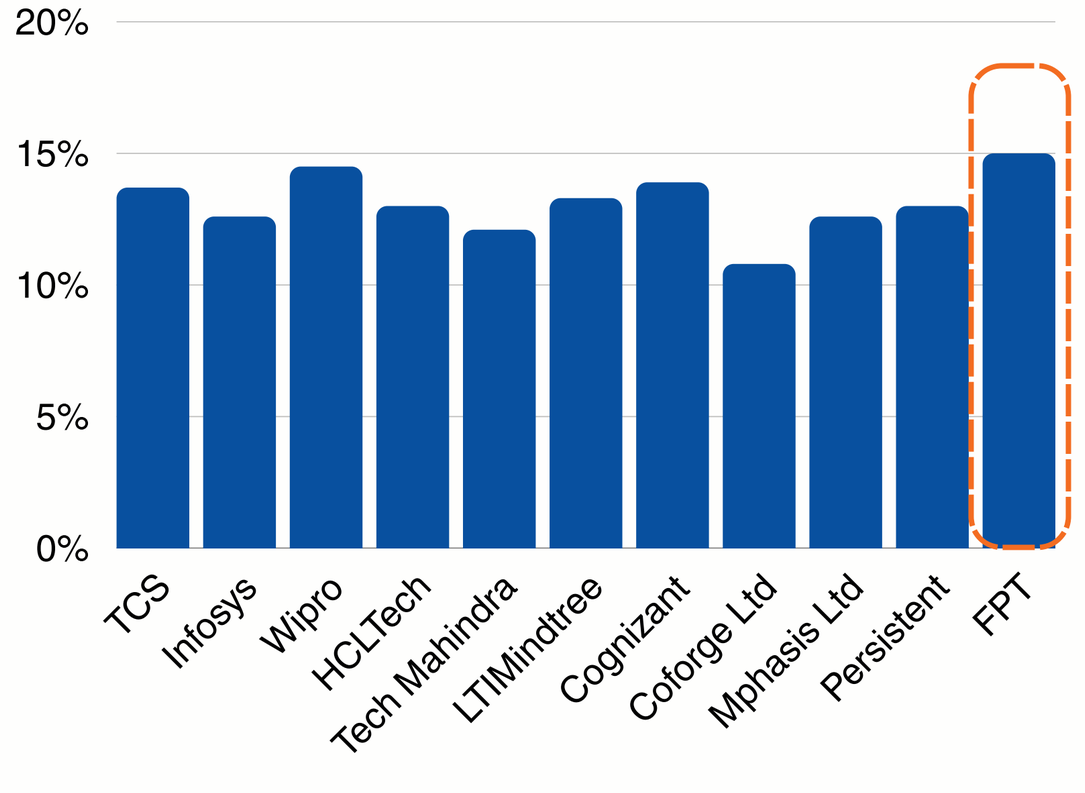
- SBTi-validated target
- Scope 3 inventory
- Achieved renewable share
- Independent ESG assurance
- Carbon-neutral certification
- Quantified green revenue

Strong on training and security but weighed down by peer-high attrition

At 151 hours annually per employee, FPT's training intensity far outpaces global peers (40–96 hrs),



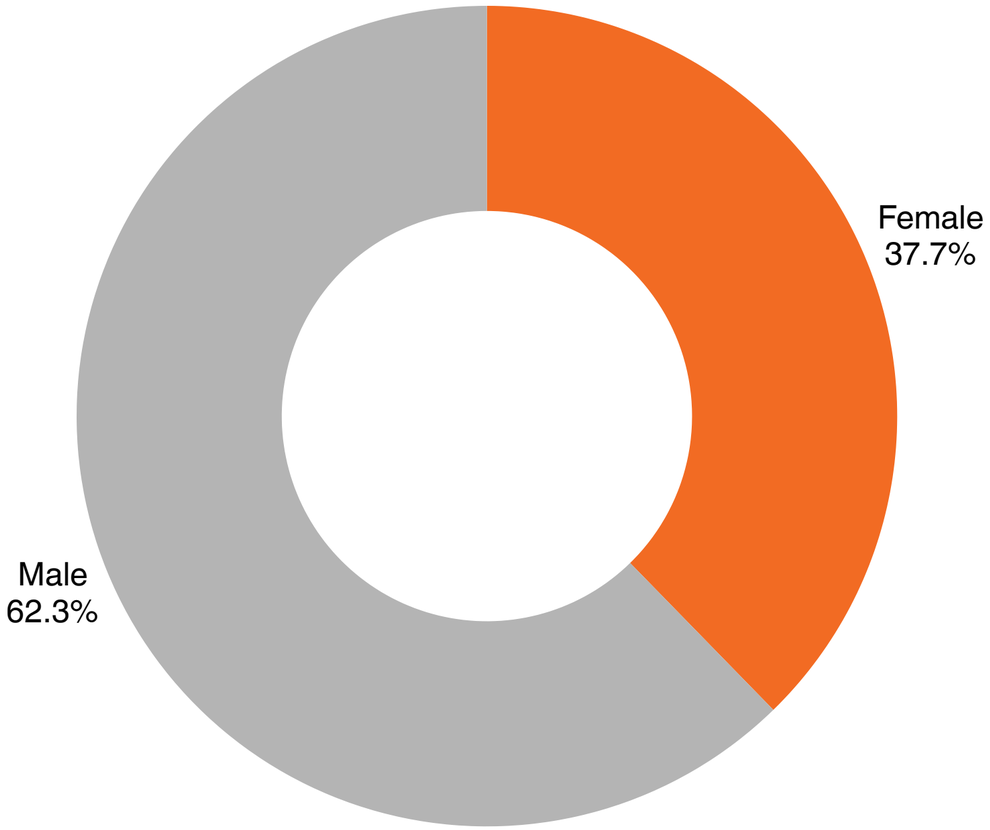
Benchmark-highest 15.4%, FPT's voluntary attrition sets 2026 target <15%



=> structurally cushioned by continuous talent replenishment from its internal education pipeline.

Peer-aligned gender representation, reinforced by elite cybersecurity and a clean track record

Female representation stands at 37.7% total workforce & 36.4% of management ~ in line with peers



High Exposure, Elite Defense

Pioneer in AI Governance (ISO 42001) alongside ISO 27001 & SOC 2 Type II, shielding sensitive BFSI, US/JP, and Telecom client data.

Clean Enterprise Track Record

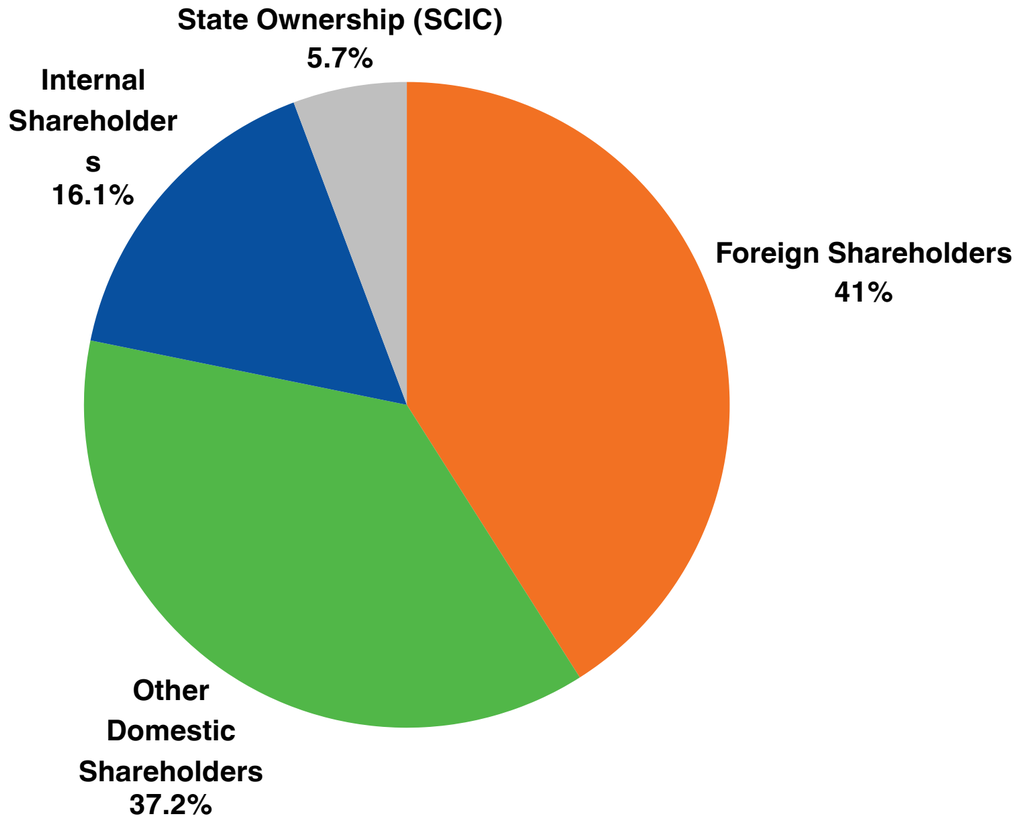
0 major 2025 security incidents; past 2021 FPT Shop event was an isolated retail misconduct with zero core B2B infrastructure impact.

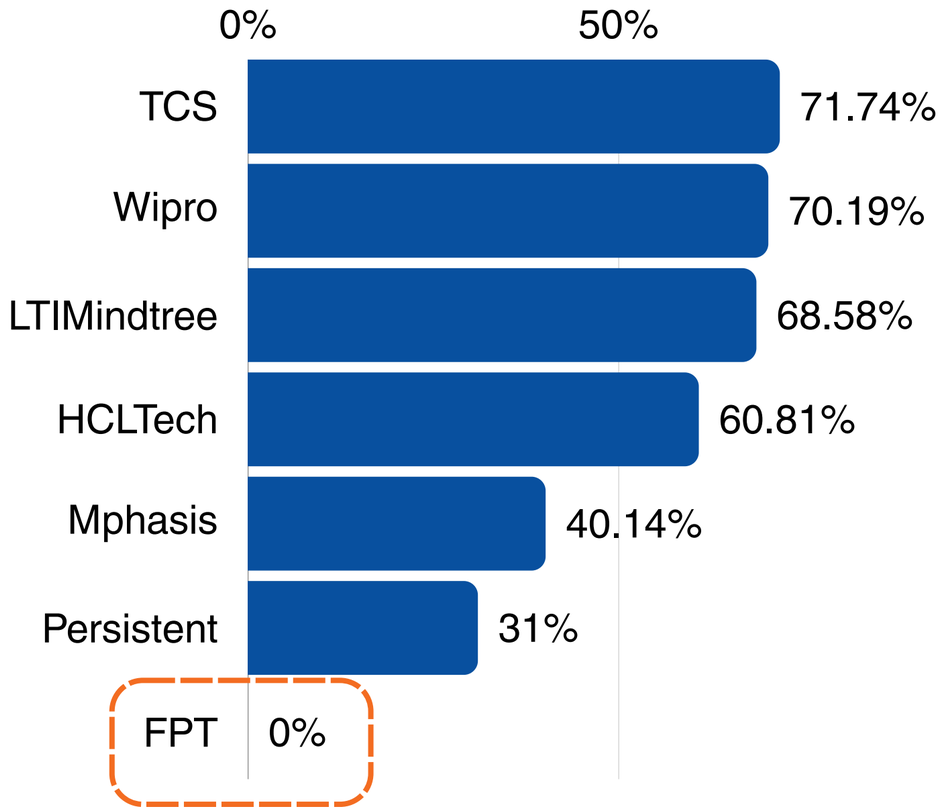
Superior Standing vs. Peers

Clean B2B history shields enterprise contracts and revenue, outperforming peers facing costly breaches (e.g., Infosys $17.5M settlement).

No controlling shareholder gives FPT a clear governance edge over peers

FPT's ownership is dispersed across 127,488 shareholders under a single share class with no controlling block, a clear minority-rights advantage over peers





Clear role separation, but board independence and diversity lag peers

MR.
TRUONG GIA BINH
Chairman of the BOD

MR.
BUI QUANG NGOC
Vice Chairman of the BOD

MR.
DO CAO BAO
Member of the BOD
Former Chairman of FPT IS

MR.
JEAN-CHARLES BELLIOL
Independent member of the BOD

MR.
HAMPAPUR RANGADORE BINOD
Independent member of the BOD

MR.
TOSHIKAZU NAMBU
Member of the BOD

MRS.
TRAN THI HONG LINH
Member of the BOD

Board of Directors

Chairman/CEO separation since 2013

Board independence at **~43%** (3 of 7 members, 2022–2027 term)
trailing peers under SEBI LODR (Infosys and HCLTech 77.8%, Wipro ~67%, TCS 62.5%)

Only **1** female member out of **7**

Three co-founders take zero compensation
Compressing internal pay disparity but no CEO-to-median-employee pay ratio is disclosed (peers: ~330x at TCS to ~752x at Infosys)

PRESENTATION NETWORK

Executive Summary

Business Description

1. Global IT services drives FPT's main revenue & profit#1
2. Global IT services drives FPT's main revenue & profit#2
3. Company Strategy
4. "AI first" Strategy

Macroeconomics Overview

5. Enterprise Technology Budgets
6. Foreign Exchange

Thesis 1

7. Beyond Coding: AI Moves FPT Up the Value Chain
8. While AI disrupts the traditional model (Headcount × Worked Hours × Rate)...
9. …., it unlocks new, higher-value service offerings#1
10. …., it unlocks new, higher-value service offerings#2

Thesis 2

11. Aging population and IT labor shortage
12. Continued reliance on legacy systems
13. Despite Japan's high barriers to entry, FPT has gradually established a local presence
14. Despite a 20-year presence in Japan, FPT continues to lag behind domestic players in market share.
15. The AI Factory can strengthen FPT's bidding position

Thesis 3

16. Upskilling and Productivity
17. Revenue per Employee and Deal Mix
18. FPT Achieves Faster RPE Growth Than Peers and Still Has Room to Grow

Thesis 4

18. Fundamentals slowed, but the price implies collapse
19. FPT's P/E swung from a digital-growth premium to an AI-disruption discount.
20. FPT's valuation gap has outgrown its quality gap.

Valuation

21. Value is primarily driven by FCF conversion and EBIT margin expansion.
22. FPT target P/Es retain an additional 25–44% haircut
23. Valuation resists rate pressure, but not demand and margin shocks.
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29. Weak renewable targets and no SBTi validation
30. Strong on training and security but weighed down by peer-high attrition
31. Peer-aligned gender representation
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APPENDIX A

FINANCIALS

INCOME STATEMENT

Unit: VND bn	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E
Revenue	**35.657,3**	**44.009,5**	**52.617,9**	**62.848,8**	**70.112,8**	**56.643,0**	**64.455,2**	**74.116,1**	**84.793,8**	**95.644,1**	**106.645,9**
Technology	20.715,2	25.763,0	31.449,0	39.109,0	44.474,0	50.697,3	58.218,7	67.385,4	77.550,9	87.918,7	98.429,0
Domestic	6.196,0	6.847,0	7.161,0	8.157,0	9.093,0	10.270,5	11.570,9	12.987,2	14.521,2	16.160,7	17.904,0
Japan	6.311,6	6.502,0	9.324,0	12.325,0	15.452,0	19.131,3	23.343,4	28.005,2	33.045,0	38.141,8	43.121,7
US / Americas	4.374,6	6.551,0	7.115,0	7.751,0	8.163,0	8.724,7	9.314,3	10.386,2	11.329,7	12.589,6	13.718,1
APAC	2.691,1	4.439,0	6.113,0	8.240,0	8.173,0	7.869,4	8.001,6	8.523,0	9.459,9	10.496,4	11.866,8
Europe	1.142,0	1.424,0	1.736,0	2.636,0	3.593,0	4.701,4	5.988,5	7.483,8	9.195,1	10.530,2	11.818,5
Education &	2.233,8	3.517,9	5.363,1	6.128,4	6.131,1	5.944,6	6.235,5	6.729,7	7.241,9	7.724,4	8.215,8
COGS	(22.025,3)	(26.842,2)	(32.298,3)	(39.150,4)	(44.224,3)	(38.617,1)	(43.919,2)	(50.449,3)	(57.599,1)	(64.879,3)	(72.270,9)
Gross Profit	**13.632,0**	**17.167,3**	**20.319,6**	**23.698,3**	**25.888,5**	**18.025,8**	**20.536,1**	**23.666,9**	**27.194,8**	**30.764,9**	**34.374,9**
Selling Expenses	(3.604,6)	(4.526,4)	(5.242,6)	(6.116,0)	(7.562,7)	(4.531,4)	(5.124,2)	(5.855,2)	(6.656,3)	(7.460,2)	(8.318,4)
General &	(4.612,3)	(5.846,3)	(6.625,4)	(7.074,0)	(7.337,3)	(5.636,0)	(6.316,6)	(7.152,2)	(8.055,4)	(8.942,7)	(9.811,4)
Operating	**5.415,0**	**6.794,6**	**8.451,6**	**10.508,3**	**10.988,5**	**7.858,4**	**9.095,3**	**10.659,5**	**12.483,0**	**14.361,9**	**16.245,1**
Financial	1.270,8	1.998,5	2.336,1	1.935,7	2.977,2	2.411,9	2.815,1	3.274,0	3.811,5	4.474,7	5.220,0
Financial	(1.144,2)	(1.687,4)	(1.718,3)	(1.811,5)	(1.672,0)	(1.494,3)	(1.609,5)	(1.744,9)	(1.886,2)	(2.005,6)	(2.116,9)
Interest Expense	*(484,0)*	*(645,7)*	*(832,6)*	*(551,6)*	*(809,8)*	*(616,3)*	*(642,6)*	*(670,2)*	*(699,1)*	*(714,4)*	*(730,5)*
Share of Profit	6,869	4,836	423	3,925	6,580	2.687,8	2.917,0	3.253,4	3.614,1	3.989,3	4.352,5
Other Income,	1,087	730	913	446	920	859	978	1,124	1,286	1,451	1,618
EBT	**6.337,2**	**7.662,3**	**9.203,0**	**11.069,7**	**13.043,6**	**11.549,7**	**13.315,6**	**15.554,4**	**18.151,1**	**20.965,4**	**23.862,5**
EAT	**5.349,3**	**6.491,3**	**7.788,0**	**9.427,4**	**11.232,3**	**10.441,9**	**11.963,8**	**13.893,8**	**16.116,0**	**18.503,8**	**20.936,0**
Attributable to	4.337,4	5.310,1	6.465,2	7.856,8	9.376,1	10.233,1	11.724,5	13.615,9	15.793,6	18.133,8	20.517,3
Minority Interests	(1.011,9)	(1.181,2)	(1.322,9)	(1.570,7)	(1.856,2)	(208,8)	(239,3)	(277,9)	(322,3)	(370,1)	(418,7)

BALANCE SHEET - ASSET SIDE

VND bn	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E
Current Assets											
Cash and Cash Equivalents	5.418	6.44	8.279	9.315	10.522	12.326	14.819	17.565	21.376	26.049	32.139
Short-term Investments	20.731	13.047	16.104	21.785	29.631	19.259	21.915	25.199	28.83	32.519	36.26
Accounts Receivable	6.882	8.503	9.674	11.382	14.402	13.191	14.48	16.245	18.12	20.177	22.206
Inventories, Net	1.507	1.966	1.593	1.857	2.194	868	999	1.175	1.341	1.511	1.683
Other Current Assets	580	982	1.055	1.197	1.389	1.261	1.434	1.649	1.887	2.129	2.373
Total Current Assets	**35.118**	**30.938**	**36.706**	**45.536**	**58.137**	**46.904**	**53.647**	**61.834**	**71.555**	**82.385**	**94.661**
Long-term Assets											
Long-term Receivables	167	225	247	332	564	595	645	704	763	861	960
Fixed Assets, Net	10.399	12.033	13.643	14.816	17.289	13.245	15.2	17.454	20.021	22.858	25.929
Construction in Progress	1.291	1.062	1.315	2.56	1.605	991	1.096	1.223	1.357	1.53	1.706
Investments in Associates	2.018	2.206	2.108	2.281	3.581	10.417	12.346	14.585	17.096	19.898	22.981
Other Long-term Investments	1.084	1.033	1.227	1.037	1.157	1.151	1.151	1.151	1.151	1.151	1.151
Other Long-term Assets	3.621	4.154	5.036	5.438	5.809	3.285	3.674	4.151	4.664	5.165	5.652
Total Long-term Assets	**18.58**	**20.713**	**23.577**	**26.464**	**30.005**	**29.684**	**34.111**	**39.267**	**45.051**	**51.463**	**58.379**
TOTAL ASSETS	**53.698**	**51.65**	**60.283**	**72**	**88.142**	**76.588**	**87.758**	**101.101**	**116.606**	**133.847**	**153.04**

BALANCE SHEET - LIABILITY & EQUITY SIDE

VND bn	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E
LIABILITIES											
Accounts Payable	2.866	3.209	2.603	4.424	3.837	2.328	2.768	3.317	3.945	4.444	4.95
Short-term Borrowings	17.799	10.904	13.838	14.446	19.17	12.164	12.529	12.905	13.292	13.691	14.102
Employee Payables & Accrued Expenses	3.755	4.084	4.583	5.582	7.49	5.925	6.742	7.752	8.869	10.004	11.155
Customer Advances & Unearned Revenue	3.336	3.806	4.355	4.918	5.121	3.44	3.914	4.501	5.15	5.809	6.477
Other Liabilities	2.227	2.812	4.763	6.401	6.872	6.3	7.168	8.243	9.43	10.637	11.861
Long-term Borrowings	2.296	1.478	208	501	1.904	1.665	1.582	1.503	1.427	1.356	1.288
TOTAL LIABILITIES	**32.28**	**26.294**	**30.35**	**36.272**	**44.394**	**31.821**	**34.703**	**38.221**	**42.114**	**45.941**	**49.833**
SHAREHOLDERS' EQUITY											
Share Capital	9.076	10.97	12.7	14.711	17.035	18.858	20.875	23.108	25.581	28.177	30.994
Other Equity & Reserves	1.865	2.365	3.6	4.053	5.145	8.01	8.01	8.01	8.01	8.01	8.01
Retained Earnings	7	7.712	8.674	11.031	14.302	16.521	22.552	29.866	38.683	49.132	61.196
TOTAL SHAREHOLDERS' EQUITY	**17.941**	**21.046**	**24.974**	**29.794**	**36.483**	**43.388**	**51.437**	**60.984**	**72.273**	**85.318**	**100.2**
Minority Interests	3.477	4.31	4.959	5.933	7.265	1.379	1.618	1.896	2.218	2.588	3.007
TOTAL LIABILITIES AND EQUITY	**53.698**	**51.65**	**60.283**	**72**	**88.142**	**76.588**	**87.758**	**101.101**	**116.606**	**133.847**	**153.04**

CASHFLOW STATEMENT

VND BN	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E
OPERATING ACTIVITIES											
Net Income	5.349,3	6.491,3	7.788,0	9.427,4	11.232,3	10.441,9	11.963,8	13.893,8	16.116,0	18.503,8	20.936,0
Depreciation & Amortization	1.643,9	1.833,1	2.286,5	2.535,3	2.914,2	2.004,2	2.307,7	2.648,4	3.041,1	3.488,4	3.982,8
Working Capital & Other Operating Adjustments	(1.153,5)	(3.270,6)	(557,5)	(258,9)	(4.010,5)	(906,9)	(972,2)	(1.233,3)	(1.268,4)	(1.868,3)	(2.079,1)
CASH FLOW FROM OPERATIONS (CFO)	**5.839,7**	**5.053,8**	**9.517,1**	**11.703,8**	**10.136,0**	**11.539,2**	**13.299,3**	**15.308,9**	**17.888,6**	**20.123,9**	**22.839,7**
INVESTING ACTIVITIES											
Capital Expenditures	(2.911,0)	(3.215,2)	(3.978,3)	(3.275,3)	(5.097,9)	(3.746,3)	(4.263,0)	(4.902,0)	(5.608,2)	(6.325,9)	(7.053,5)
Net Financial Investments & Other Investing	(7.501,9)	8.972,5	(2.570,1)	(5.186,5)	(6.526,8)	(2.221,7)	(3.149,3)	(3.888,4)	(4.277,4)	(4.363,8)	(4.404,1)
CASH FLOW FROM INVESTING (CFI)	**(10.412,9)**	**5.757,2**	**(6.548,4)**	**(8.461,8)**	**(11.624,7)**	**(5.968,0)**	**(7.412,4)**	**(8.790,4)**	**(9.885,6)**	**(10.689,7)**	**(11.457,6)**
FINANCING ACTIVITIES											
Net Borrowings	7.531,2	(7.628,2)	1.689,2	9,308	6.178,8	2,667	2,817	2,968	3,120	3,274	3,429
Equity Issuance / (Share Buybacks)	876	770	731	1,633	1.196,2	1,082	1,197	1,326	1,467	345	-
Dividends Paid	(2.254,2)	(2.222,1)	(2.930,6)	(3.291,9)	(4.573,8)	(3.428,6)	(3.795,5)	(4.201,5)	(4.651,0)	(5.123,0)	(5.635,3)
Other Financing Activities	-	-	-	-	-	-	-	-	-	-	-
CASH FLOW FROM FINANCING (CFF)	**5.364,7**	**(9.773,3)**	**(1.168,4)**	**(2.197,8)**	**2.801,3**	**(3.053,8)**	**(3.394,0)**	**(3.772,2)**	**(4.192,3)**	**(4.761,1)**	**(5.292,4)**
NET CHANGE IN CASH	**7,915**	**1.037,8**	**1.800,3**	**1.044,2**	**1.312,6**	**2.517,4**	**2.493,0**	**2.746,2**	**3.810,8**	**4.673,1**	**6.089,7**
FX Translation Impact	(59,8)	(15,4)	386	(7,9)	(106,0)	-	-	-	-	-	-
Cash & Cash Equivalents, Beginning	4.686,2	5.417,8	6.440,2	8.279,2	9.315,4	9.808,7	12.326,1	14.819,0	17.565,2	21.376,0	26.049,1
CASH & CASH EQUIVALENTS, ENDING	**5.417,8**	**6.440,2**	**8.279,2**	**9.315,4**	**10.522,1**	**12.326,1**	**14.819,0**	**17.565,2**	**21.376,0**	**26.049,1**	**32.138,9**

FINANCIAL METRICS

FINANCIAL RATIOS	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E
PROFITABILITY											
Gross Margin	38.20%	39.00%	38.60%	37.70%	36.90%	31.80%	31.90%	31.90%	32.10%	32.20%	32.20%
EBIT Margin	15.20%	15.40%	16.10%	16.70%	15.70%	13.90%	14.10%	14.40%	14.70%	15.00%	15.20%
ROE	21.70%	27.20%	28.10%	28.70%	28.30%	25.60%	24.70%	24.20%	23.70%	23.00%	22.10%
ROA	11.20%	12.30%	13.90%	14.30%	14.00%	14.50%	14.60%	14.70%	14.80%	14.80%	14.60%
GROWTH											
Revenue Growth	19.50%	23.40%	19.60%	19.40%	11.60%	11.90%	13.80%	15.00%	14.40%	12.80%	11.50%
EBIT Growth	17.60%	25.50%	24.40%	24.30%	4.60%	11.10%	15.70%	17.20%	17.10%	15.10%	13.10%
NPATMI Growth	22.60%	22.40%	21.80%	21.50%	19.30%	71.80%	14.60%	16.10%	16.00%	14.80%	13.10%
OPERATING											
DSO (days)	70.4	70.5	67.1	66.1	75	85	82	80	78	77	76
Cash Conversion Cycle	47.9	53.6	55.7	42.2	61.4	71.2	67.3	64.5	61.5	60.5	59.5
Asset Turnover	0.75x	0.84x	0.94x	0.95x	0.88x	0.79x	0.78x	0.78x	0.78x	0.76x	0.74x
LIQUIDITY &											
Current Ratio	1.17x	1.25x	1.22x	1.27x	1.37x	1.56x	1.62x	1.68x	1.76x	1.85x	1.95x
Quick Ratio	1.12x	1.17x	1.16x	1.22x	1.32x	1.53x	1.59x	1.65x	1.73x	1.81x	1.92x
Debt / Equity	0.94x	0.49x	0.47x	0.42x	0.48x	0.31x	0.27x	0.23x	0.20x	0.17x	0.15x
Net Debt / EBITDA	(0.86x)	(0.82x)	(0.96x)	(1.24x)	(1.37x)	(1.80x)	(1.98x)	(2.13x)	(2.29x)	(2.44x)	(2.62x)
Interest Coverage	11.19x	10.52x	10.15x	19.05x	13.57x	12.75x	14.15x	15.91x	17.86x	20.10x	22.24x
CASH FLOW QUALITY											
CFO / NPAT	1.09x	0.78x	1.22x	1.24x	0.90x	1.11x	1.11x	1.10x	1.11x	1.09x	1.09x
FCFF Margin	13.10%	7.20%	11.10%	14.80%	8.60%	10.10%	10.00%	9.90%	10.30%	10.10%	10.40%
Capex / Revenue	8.20%	7.30%	7.60%	5.20%	7.30%	6.60%	6.60%	6.60%	6.60%	6.60%	6.60%

APPENDIX B

BUSINESS

FPT'S HISTORY AND SCALE

Journey to Establishing Capabilities and Market Position

1988 — Building a New, Innovative Science and Technology Organization

2005 — First Vietnamese IT company to establish a Japanese subsidiary.

2006 — Secured a US$6.5m Petronas software contract as an overseas prime contractor.

2009 — Delivered Vietnam's largest ERP project, worth US$12.6m, for Petrolimex.

2014 — Acquired RWE IT Slovakia, marking Vietnam's first overseas IT M&A deal.

2015 — Ranked Asia's Top 300 Most Valuable Companies (Nikkei Asian Review).

2016 — Global IT services workforce surpassed 10,000.

2017 — Launched FPT.AI, a comprehensive AI platform.

2015 — Ranked Asia's Top 300 Most Valuable Companies (Nikkei Asian Review).

2018 — Acquired a 90% stake in leading US technology consultancy Intellinet.

2020 — Launched the FPT Cloud platform.

2022 — Established FPT Semiconductor and launched Vietnam's first semiconductor chip.

2024 — Partnered with NVIDIA to build AI factories in Vietnam and Japan, becoming an NVIDIA service delivery partner. Entered Japan's M&A market through the acquisition of NAC.

2025 — Ranked among Asia's Top 40 IT Services Companies.

source: FPT

FPT's Global Office and Delivery Network

ORGANIZATIONAL STRUCTURE

Subsidiaries

Technology

- FPT Smart Cloud — Ownership: 100%
- FPT Software — Ownership: 100%
- FPT Digital — Ownership: 100%
- FPT DIGITAL TECHNOLOGY INFRASTRUCTURE COMPANY LIMITED — Ownership: 100%
- FPT IS — Ownership: 100%

Education, Investment & Others

- FPT Education — Ownership: 100%
- FPT Securities — Ownership: 100%

Associates

Telecom

- FPT Telecom — Ownership: 45,66%
- FPT Online — Ownership: 49,52%
- SYNNEX FPT — Ownership: 48%
- FPT Retail — Ownership: 46,54%

source: FPT

FPT TECHNOLOGY M&A AND STRATEGIC INVESTMENTS, 2014–2025

Date	Market / Target	Transaction and ownership	Strategic role in FPT's value chain	Documented outcome
6/2014	Slovakia – RWE IT Slovakia (later FPT Slovakia)	100% control acquisition; consideration undisclosed	Utilities expertise, local European delivery and direct RWE access	Supported 37% global revenue growth in 2014; later won major RWE and innogy contracts
7/2018	US – Intellinet Consulting	Control acquisition; 90% initially, 99.09% by end-2025	Added digital strategy, consulting and solution design	US revenue reached VND1,817bn in 2018 (+55.1%); enabled larger consulting-led wins
2021	Singapore/Vietnam – Base.vn	Control acquisition; 80% initially, 90% by end-2025	Added SME enterprise-management SaaS to Made-by-FPT	Expanded FPT's enterprise digital ecosystem; standalone financials not disclosed
2021	Vietnam – HOMA Technology	Stake increased from 30.43% to 75%	Added electronics, telecom devices and IoT hardware	Supports the hardware layer; no standalone financial disclosure
2021	US/Latin America – Intertec International	Initial 10% strategic investment	Added Latin America nearshore capacity and US time-zone coverage	Established an initial delivery foothold; not consolidated at this stage
2022	Japan – LTS, Inc.	Minority strategic investment; terms undisclosed	Added management and digital-transformation consulting in Japan	Strategic access to larger contracts; no quantified financial outcome
1/2023	US/Latin America – Intertec International	Additional 60%; control achieved; 73% by end-2025	Secured a multi-country nearshore delivery network	Consolidated from 31 Jan 2023; expanded delivery capacity
2023	US – Landing AI	Minority investment and partnership; terms undisclosed	Added applied AI and computer-vision capabilities	Enhanced capability and training; no material standalone revenue disclosed
10/2023	US – Cardinal Peak	100% control acquisition; consideration undisclosed	Added product engineering, embedded systems, IoT, cloud and mobile	Added hundreds of engineers; standalone post-deal financials undisclosed
1/2024	France – AOSIS	80% control acquisition; consideration undisclosed	Added SAP, data, cloud and smart-solution consulting	Consolidated from 31 Jan 2024; standalone financials unavailable
2/2024	Japan – Next Advanced Communications / NAC	100% control acquisition; consideration undisclosed	Expanded consulting, systems, Salesforce and CRM expertise	Doubled Japan customer base and service portfolio; added ~300 engineers
2025	Malaysia – Daythree Digital Berhad	10% minority investment via FPT Malaysia; board seat	Added BPS, managed services and multilingual APAC operations	Access to ~2,000 staff and clients; contribution not disclosed
2025	Germany – David Lamm Consulting	Business operations acquired and integrated into FPT Germany	Added energy-sector consulting and German domain expertise	Strengthened the energy vertical; standalone contribution undisclosed
2025	China/Japan – FPT OKI Changzhou and FPT OKI Dalian	65% control in each company	Added China production capacity and a broader OKI relationship	Both consolidated in 2025; standalone financials undisclosed
2025	Market undisclosed – Blueward	Minority strategic investment; terms undisclosed	Added SAP-AI, S/4HANA and transformation consulting	Strategic rationale disclosed; no measurable financial outcome
2025	Vietnam – Navisoft / Nam Viet Software Solutions	65.58% control acquisition	Added banking, securities and proprietary software expertise	Consolidated in 2025; strategically important, financials undisclosed
2025	Vietnam – FPT Wallet	Stake increased from 30% to 100%; full control	Added payment-intermediary and fintech-platform capabilities	Consolidated in 2025; revenue, users and profitability undisclosed

FPT'S ECOSYSTEM

Four core product groups of FPT AI Factory

FPT AI FACTORY

FPT AI Infrastructure

High-performance GPU cloud computing services to accelerate AI model development and deployment.

FPT AI Studio

Tools for data processing, AI model development, training, and fine-tuning powered by NVIDIA NeMo.

FPT AI Inference

A platform offering a broad range of ready-to-use models, enabling customers to fine-tune and scale them with support from NVIDIA NIM and NVIDIA AI Blueprints.

FPT AI Agents

A comprehensive platform for developing multilingual AI agents.

FPT's FleziPT AI ecosystem and AI-First strategy

AI-integrated SDLC

Build AI agents tailored to each stage of the SDLC

FPT's AI Agents

DevOps | Coding | Testing | Design | BizDev | ...

AI-powered solutions

- **AI software engineering:** *Agent Vista, Code Vista, Test Vista*
- **AI-powered operations tools:** *SkyTrans, SalesMate, FPT.AI, xMainframe, Cobol Park, IvyChat...*
- **Industry-specific AI tools:** *Confidon, AIDP, AI-First SDV...*

AI-augmented engineering workforce

- **100% proficient in AI skills**
- **75% build their own AI assistants**
- **1,500 AI experts (2025)**
- **Certified by leading technology companies (NVIDIA, Microsoft, SAP...)**

Industry-specific services

Banking, Financial Services and Insurance (BFSI)

Manulife, Sun Life, SoftBank, AIA

Energy

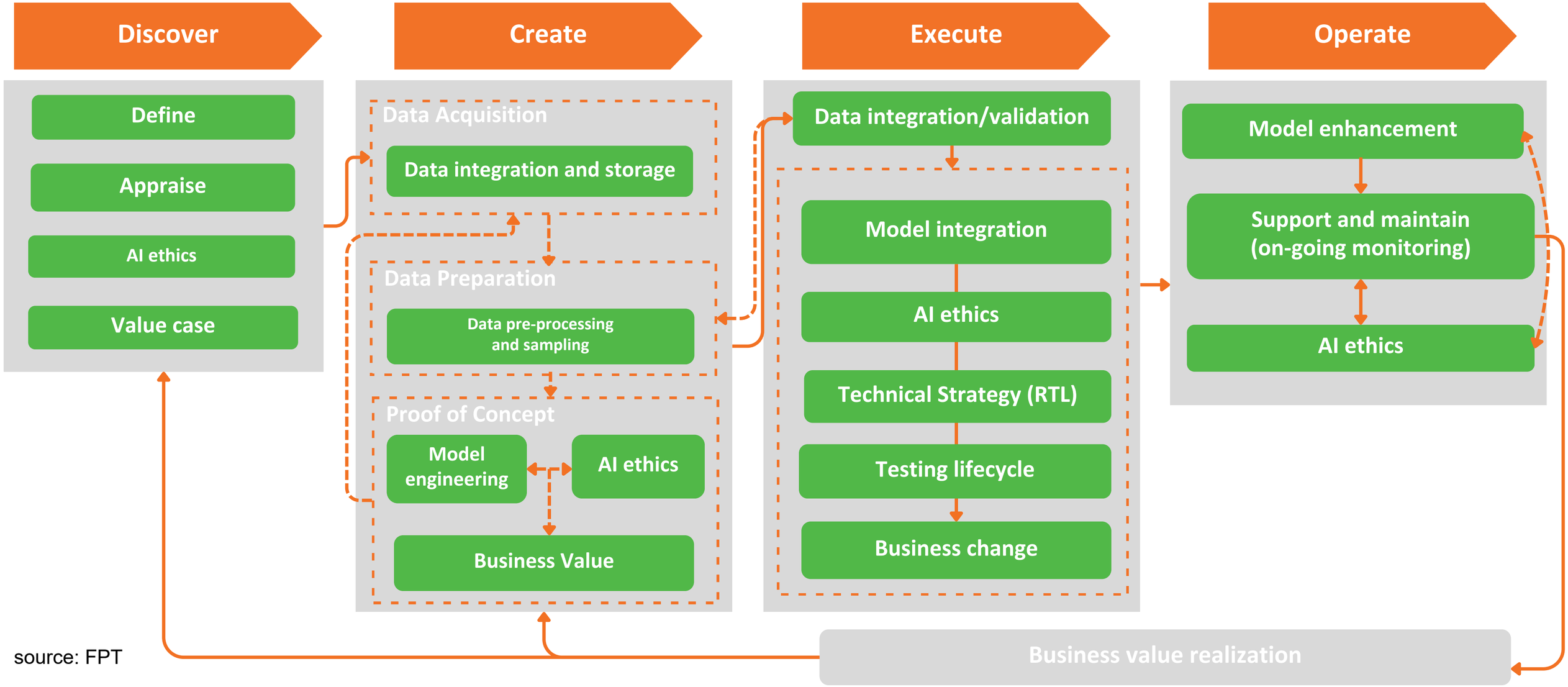
HALLIBURTON, RWE

Manufacturing and automotive software

LG CNS, NEC, Toyota

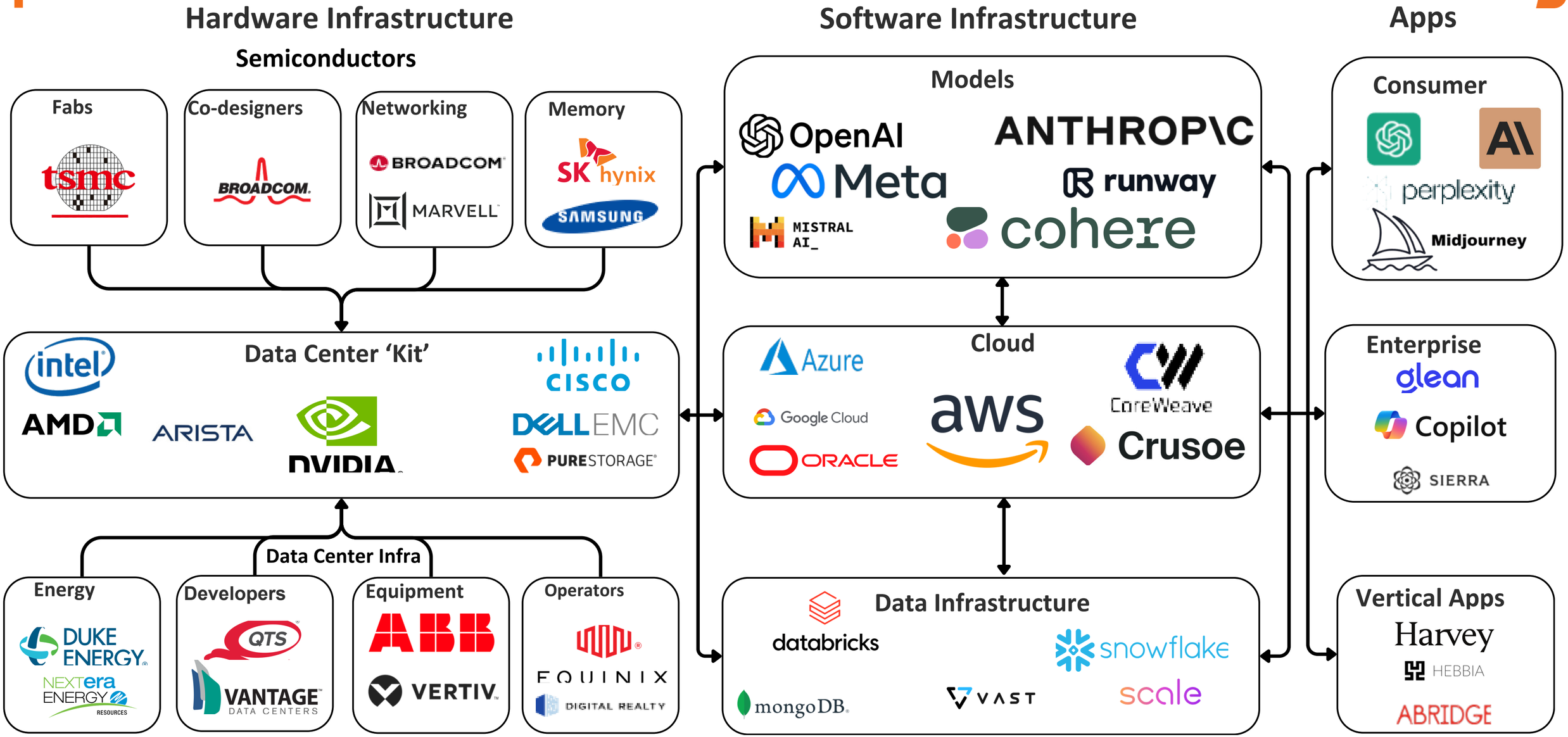
source: FPT

DELIVERY MODEL FOR AI AT SCALE



source: FPT

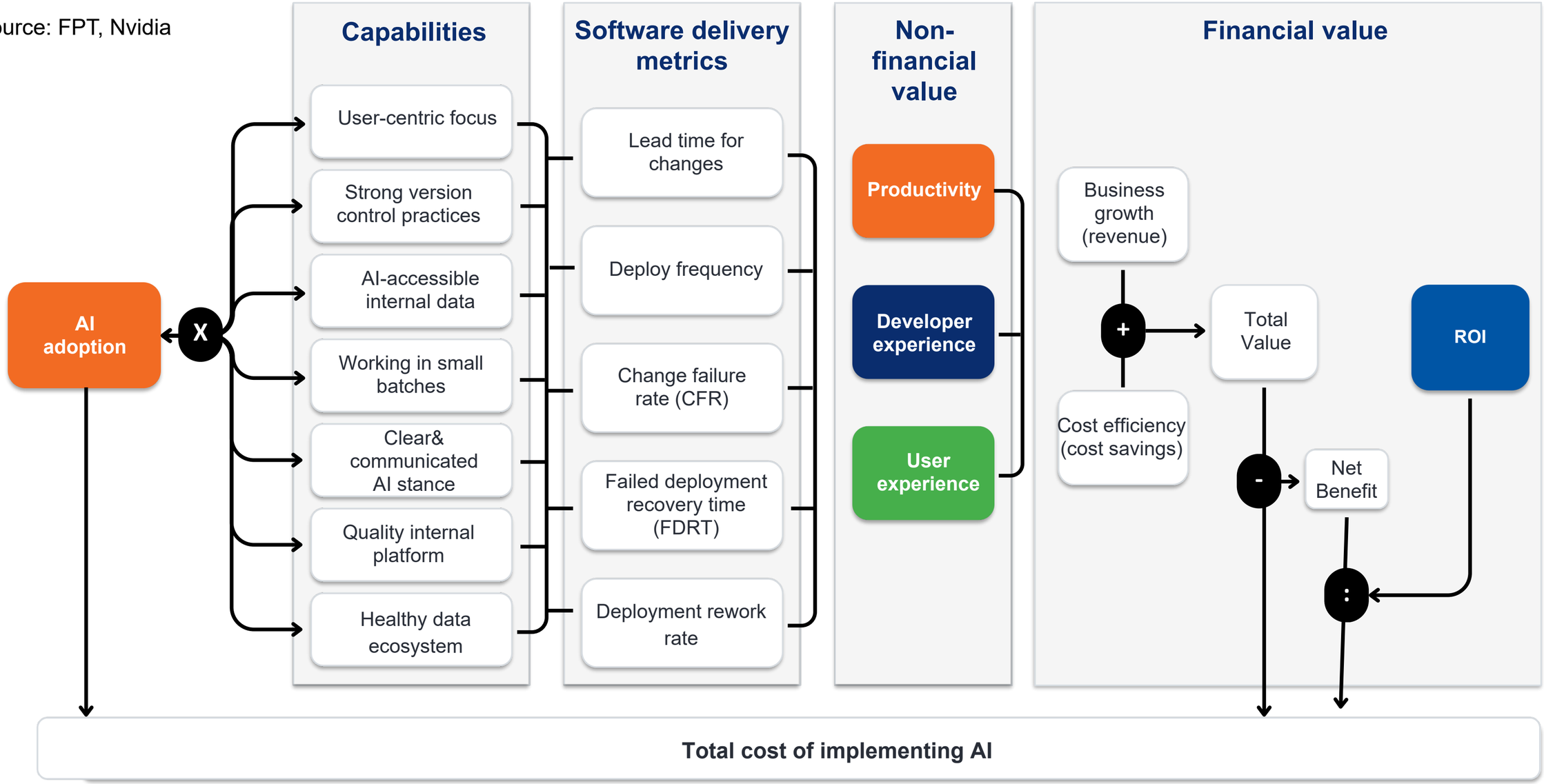
THE AI VALUE CHAIN



source: FPT

DELIVERY MODEL FOR AI AT SCALE

source: FPT, Nvidia



VALUE CHAIN EXPANSION DRIVES GROSS MARGIN IMPROVEMENT.

source: TVI

Region	Consulting	Delivery				Managed Services		Number of Delivery & Sales Offices
		Research	Development	System Integration	Products	Cloud	Data Management	
Americas	CardinalPeak, Intertec International	NUS National University of Singapore, Mila	NVIDIA, Landing AI, CardinalPeak An FPT Company					16
Europe	AOSIS, FPT Slovakia		Fpt Software, Giga, kyndryl, UNIQBIT, P3			AOSIS		11
APAC	NAC, LTS		METRODATA, NAC, Fpt Software					35
Viet Nam	FPT Digital		FPT Software	FPT IS	BASE.VN	FPT Smart Cloud		2

30.000/80.000 employees

APPENDIX C

INDUSTRY

AI LOWERS THE BARRIER TO BUILD BUT RAISES THE BARRIER TO DEPLOY AT SCALE

FPT must move from selling coding capacity to owning enterprise execution.

Threats of Substitutes

Before AI - Medium

- SaaS, low-code/RPA and in-house teams could replace standardized IT work
- Complex core systems still required experienced integrators.

After AI - High

- GenAI and coding agents increasingly automate coding, testing, documentation, ADM and repetitive BPO/ITO.

2.5/5 → **4.2/5**

How FPT escapes

- Automate its own commodity delivery before clients or competitors do.
- Move from coding to consulting, legacy modernization, data engineering, cybersecurity, integration and AI governance.
- Bundle AI infrastructure, platforms, implementation and managed services.
- Shift from time-and-material billing toward fixed-price, consumption- and outcome-based contracts.
- Use FleziPT, FPT AI Agents and Made-by-FPT accelerators to reduce dependence on incremental headcount.

AI LOWERS THE BARRIER TO BUILD BUT RAISES THE BARRIER TO DEPLOY AT SCALE

FPT must move from selling coding capacity to owning enterprise execution.

Threat of New Entrants

Before AI - Medium - Low

- Small software vendors could enter commodity coding
- Enterprise projects remained protected by references, domain knowledge, certification, local sales and delivery scale.

After AI - Medium - High

- Model APIs, open-source software, cloud infrastructure & coding agents reduce the cost of creating prototypes.
- AI-native startups, vertical SaaS firms & hyperscalers can enter the application layer faster.

2.5/5 → **3.5/5**

How FPT escapes

- Turn accumulated customer trust and mission-critical references into an enterprise moat.
- Use M&A and local partnerships to gain consulting capability, client access and prime/co-prime status.
- Build vertical expertise in automotive, manufacturing, BFSI, energy and the public sector.
- Use sovereign AI infrastructure to address data residency, security and governance requirements.
- Combine FPT's delivery scale with NVIDIA, Microsoft, NAC, Sumitomo, SBI and SCSK.

MATERIAL LEGAL, REGULATORY AND POLICY FRAMEWORK AFFECTING FPT

Framework / status	Key FPT & forecast treatment
[B] AI Act (Act 53/2025) Effective Sep-2025	Promotion-led AI framework; supports enterprise AI, data preparation and implementation demand. Positive catalyst in Japan CAGR; no direct revenue entitlement.
[B] Economic Security Promotion Act + Critical Economic Security Information Act Operational 2024–2025	Infrastructure screening and personnel/facility clearances create localisation and project-qualification gates. Higher compliance cost; not a blanket restriction on foreign engineers.
[B] Cyber Response Capacity Enhancement Acts Enacted May-2025	Stronger intelligence sharing and protection of important systems expand SOC, incident-response and managed-security demand, partly offset by higher provider requirements.
[B] APPI Article 28	Vietnam-based personal-data processing requires consent, recognised safeguards or equivalent controls. Embedded in delivery cost, onsite mix and regulated-sector penetration.
[B] FEFTA + Copyright Act Art. 30-4	Sensitive-technology projects require access segregation, classification and audit trails. Copyright exception enables qualifying AI analysis but does not remove provenance or infringement risk.
[B] Fair Transactions / Subcontract Act + Freelance Transactions Act Effective 2024–2026	Stronger price, payment and worker-term discipline may support subcontractor economics, while increasing vendor-governance and staffing administration.
[B/P] Dispatch, immigration, Civil Code, procurement, ISMAP, FISC/MHLW	Onsite staffing, contract form, local credentials and security certifications determine access and project risk. Reflected in localisation, delivery mix and margins; qualified vendors benefit.

Framework / status	Key FPT & forecast treatment
[B] GDPR	Cross-border data, security and processing duties raise cost but create structural cloud, data-modernisation and cybersecurity demand.
[B] EU AI Act GPAI rules from Aug-2025	Requires risk classification, documentation, traceability, human oversight and cybersecurity. Positive governance demand, partly offset by delivery cost.
[B] EU Data Act Applicable Sep-2025	Industrial-data access, interoperability and cloud switching expand automotive, manufacturing, IoT, data-platform and migration opportunities.
[B] NIS2 + DORA DORA from Jan-2025	Cyber, incident-reporting and ICT-resilience duties support recurring security and BFSI demand; capture requires local compliance capability.
[B] Cyber Resilience Act	Reporting starts Sep-2026; main duties Dec-2027. Material for product engineering and lifecycle vulnerability management; less relevant to staff augmentation.
[P] Digital Europe Programme EUR7.59bn, 2021–2027	Funds AI, cyber, supercomputing, semiconductors and digital skills. Demand catalyst only; no revenue without contract wins.
[P] EU Data Union Strategy — Published Nov-2025	Expands data availability for AI, streamlines EU data rules and supports trusted cross-border data flows. Creates data-platform, governance and cloud-integration opportunities; policy pipeline only, with no direct revenue entitlement.

[B] Binding / effective [P] Policy, procurement or non-binding guidance [W] Proposed / watchlist

MATERIAL LEGAL, REGULATORY AND POLICY FRAMEWORK AFFECTING FPT

Framework / status	Key FPT & forecast treatment
[B] Goods tariffs incl. temporary Section 122 surcharge Through 24 Jul-2026	FPT IT-service exports are not directly tariffed. Higher client input costs and uncertainty may delay IT spending; near-term macro headwind only.
[B] H-1B entry restriction Sep-2025; 12 months unless extended	Covered new petitions require a one-time USD100,000 payment, raising onsite cost. Vietnam offshore and Intertec nearshore delivery may improve relative positioning.
[B] Other immigration / entry controls	No blanket ban on Vietnamese or Indian IT workers in the relevant 2025 country list. Main impact is scrutiny, processing time and localisation cost; no revenue haircut.
[W] HIRE Act – S.2976	Proposed 25% excise tax and deduction denial for certain offshore-outsourcing payments could weaken offshore economics. Not enacted; bear-case trigger only.
[B/W] 2026 Special 301 PFC designation + Section 301 IP investigation	Vietnam's IP-enforcement record is under formal USTR investigation. Raises software-licensing, code-provenance and client-audit requirements for FPT; any trade remedy remains unquantified and should be treated as a bear-case trigger, not a base-case revenue loss.

Framework / status	Key FPT & forecast treatment
[B/P] Resolution 193/2025 + Resolution 57-NQ/TW	Prioritise science, technology, AI, semiconductors and digital transformation. Pipeline upside; model only after budgets and contracts.
[B] Data Law 60/2024 Effective Jul-2025	Supports database integration, sovereign cloud and data platforms while raising governance duties. Positive demand with compliance-cost offset.
[B] Personal Data Protection Law 91/2025 + Decree 356/2025 Effective Jan-2026	Processing, security and transfer duties apply across cloud, AI, outsourcing and digital platforms; direct group-wide compliance requirement.
[B] Digital Technology Industry Law 71/2025 Effective Jan-2026	Supports AI Factory, cloud, Made-by-FPT products, data centres and semiconductors. Structural catalyst; incentives are eligibility-dependent.
[B] Artificial Intelligence Law 134/2025 Effective Mar-2026	Adds AI governance and risk-management duties. Raises FPT.AI cost while creating assurance, governance and advisory demand.
[B] Digital Transformation Law 148/2025 + High Technology Law 133/2025 Effective Jul-2026	Supports public/enterprise transformation and strategic-technology investment. Positive pipeline; no tax benefit before entity qualification.
[B] Cybersecurity Law 116/2025 + State Secrets Law 117/2025 Effective 2026	Higher security, access, storage and critical-data controls; cost increase but positive security demand and a gate for government work.
[B] Decree 147/2024 Effective Dec-2024	Internet, online-information, verification and content rules affect FPT Play, hosting and related operations. Compliance cost with entry-barrier benefit.
[B] E-Commerce Law 122/2025/QH15 + Decree 248/2026/ND-CP — Effective Jul-2026	Seller verification, platform disclosures, complaint handling, data retention and regulatory-cooperation duties apply to qualifying intermediary platforms. Compliance cost for relevant FPT digital platforms, partly offset by stronger trust and entry barriers; no group-wide revenue uplift.
[B] Decree 161/2026/ND-CP + Social Insurance Law 41/2024/QH15 — Effective Jul-2026	Raises the public-sector base salary to VND2.53mn/month and the BHXH/BHYT contribution ceiling from VND46.8mn to VND50.6mn. No direct FPT salary reset; model only higher employer contributions for Vietnam employees above the former cap.

[B] Binding / effective [P] Policy, procurement or non-binding guidance [W] Proposed / watchlist

Beyond technical capabilities, human capital also plays a critical role in project execution.

Bid Category / Project Type	Core Competency	Weight
DX System Development (JETRO Projects)	Core enterprise business systems capability. Focuses heavily on resource acquisition, local talent development, training, and follow-up/mentoring of dispatched on-site personnel.	**40%**
DX System Development (Digital Focus Projects)	Technical architecture capabilities, including technical blueprint design, cross-functional collaboration, and information security/risk control (multi-criteria *). Strong requirement for 24/7 on-site support.	**46%**
Autonomous Driving Infrastructure	Niche/Specific domain experience and expertise (automotive raw data processing, autonomous driving algorithms, etc.), business logic understanding, and team coordination capabilities.	**51%**

Appendix C - Industry

Evaluation Item List for the 'Construction and Operation of Chat UI Environment using Generative AI' Project

Section	ID	Topic	Self-contained evaluation criterion	Max points	Meets requirement (○)
1. Overall Approach	1.1.1	Contract scope	Bidder accepts a single contract for the full Part III scope (design, build, tuning, testing, delivery, O&M); no partial-scope proposals.	-	Compliance
	1.2.1	Overall delivery approach	Does the approach coherently deliver all requirements and identify the key success factors for design, build, tuning, testing, deployment, and operation?	10	Mandatory
2. Functional Requirements	2.1.1	Platform and configuration	Is there a concrete configuration built primarily on Azure using Azure OpenAI (AOAI)? Reusable services may support RAG and analytics.	10	Mandatory
	2.1.2	Reuse, assurance, and extensibility	Does the architecture use ISMAP-listed (or equivalently assured) services and maximize reuse of Azure/market services to cut custom build? Favor concrete, modular, extensible designs.	20	Bonus
	2.1.3	User roles	Are functions and access defined for all three groups: IPA end users, system administrators, and dev/ops/maintenance staff (full access)?	10	Mandatory
	2.1.4	Response-accuracy tuning	Is there a strong, concrete plan to improve answer accuracy (retrieval/chunking, prompt/parameter tuning, evidence-based evaluation), balancing cost and agreeing target quality with IPA?	20	Bonus
	2.2.1	End-user UI	Does it deliver the full end-user UI: Azure AD identity and role-based access; ChatGPT-style chat (model selection, history, prompts, RAG dictionary, 1-5 rating+comments, source display, tuning, streaming); RAG chat with cited passages; personal logs and question reuse; RAG dictionary/document management (upload, overwrite, search/filter); and RAG access-rights management?	10	Mandatory
	2.2.2	Response rating quality	Beyond a 1-5 rating and comment, does the design make feedback more valid, consistent, and useful for evaluation and tuning?	5	Bonus
	2.2.3	Additional end-user features	Does it add useful end-user features beyond the minimum (reuse of prior inputs, announcements, internet-search answers, content-filter checks, extra tuning parameters, etc.)?	20	Bonus
	2.2.4	Administrator UI	Does it deliver the admin UI: navigation to RAG/log/cost/effectiveness modules; view and edit RAG-dictionary status and size; configure RAG settings (chunk size, overlap) per dictionary; view/filter all user logs; and export full logs as CSV?	10	Mandatory
	2.2.5	Additional admin features	Does it add useful admin functions beyond the minimum (e.g., audit logs for RAG-dictionary changes) that improve control, traceability, and operations?	20	Bonus
	2.2.6	Implemented service functions	Does it implement all core functions: standard chat with I/O logging; RAG chat with chat/tuning/logging; RAG tuning via environment variables (per-dictionary, with defaults); dictionary/document management; and complete chat-access logging?	10	Mandatory
	2.2.7	RAG tuning parameters	Does it offer a broad set of RAG/chat tuning parameters (model, max tokens, temperature, top_p, penalties, chunk size, overlap) with defaults and per-dictionary settings, and justify any omissions?	5	Bonus
	2.2.8	Logging breadth	Does it log more than the baseline: user ID, model, prompt, answer, input/output tokens, timestamp, and the RAG source documents/passages used?	5	Bonus
	2.2.9	RAG log-volume control	Does it effectively reduce RAG-log volume and cost while keeping information needed for audit, analysis, troubleshooting, and evaluation?	5	Bonus
	2.2.10	Additional implemented functions	Does it add useful user or service functions beyond chat, RAG, tuning, dictionary management, and logging, with clear user value?	20	Bonus
	2.2.11	Analytics/evaluation admin UI	Does it provide both analytics modules from chat logs/ratings: (i) cost analysis at individual/organization/overall levels and (ii) quantitative and qualitative effectiveness evaluation - favoring low custom build and high extensibility?	10	Mandatory
	2.2.12	Cost analysis and monitoring	Is cost analysis concrete, covering individual/organization/overall views and built on Azure, Power BI, or similar to minimize custom build? Higher scores for cost allocation by organization and extra analysis.	20	Bonus
	2.2.13	Effectiveness evaluation	Is effectiveness evaluation concrete and built on Azure, Power BI, or similar? Higher scores for user count, usage, reuse rate and trends, rating distributions/trends, question-topic analysis, and further useful measures.	20	Bonus
	2.2.14	Additional analytics/admin functions	Does it add useful admin analytics or evaluation functions beyond the required cost and effectiveness modules, with clear operational or decision-making benefit?	20	Bonus

Evaluation Item List for the 'Construction and Operation of Chat UI Environment using Generative AI' Project

Section	ID	Topic	Self-contained evaluation criterion	Max points	Meets requirement (○)
3. Non-functional Requirements	3.1.1	All non-functional requirements	Does it meet all non-functional requirements? Capacity: ~1,000 users, 6 Q/day (half RAG), ~15 expandable dictionaries (~100 files x 10,000 chars), 3+ months of backed-up logs. Performance: balance quality vs. Azure cost, ~3-second responses. Availability: 24x365 (ex. maintenance), <=~12 stop-hours/year, redundancy, IaC/image recovery. Environment: browser-only on IPA desktops via Edge/Chrome, secure VPN/TLS. Security: access restrictions, 30+ days of synced logs, vulnerability/malware controls, HTTPS-only, least-privilege, encryption, secure development, and equivalent subcontractor safeguards.	10	**Mandatory**
	3.1.2	Performance tuning and cost	Does it fully meet performance needs and add practical tuning/cost measures? Using ~100 files (10,000 chars) and ~10 Q&A examples, optimize splitting/settings, balance quality vs. monthly Azure cost, agree targets, aim for ~3-second responses, and report/remediate exceptions.	20	**Bonus**
4. Testing	4.1	Test requirements	Does it cover all testing duties: test functional/non-functional requirements; get IPA approval of items, methods, results, and plan; verify environment and app; fix defects and report; define/agree/submit test data; remove test data and unused services; support acceptance; and leave the system operation-ready?	10	**Mandatory**
	4.2	Enhanced test approach	Beyond the mandatory duties, is the test plan more specific and effective - with credible coverage, methods, environments, data, responsibilities, entry/exit criteria, defect handling, evidence, and acceptance support?	5	**Bonus**
5. Operations & Maintenance	5.1	Operations and maintenance	Does it meet all O&M requirements: an O&M manual (build, backup, vulnerability and malware response); inquiry support up to 10 hrs/month on weekdays 09:30-18:15; ongoing operation; Azure/other charges through 31 Mar 2025 using stated capacity; and a fixed monthly fee plus period total?	10	**Mandatory**
	5.2	Enhanced O&M approach	Beyond the mandatory duties, is the O&M approach more specific and effective on procedures, monitoring, backup/recovery, vulnerability/malware response, inquiries, responsibilities, continuity, and cost?	5	**Bonus**
6. Project Management	6.1.1	Project management baseline	Does it meet all PM requirements: IPA-approved project plan ~2 weeks after contract (approach, WBS, organization, quality/risk/issue management, traceability, feasibility); detailed schedule; qualified team; org chart and WBS (task, assignee, duration, effort, deliverables); security organization and change control; issue tracking; and weekly and ad hoc meetings with minutes?	10	**Mandatory**
	6.2.1	Team GenAI/AOAI/RAG experience	Does the team show deep, differentiated generative-AI and Azure OpenAI experience? Baseline: >=1 member experienced in secure, stable AOAI service and >=1 with RAG development able to propose performance improvements.	20	**Bonus**
	6.2.2	Organizational delivery record	Does the bidder show organizational strength: >=5 Azure-based web-system engagements and a strong information-security track record, with specific evidence?	20	**Bonus**
	6.2.3	Project manager experience	Does the project manager have substantial generative-AI/Azure OpenAI delivery experience beyond the baseline (PM qualification/PMP or equivalent, PMBOK 7+, strong communication skills)?	20	**Bonus**
7. Work Scope & Delivery	7.1.1	Schedule	Does the schedule match the milestones: agree design outline within 1 month; build chat UI next month; tune it the following month; begin acceptance support 14 days before delivery; and provide O&M and inquiry support 20 Dec 2024 - 31 Mar 2025?	10	**Mandatory**
	7.2.1	Project plan and WBS deliverable	For Deliverable 1, does it commit to an IPA-approved Project Plan and WBS covering delivery approach, organization, quality/risk/issue management, traceability, and test achievement, with each task's assignee, duration, effort, and deliverables?	10	**Mandatory**
	7.2.2	WBS quality	Is the WBS more detailed and executable than the minimum, linking phases and tasks to owners, timing, effort, dependencies, milestones, review/approval points, and deliverables?	5	**Bonus**
8. Other	8.1.1	Work-life balance accreditation	Does the bidder hold a qualifying Japanese work-life-balance accreditation: Eruboshi/Platinum Eruboshi, Kurumin/Try Kurumin/Platinum Kurumin, or Youth Yell?	20	**Bonus**

Evaluation Item List for the 'Construction and Operation of Chat UI Environment using Generative AI' Project

The evaluation first applies a mandatory eligibility gate. The bid must satisfy the **Compliance requirement** and all **13 Mandatory requirements.**

After passing the mandatory eligibility gate, the bid is evaluated against **20 Bonus** criteria.

$$S_{bonus} = \sum_{j=1}^{20} b_j, 0 \leq S_{bonus} \leq 295$$

*Each bonus criterion is scored based on proposal quality and added value.

For a bid that passes the mandatory eligibility gate, the final score is:

$$S_{total} = 130 + \sum_{j=1}^{20} b_j, S_{total}^{max} = 130 + 295 = 425 points$$

Peers Profile

Peers are selected to ensure comparability with FPT's IT Services business.

Business model

IT Services, outsourcing or digital transformation must account for at least **60%** of revenue, while companies with over **30%** of revenue from hardware or ICT distribution are excluded

Geographic exposure

Companies must originate from **cost-competitive outsourcing markets**, derive at least **40%** of IT Services revenue internationally, and operate in at least two of **FPT's key markets** (US, Japan, Europe or APAC).

AI capability

Peers must demonstrate broad AI integration across their service offerings

Scale

Companies must have a **market capitalization** comparable to FPT and employ at least **10,000 engineers** to ensure comparable delivery capacity.

Appendix C - Industry

Peers Profile

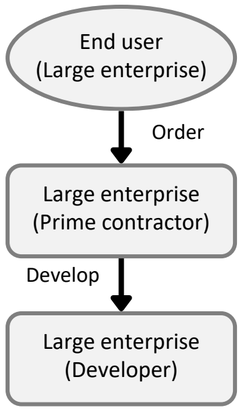
Name & Position	Description	Revenue Segments	Financial Metrics
TCS *Global tier-1 IT services leader*	The largest IT services company in India, strong in enterprise outsourcing, consulting, cloud, data, AI, and managed services.	**Geography:** North America, UK, Europe, India, RoW. **Core Verticals:** BFSI, Retail/Consumer, Manufacturing, Life Sciences, Technology & Services.	**FY2025 Revenue:** INR 2, 553bn **L3Y Rev CAGR:** ~10.0% **FY2025 PBT margin:** ~25.6%
Infosys *Premium Indian IT major*	Tier-1 IT services provider, standing out in digital transformation, consulting, cloud migration, AI/data, and large enterprise accounts. Compared to TCS, Infosys has a profile leaning more towards digital/consulting.	**Geography:** North America is the largest, followed by Europe, RoW, India. **Core Verticals:** Financial Services, Retail, Communication, Energy/Utilities, Manufacturing, Hi-tech.	**FY2025 Revenue:** USD 19.3bn **L3Y Rev CAGR:** ~5.7% **FY2025 PBT margin:** ~23.1%
Wipro *Large IT services turnaround peer*	Providing IT consulting, application services, cloud, cybersecurity, engineering, and BPO. In the recent period, growth has been weaker than peers; currently restructuring to improve growth and margins.	**Geography:** Americas, Europe, APMEA. **Services:** IT services are dominant, IT products are very small. **Verticals:** BFSI, Consumer, Healthcare, Energy, Technology.	**FY2025 Revenue:** INR 891bn **L3Y Rev CAGR:** ~3.8% **FY2025 PBT margin:** ~19.6%
HCLTech *Engineering & infrastructure specialist*	Strong in infrastructure management, engineering/R&D services, cloud, and software products. HCLTech is a good peer to compare with FPT regarding outsourcing + engineering capabilities.	**Services:** IT & Business Services, Engineering/R&D Services, HCLSoftware. **Geography:** Americas, Europe, RoW.	**FY2025 Revenue:** INR 1, 171bn **L3Y Rev CAGR:** ~10.9% **FY2025 PBT margin:** ~19.9%
Tech Mahindra *Telecom-heavy IT services peer*	IT services company belonging to the Mahindra Group, with large exposure to telecom, communications, network services, and enterprise digital transformation. Margins dropped significantly during FY24 but are recovering.	**Verticals:** Communications, Manufacturing, BFSI, Technology, Healthcare, Retail. **Geography:** Americas, Europe, RoW.	**FY2025 Revenue:** INR 530bn **L3Y Rev CAGR:** ~5.9% **FY2025 PBT margin:** ~10.7%
LTIMindtree *Post-merger mid-tier challenger*	Large-scale IT services company following the merger between LTI and Mindtree, strong in cloud, data, ERP modernization, digital engineering, and enterprise transformation. The merger effect should be noted when comparing historical data.	**Verticals:** BFSI is the largest, followed by Technology/Media, Manufacturing, Consumer, Healthcare. **Geography:** North America, Europe, RoW.	**FY2025 Revenue:** INR 380bn **FY23-FY25 Rev CAGR:** ~7.0% **FY2025 PBT margin:** ~16.4%
Cognizant *US-listed global IT services major*	US-listed IT services company, strong in BFSI, healthcare, digital engineering, cloud, data, automation, and business process services. It is a good peer for FPT in global delivery and large enterprise accounts.	**Segments FY2025:** Financial Services ~30%, Health Sciences ~29%, Products & Resources ~25%, Communications/Media/Tech ~16%.	**FY2025 Revenue:** USD 21.1bn **L3Y Rev CAGR:** ~2.8% **FY2025 PBT margin:** ~16.5%
Coforge Ltd *High-growth mid-cap IT services*	Fast-growing mid-cap IT services company, with strengths in BFSI, Insurance, Travel/Transportation, and digital operations. FY25 is affected by the Cigniti acquisition	**Verticals:** BFSI, Insurance, Travel/Transportation/Hospitality, Healthcare, Public Sector. **Geography:** Americas, EMEA, RoW.	**FY2025 Revenue:** INR 121bn **L3Y Rev CAGR:** ~23.3% **FY2025 PBT margin:** ~10.8%
Mphasis Ltd *BFSI-focused digital services peer*	IT services company heavily focused on BFSI, cloud transformation, application modernization, and digital engineering. Revenue relies heavily on the US/direct business; DXC exposure has decreased significantly.	**Revenue mix:** Direct business accounts for the majority; DXC is very small. **Geography:** Americas accounts for the majority. **Vertical:** BFSI is the core focus.	**FY2025 Revenue:** INR 142bn **L3Y Rev CAGR:** ~5.9% **FY2025 PBT margin:** ~15.9%
Persistent Systems *Digital engineering high-growth peer*	Fast-growing mid-cap IT services, strong in digital engineering, software/product engineering, cloud, data, AI, and platform services.	**Verticals:** Software/Hi-tech, BFSI, Healthcare & Life Sciences. **Services:** Digital engineering, cloud, data, AI, enterprise modernization.	**FY2025 Revenue:** INR 119bn **L3Y Rev CAGR:** ~27.8% **FY2025 PBT margin:** ~15.3%

Evolution of Japan's IT industry structure (多層請負 - Tasō ukeoi)

1960s–1970s (Mainframe era)

- Business system development began with the development and adoption of large general-purpose machines (mainframes)
- Aiming to catch up with prime contractors, advanced education promoted entry into the computer business among leading domestic firms
- Specific major firms consistently handled contract development for specific users (e.g., the telephone public corporation)

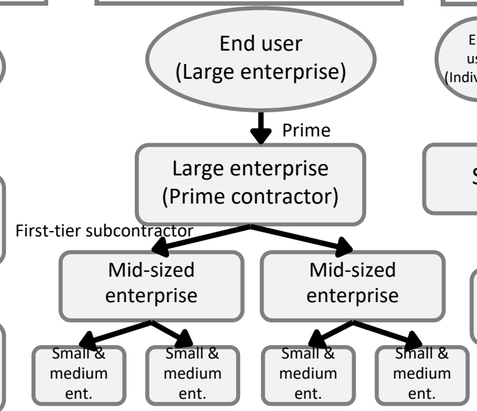
Transactions among specific firms



1980s (PC proliferation era)

- With the spread of computers, IT investment expanded rapidly, led by major corporations (the heyday of mainframes)
- Modularization and decentralization of operations, together with per-man-month contract pricing, advanced outsourcing (invigoration of mainframe contract work)
- As competition among firms intensified, the transaction structure became multi-layered to build an efficient mass-production system

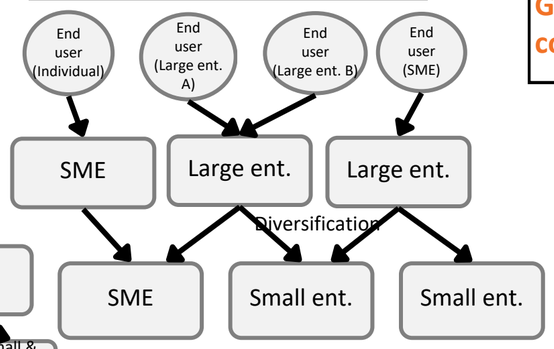
Multi-layered & keiretsu transactions



1990s onward (Open systems & networking era)

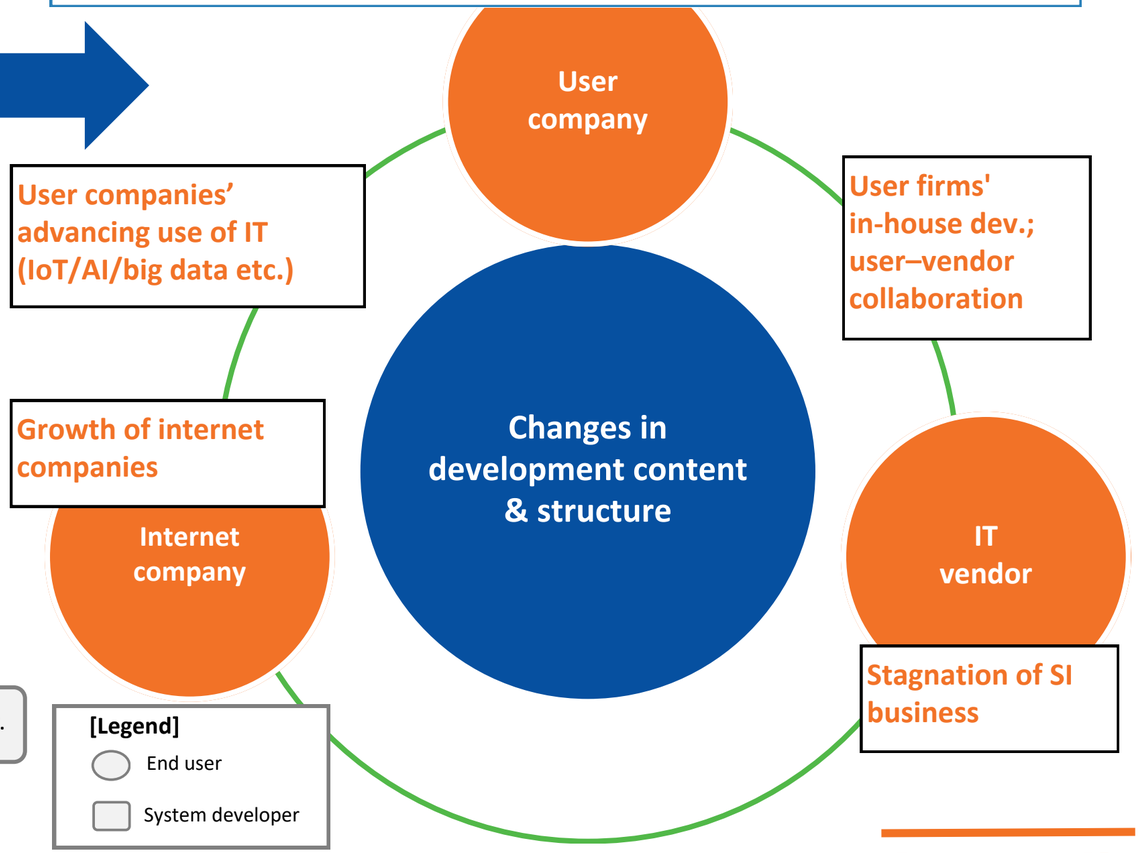
- From around 1990, the spread of PCs and the internet drove downsizing, digitalization, and networking
- Amid this, software development shifted toward open platform software
- Global competition weakened keiretsu ties, and transactions diversified under open systems
- An advanced networked society rapidly raised IT-processing demand at mid-sized and small firms, spurring business-software needs of all scales
- Firms once focused on subcontracting could now win prime-contractor orders as keiretsu collapsed
- Internet growth brought new demand—ASP services, security software, and mobile content

Diversification of transactions, emergence of new businesses

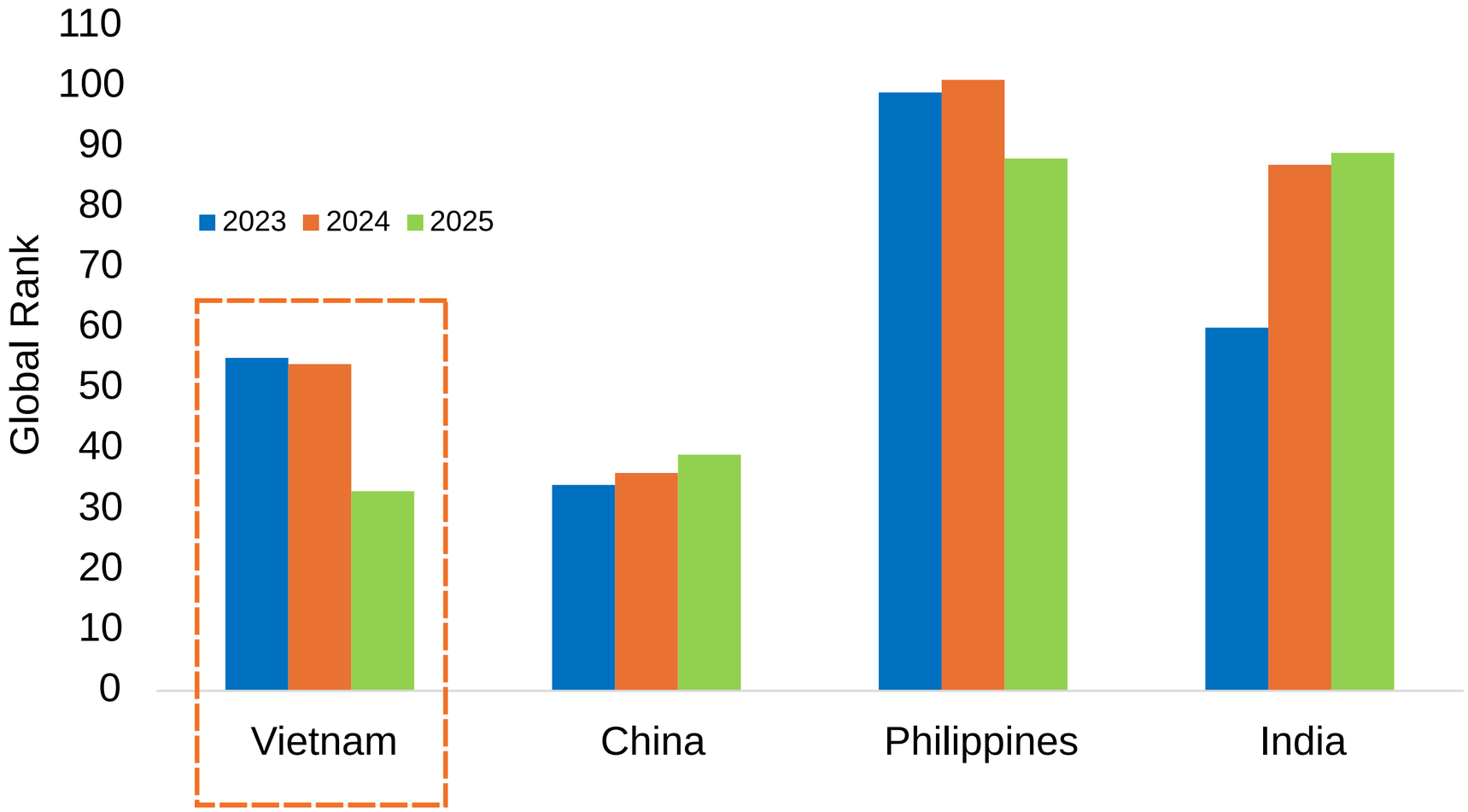


Advancement of cloud, big data, IoT/AI...

- The value of information systems shifts from the value of goods to the value of use
- Rise of internet companies
- Decline of SI business, driven by a shift from large-scale development to speedy/compact development leveraging platforms
- Change in the dualistic industry structure of user companies and IT vendors



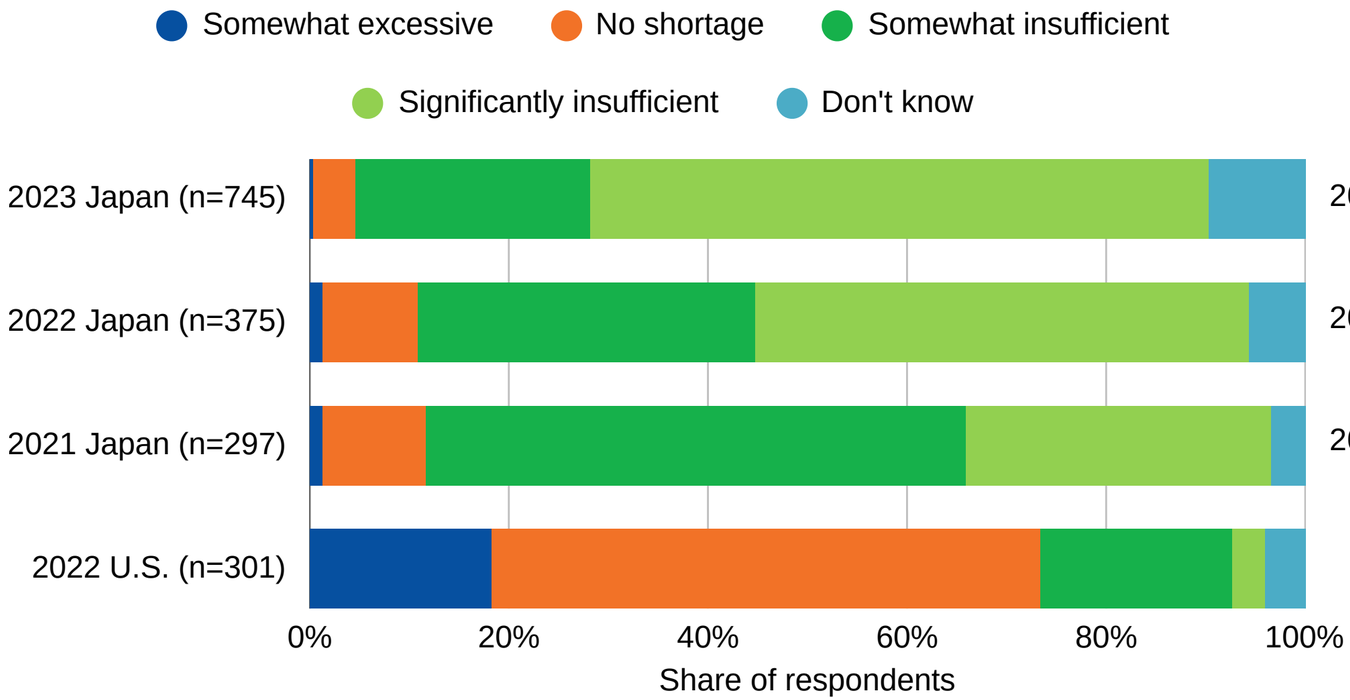
Coursera's Skills Report highlights Vietnam's strong learning agility, ranking highly among outsourcing markets.



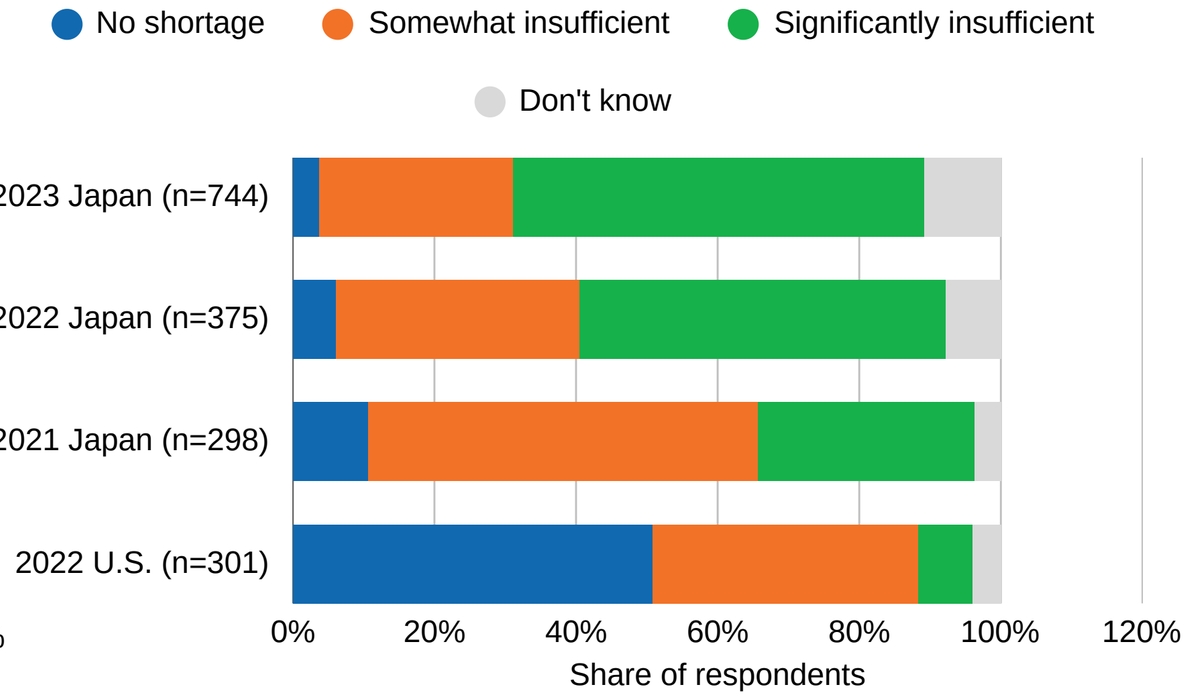
Japan's DX talent shortage is already binding in both quantity and quality

Source: Meti, Team's analysis

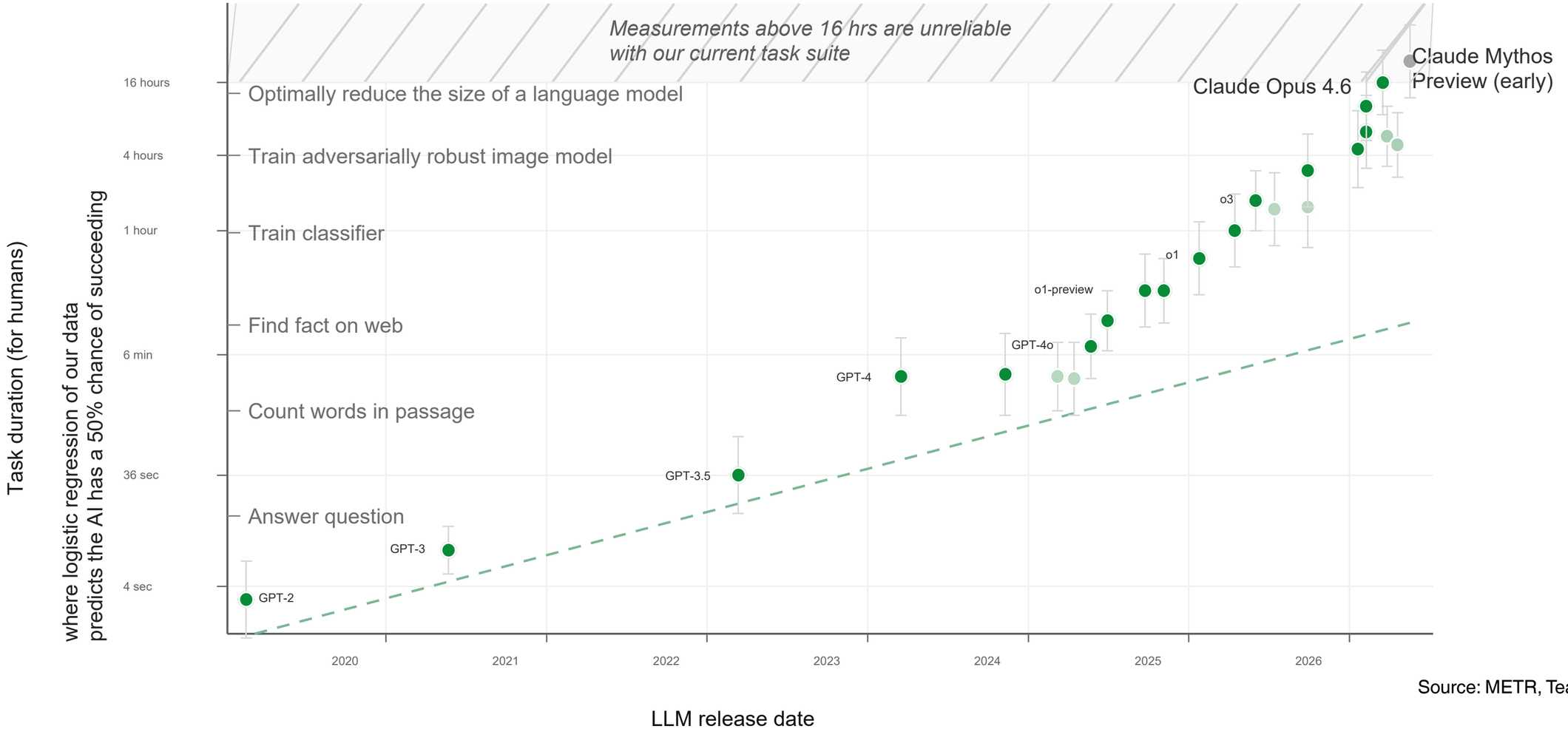
Securing the Quantity of Talent to Drive DX



Securing the Quality of Talent to Drive DX



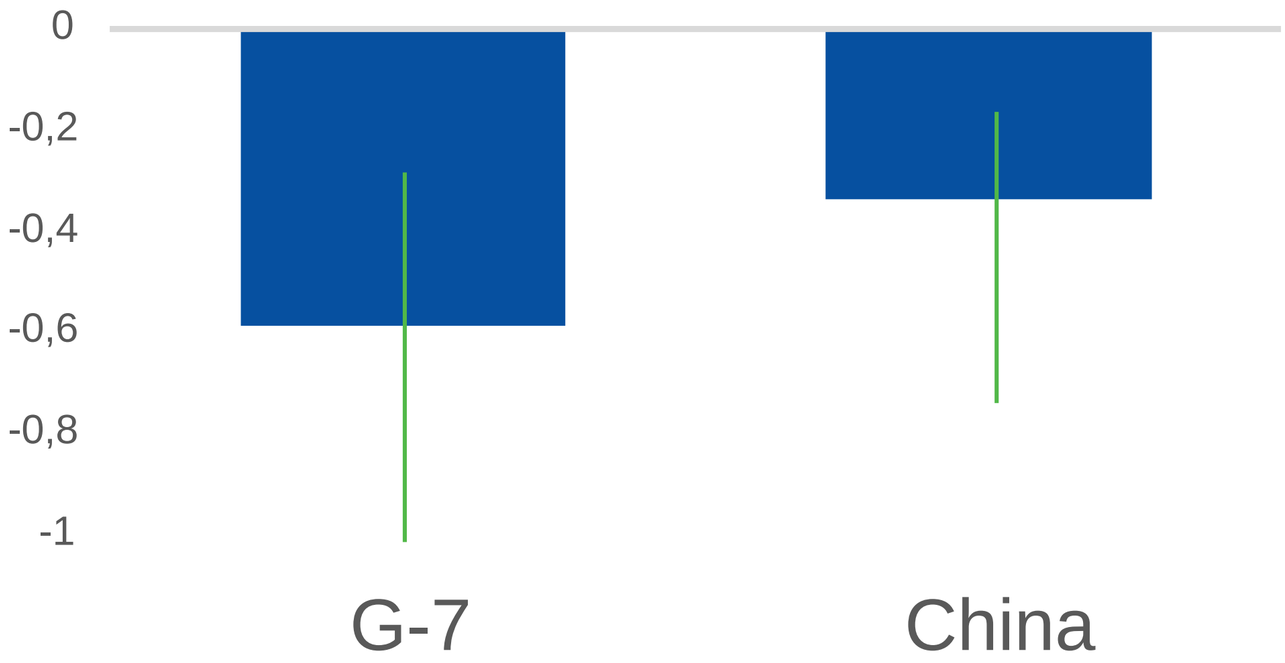
Time horizon of software tasks different LLMs can complete 50% of the time



Source: METR, Team's analysis

Slower growth in the rest of the world will negatively affect growth in developing East Asia.

The impact of one percentage point increase in G-7 and China growth.



Source: WorldBank

Bayesian VAR model

Variables: US monetary policy reaction shock, US real GDP growth, China real GDP growth, commodity weighted prices for recipient country, recipient country real GDP growth, and recipient country exchange rate to the US dollar.

EAP countries

Indonesia, Malaysia, the Philippines, and Thailand.

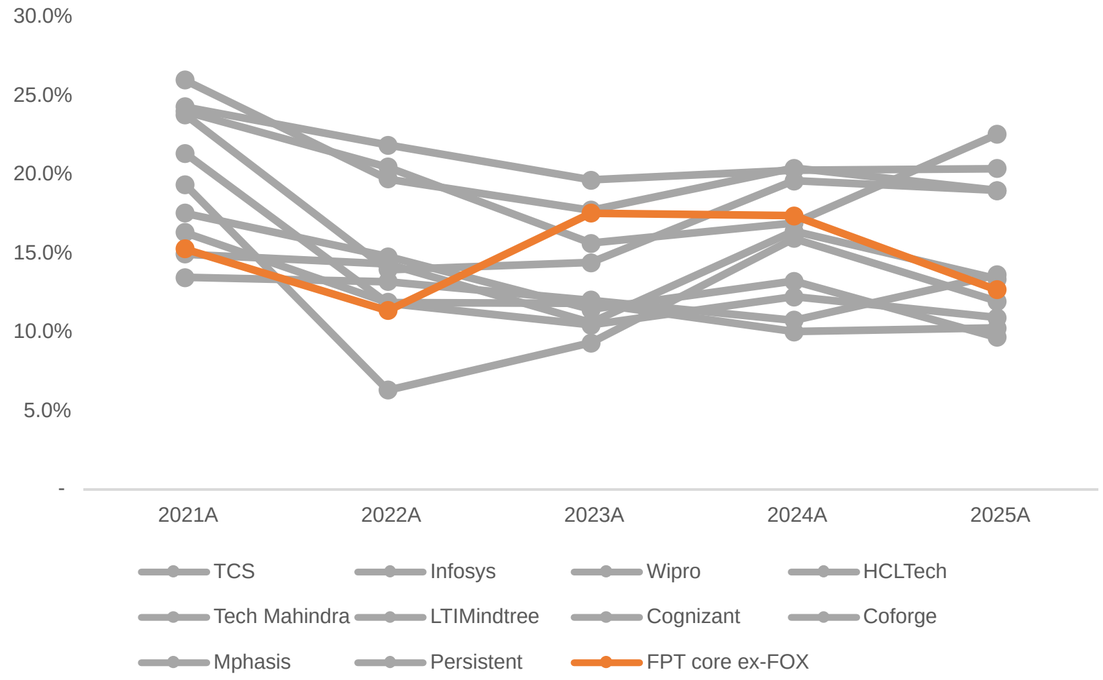
The models are estimated from 2000Q1 to 2022Q4, except in Malaysia which starts in 2005Q1.

APPENDIX D

FINANCIAL ANALYSIS

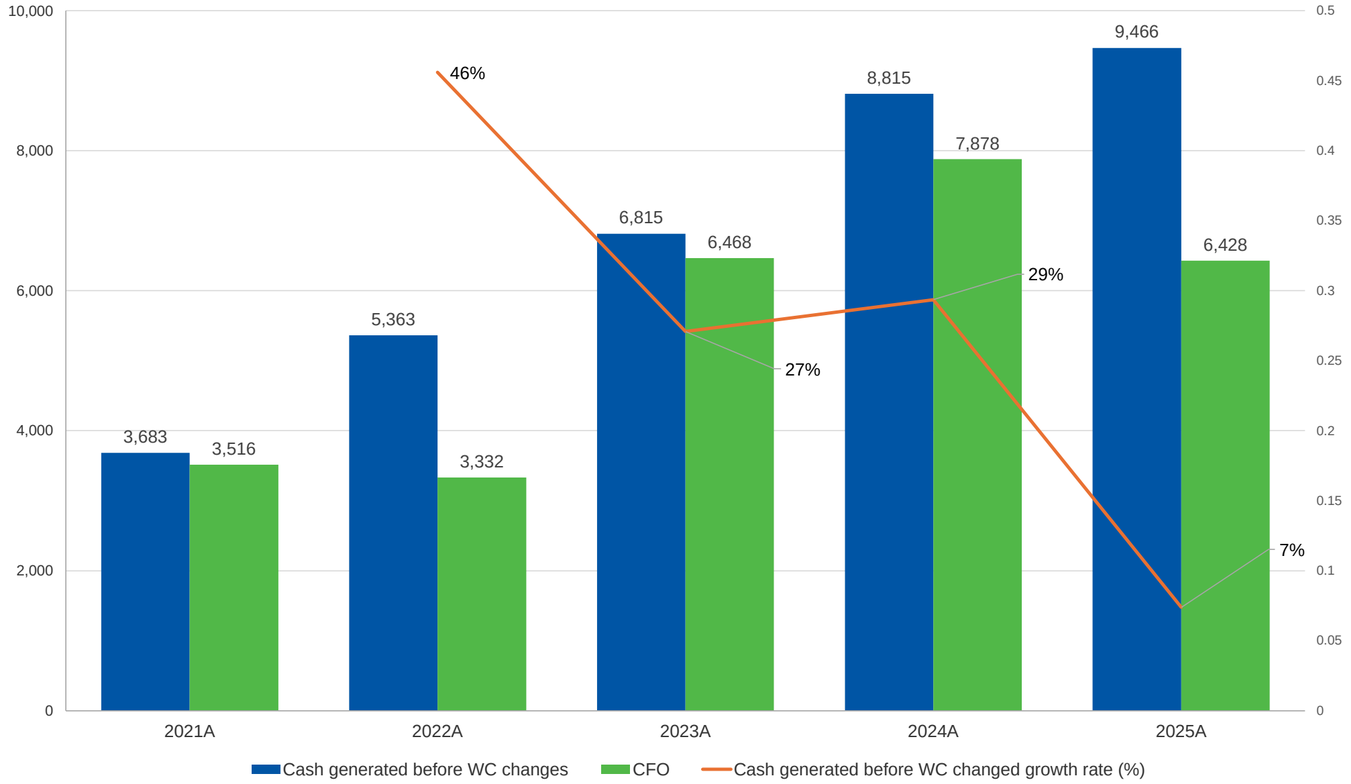
WORKING-CAPITAL PRESSURE WEAKENS CASH CONVERSION

Core FPT CFO-to-revenue fell slightly below selected peers in 2025



source: FOX, FPT, Team's analysis

Pre-working-capital cash increased 7.4%, while CFO declined 18.4% in 2025



source: FOX, FPT, Team's analysis

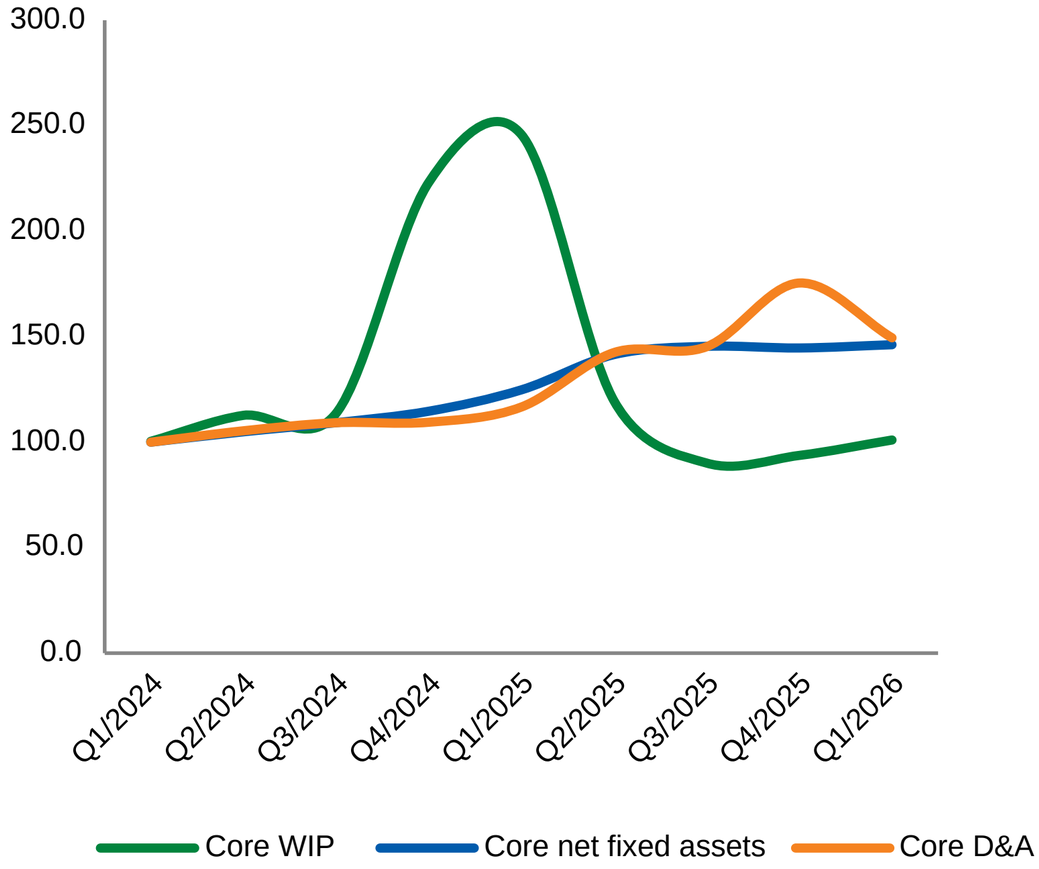
WORKING-CAPITAL PRESSURE WEAKENS CASH CONVERSION

Receivables were the largest cash drag in 2025 (VND bn)

source: FOX, FPT, Team's analysis

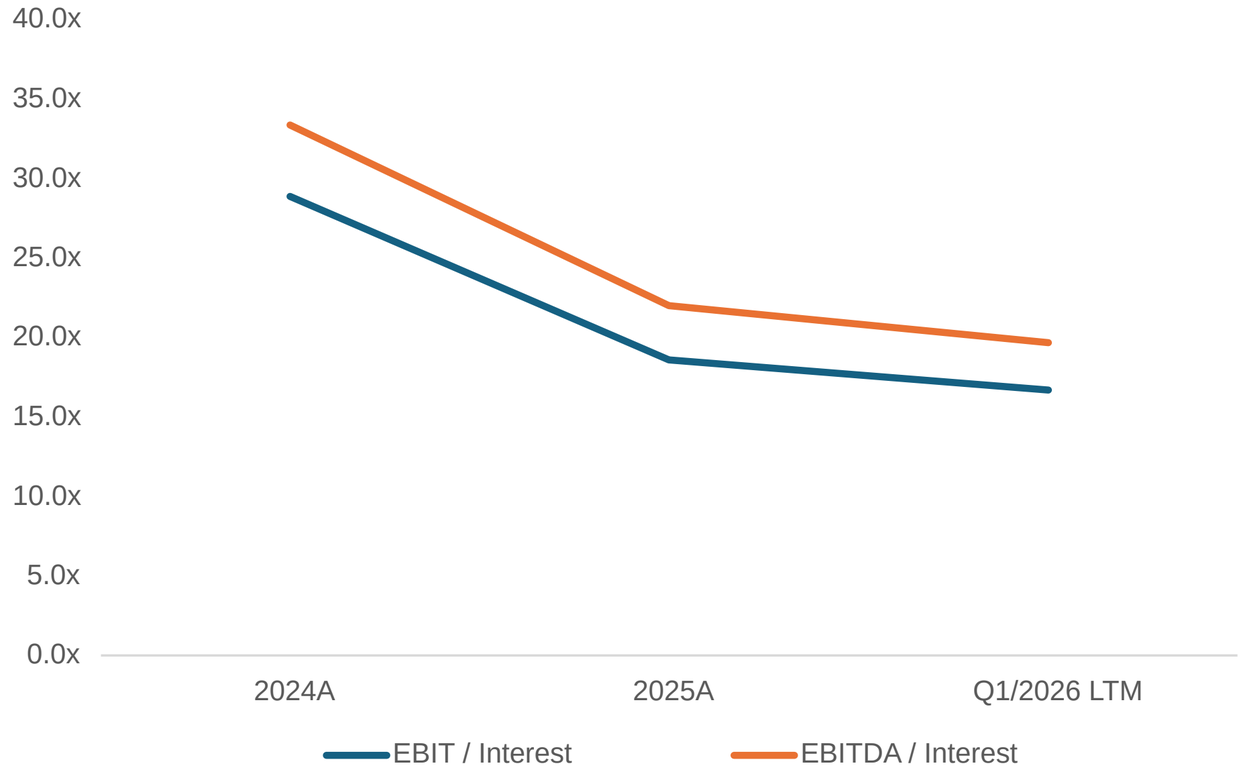
AI CAPEX SPIKED, WHILE FPT RETAINED A STRONG NET CASH BUFFER

Core WIP, net fixed assets and D&A trends (Q1/2024 = 100)

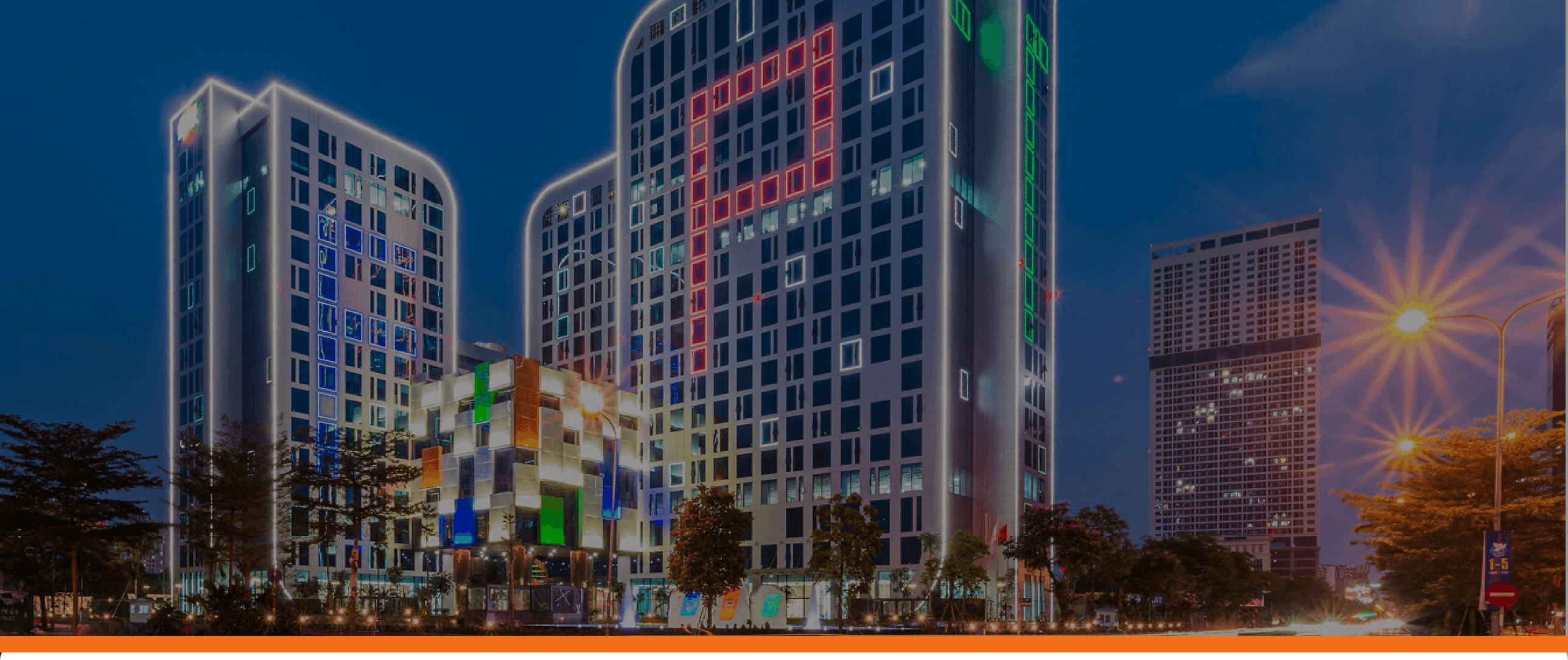


source: FOX, FPT, Team's analysis

Interest coverage moderated but remained robust (x)



source: FOX, FPT, Team's analysis



APPENDIX E

VALUATION

Revenue Assumptions

1 Overseas Technology

A bottom-up deal model supports **14.7%** Overseas Technology revenue CAGR 2026E-2031E

Foreign Technology revenue is forecast across **five service lines** and **five deal-size** buckets in each market:

Revenue = Σ (Deal equivalents × Average contract value) × FX

Revenue increases from VND35.4tn in 2025A to VND80.5tn in 2031E, primarily driven by:

Japan
18.7% CAGR

Europe
22% CAGR

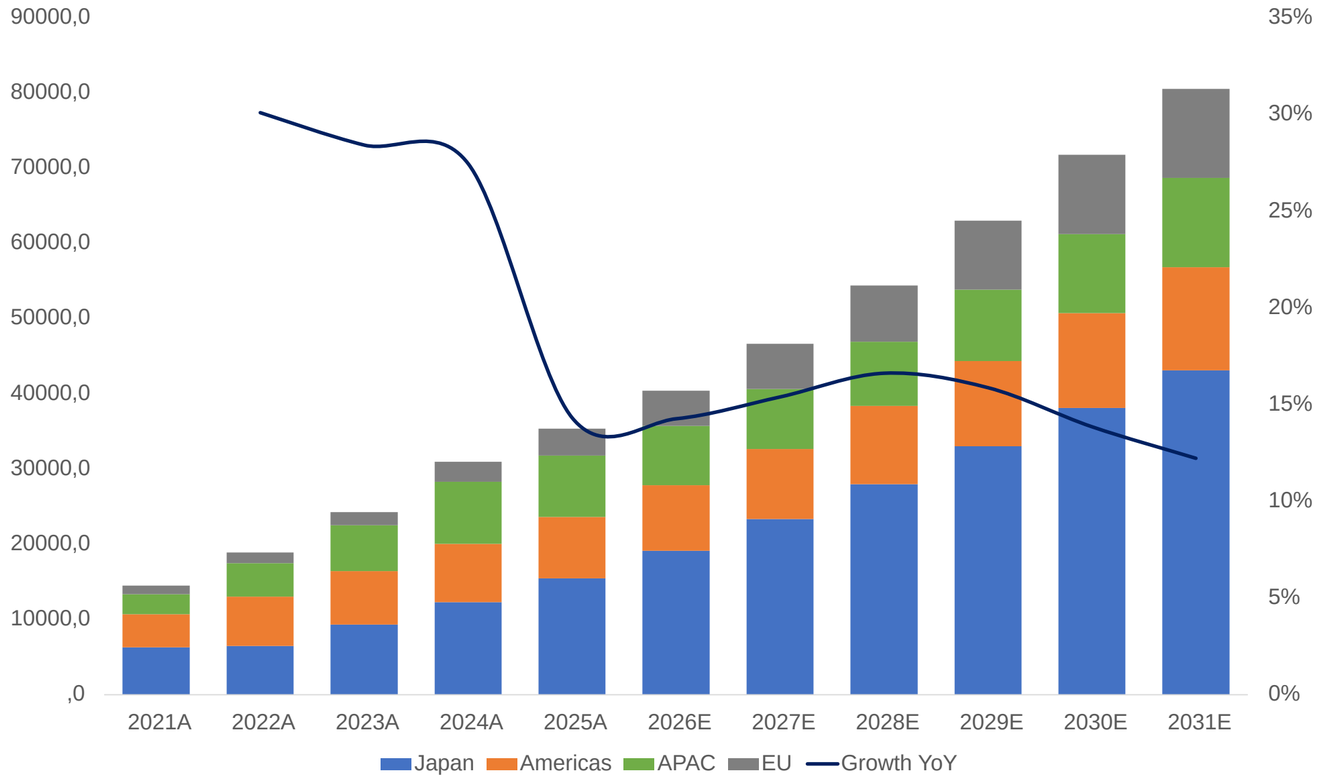
Americas
9% CAGR

APAC
6.4% CAGR

Geographic expansion

Service-mix upgrade

Larger contract conversion



Revenue Assumptions

2 Domestic Technology

AI platforms and **Made-by-FPT** solutions support a **12.0%** Domestic Technology revenue CAGR through 2031E

Domestic Technology revenue is forecast across **four product** and **service groups** and **five deal-size buckets**:

Revenue = Σ (Deal equivalents × Average contract value)

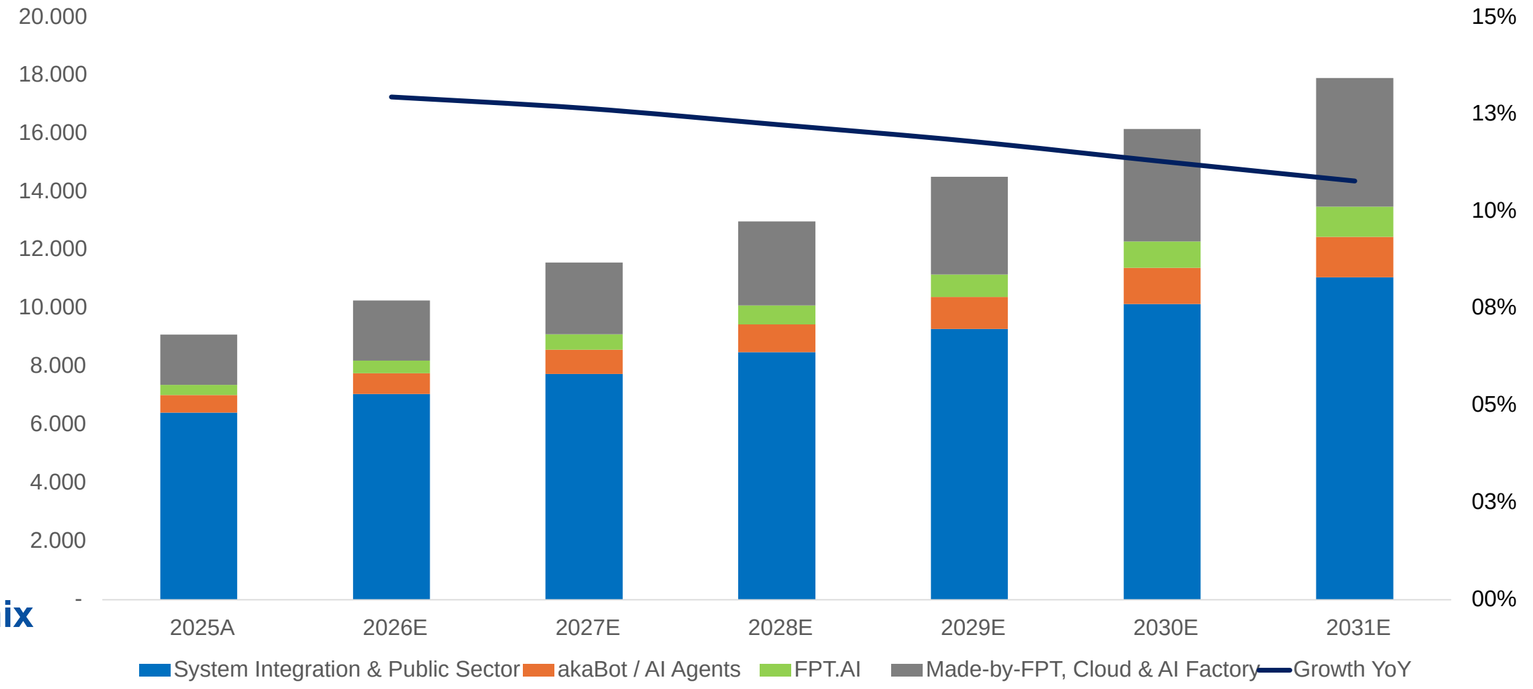
Revenue increases from VND9.1tn in 2025A to VND17.9tn in 2031E.

System Integration & Public Sector
9.5% CAGR

akaBot / AI Agents
15% CAGR

FPT.AI
19.9% CAGR

Made-by-FPT, Cloud & AI Factory
17% CAGR



System integration remains the revenue base

Higher-growth proprietary solutions improve the mix

Deal volume drives most of the growth

Revenue Assumptions

3 Education

Education revenue dips in 2026E before recovering at a **5.0% CAGR** as campus utilization improves

Education revenue is forecast bottom-up across FPT's higher-education, vocational and K–12 campuses:

Revenue = Σ (Designed capacity × Utilization × Net tuition) + Online and enterprise education

Revenue is projected to decline from VND6.1tn in 2025A to VND5.9tn in 2026E, before recovering to VND8.2tn in 2031E.

Designed Capacity
3.5% CAGR

Offline Students
3% CAGR

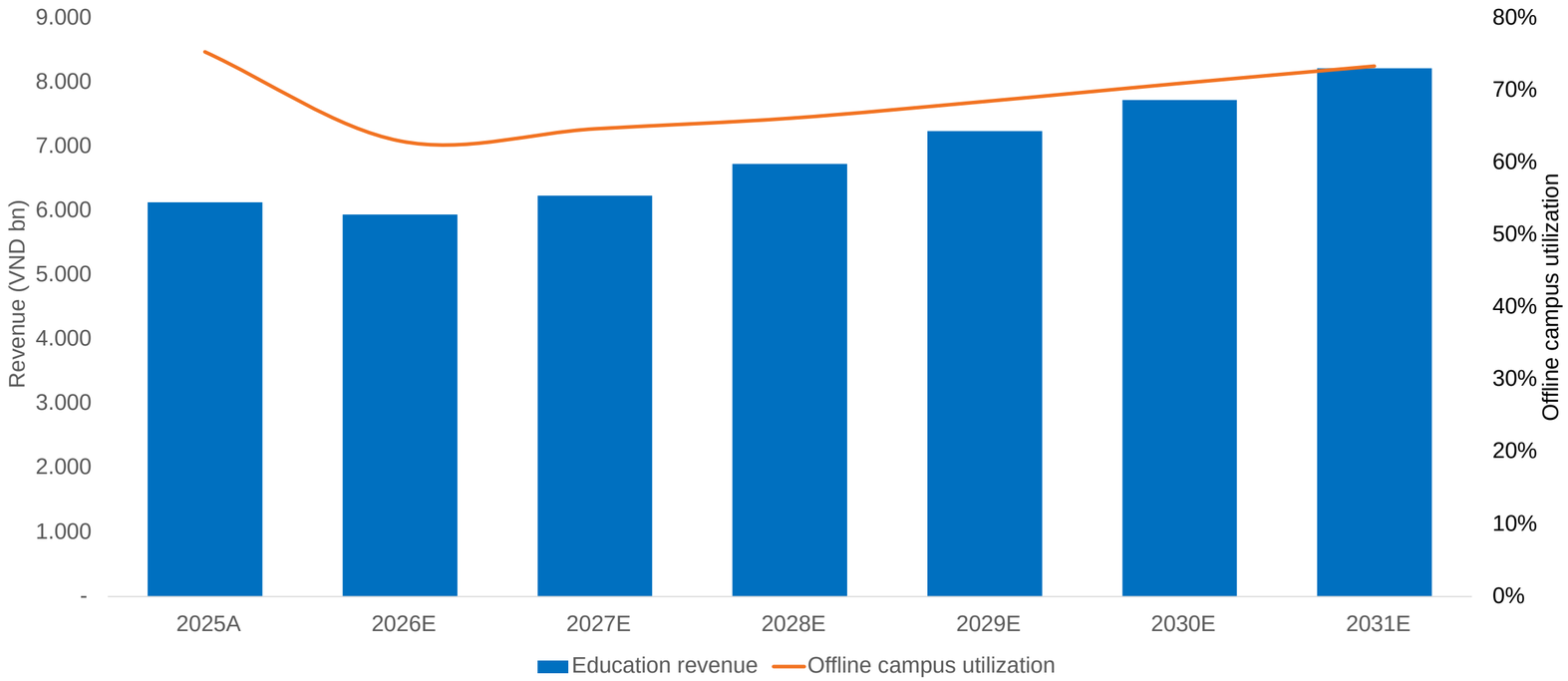
Online Learners
3.3% CAGR

Net tuition/learners
2.2% CAGR

Capacity expansion

Gradual utilization recovery

Conservative tuition assumptions



PBT margin assumptions

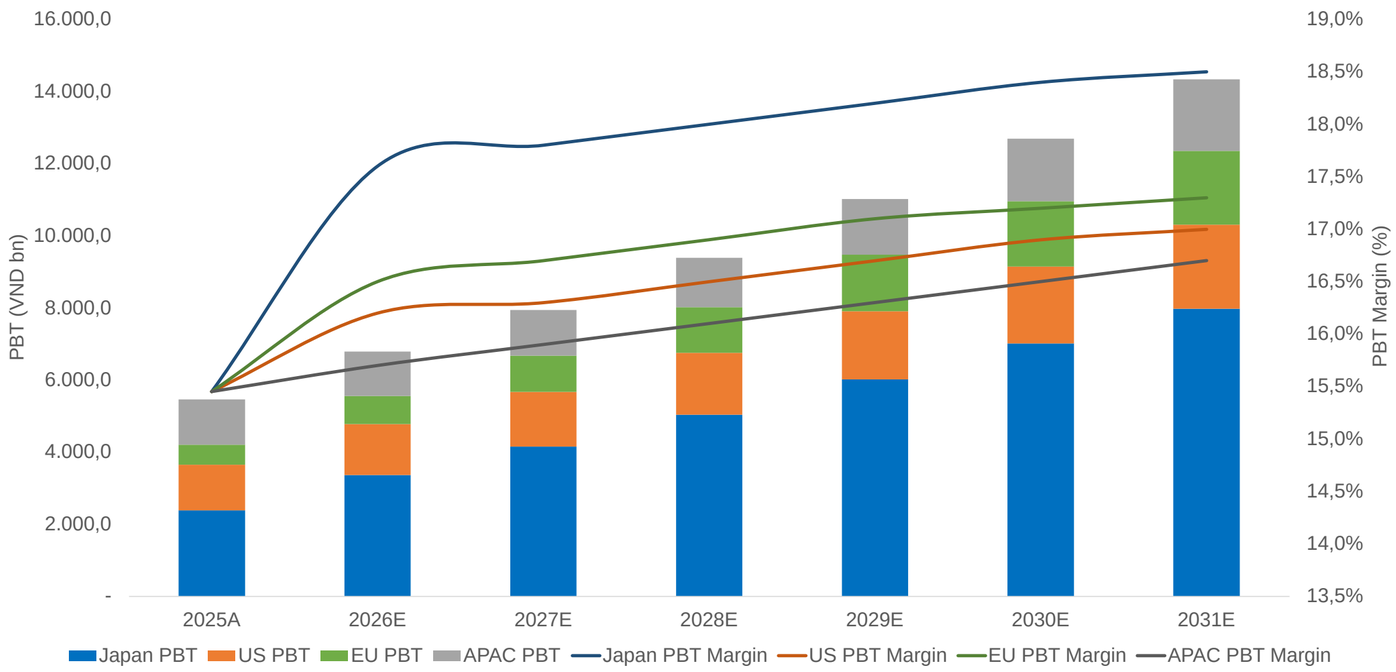
1 Overseas Technology

Foreign Technology PBT margin expands from **15.5%** to **17.8%,** supported by **geographic** and **service-mix improvements**
The forecast applies geography-specific margins to the revenue outlook for Japan, Americas, APAC and Europe.

PBT Margin Assumptions by Market

PBT margin	2025A	2026E	2027E	2028E	2029E	2030E	2031E
Japan	15.45%	17.60%	17.80%	18.00%	18.20%	18.40%	18.50%
Americas	15.45%	16.20%	16.30%	16.50%	16.70%	16.90%	17.00%
APAC	15.45%	15.70%	15.90%	16.10%	16.30%	16.50%	16.70%
Europe	15.45%	16.50%	16.70%	16.90%	17.10%	17.20%	17.30%
Other	15.45%	15.00%	15.10%	15.20%	15.30%	15.40%	15.50%
Weighted foreign margin	**15.45%**	**16.80%**	**17.03%**	**17.26%**	**17.48%**	**17.68%**	**17.80%**

PBT & Margin Assumptions by Market



PBT margin assumptions

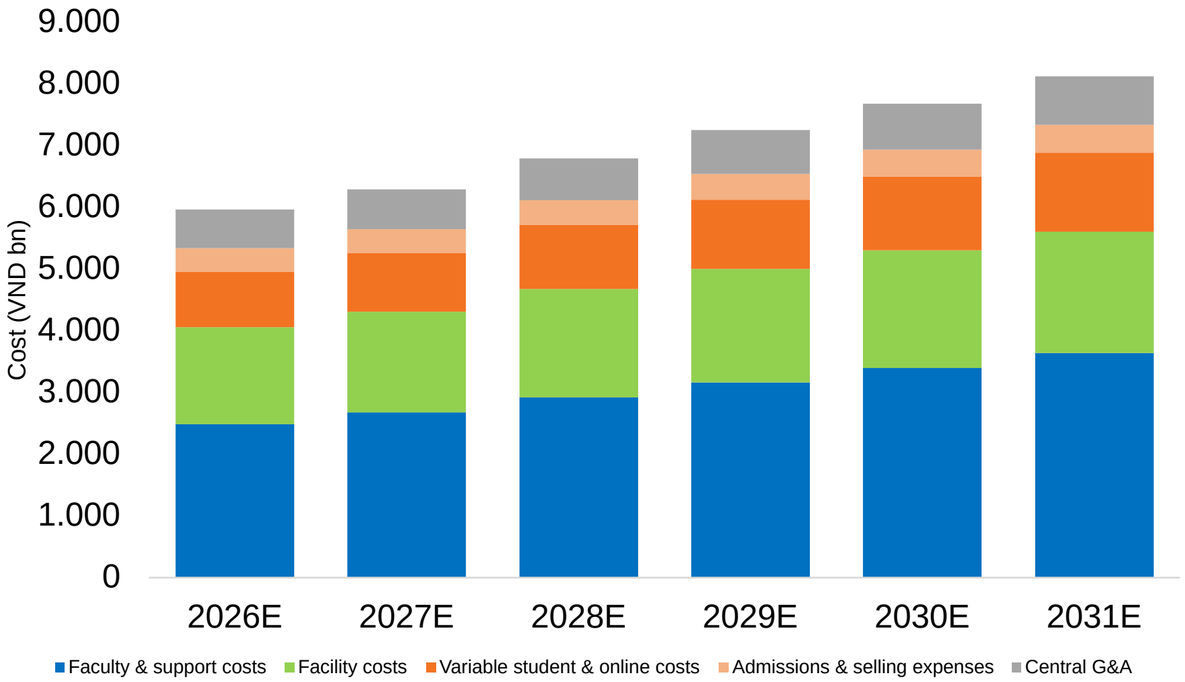
2 Domestic Technology

Domestic Technology PBT margin is projected to recover from 4.6% in 2025A to 7.3% in 2026E and reach 8.2% by 2031E, driven primarily by a higher contribution **from owned products and platforms.**

Product/offering	Economic classification	2026E	2027E	2028E	2029E	2030E	2031E
System Integration & Public Sector	Project-based services	4.20%	4.25%	4.30%	4.35%	4.40%	4.50%
akaBot – license/platform revenue	Pure owned IP / SaaS	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%
FPT.AI – platform/API revenue	Pure owned IP / AI platform	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%
Made-by-FPT – pure software/platform component	Pure owned IP/product	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%
Implementation and customization attached to owned products	Technology services	4.20%	4.25%	4.30%	4.35%	4.40%	4.50%
Cloud & AI Factory – GPU capacity, infrastructure and operations	Owned infrastructure/service offering	4.20%	4.25%	4.30%	4.35%	4.40%	4.50%
Pure-owned share of Domestic revenue	Margin mix driver	15.00%	15.50%	16.00%	16.50%	17.00%	18.00%
Blended Domestic PBT margin	Revenue-weighted output	**7.32%**	**7.47%**	**7.61%**	**7.76%**	**7.90%**	**8.19%**

Education EBIT asumptions

Education Operating Cost Breakdown (2026E–2031E)



Education's EBIT construction

Metric	2025A	2026E	2027E	2028E	2029E	2030E	2031E
Education revenue (VND bn)	6,131.10	5,944.60	6,235.50	6,729.70	7,241.90	7,724.40	8,215.80
Education COGS (VND bn)	4,526.70	4,948.90	5,258.80	5,710.80	6,118.00	6,498.40	6,885.30
Education EBIT (VND bn)	611.2	(14.8)	(52.2)	(64.5)	(13.1)	44.2	98.2
Education EBIT margin	10.00%	-0.20%	-0.80%	-1.00%	-0.20%	0.60%	1.20%

DCF Model

Criteria	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E
EBIT	5.415	6.795	8.452	10.508	10.989	7,858	9,095	10,659	12,483	14,362	16,245
(−) Tax on EBIT	(947)	(1.108)	(1.305)	(1.616)	(1.607)	(982)	(1,182)	(1,439)	(1,748)	(2,082)	(2,437)
NOPAT	4.468	5.686	7.146	8.892	9.382	6,876	7,913	9,220	10,735	12,279	13,808
(+) D&A	1.644	1.833	2.287	2.535	2.914	2,004	2,308	2,648	3,041	3,488	3,983
(−) Capex	(2.911)	(3.215)	(3.978)	(3.275)	(5.098)	(3,746)	(4,263)	(4,902)	(5,608)	(6,326)	(7,054)
Operating NWC	(3.214)	(2.462)	(3.981)	(6.890)	(5.336)	(2,673)	(3,679)	(4,745)	(6,046)	(7,077)	(8,180)
(−) Δ Operating NWC	970	(753)	1.52	2.908	(1.554)	858	1,006	1,066	1,301	1,032	1,103
Full-year FCFF	4.662	3.189	5.817	9.329	5.996	5,720	6,420	7,370	8,763	9,701	11,078
Discount period						0.225	0.949	1.949	2.949	3.949	4.949
Discount factor						0.977	0.908	0.821	0.742	0.67	0.606
Present value of FCFF						2,512	5,832	6,049	6,500	6,502	6,710

DCF Model

WACC assumptions and calculation

Component	Model value	Calculation note
Risk-free rate	4.32%	Vietnamese 5-year government bond yield selected as the risk-free rate
Raw daily beta, five-year period	0.8654	Regression of FPT daily returns against the VN-Index
Adjusted daily beta	0.9103	Blume adjustment: 2/3 β+1/3
Vietnam ERP	7.92%	Mature-market ERP of 4.20% plus Vietnam country risk premium of 3.724% (Damodaran 7/26)
Cost of equity (K_e)	11.54%	4.323%+0.9103×7.924%
Market capitalisation (E)	VND 120,860.0 bn	Current market capitalisation
Interest-bearing debt (D)	VND 16,096.4 bn	Short-term debt plus long-term debt
Total capital (V)	VND 136,956.4 bn	E+D
Equity weight (E/V)	88.25%	E/(E+D)
Debt weight (D/V)	11.75%	D/(E+D)
Pre-tax cost of debt	4.73%	TTM interest expense divided by average debt
Effective tax rate	13.33%	TTM income tax divided by TTM pre-tax income
After-tax cost of debt	4.10%	K_d (1-T)
WACC	**10.66%**	W_e K_e+W_d K_d (1-T)

DCF Model

DCF Target price

Cumulative present value of FCFF	34,104.60
Terminal value	148,929.20
Present value of terminal value	85,748.20
Enterprise value	119,852.80
Less: short-term debt	(11,810.2)
Less: long-term debt	(1,752.5)
Plus: cash and cash equivalents	9,808.70
Plus: short-term investments	17,252.50
Less: NCI	(1,170.0)
Plus: associate and financial investment stakes	38,761.00
Equity value	**170,942.20**
Diluted shares outstanding (mn)	1,714.30
Implied value per share (VND)	**99,714**

SOTP Model

Technology Peers

Company	Ticker	TTM P/E
Tata Consultancy Services	TCS.NS	15.87x
Infosys	INFY.NS	14.43x
Wipro	WIPRO.NS	14.23x
HCL Technologies	HCLTECH.NS	18.39x
Tech Mahindra	TECHM.NS	27.97x
LTIMindtree	LTIM.NS	24.68x
Cognizant	CTSH	9.25x
Coforge	COFORGE.NS	35.09x
Mphasis	MPHASIS.NS	24.54x
Persistent Systems	PERSISTENT.NS	43.28x
Median TTM P/E — Technology		21.47x

Telecom Peers

Company	Ticker	TTM P/E
Telekom Malaysia	TM.KL	18.16x
Converge ICT	CNVRG.PS	6.08x
Megacable	MEGA.MX	17.77x
TIME dotCom	TIMECOM.KL	25.50x
Median TTM P/E — Telecom		17.97x

Education Peers

Company	Ticker	TTM P/E
Cogna Educação	COGN3.SA	6.56x
New Oriental Education	EDU	18.20x
Zee Learn	ZEELEARN.NS	7.34x
China YuHua Education	6169.HK	1.71x
Median TTM P/E — Education		6.95x

SOTP Model

Segment / asset	Earnings / value basis	Median P/E	Discount / premium	Target P/E	Ownership	Target equity value
Software Outsourcing / Foreign IT	7,177.90	21.5x	25%	16.1x	100%	115,554.40
Domestic IT	780.4	21.5x	44%	12.0x	100%	9,380.90
Education	528.1	6.95x	(44%)	10.0x	100%	5,285.70
FPT Telecom (FOX)	Market value: 48,389.0	—	—	—	45.70%	22,092.60
FPT Retail (FRT)	Market value: 19,633.9	—	—	—	46.50%	9,137.60
Synnex FPT	2026E NPAT: 544.0	—	—	10.0x	48.00%	2,611.20
FPT Online	Market value: 1,317.0	—	—	—	49.50%	652.2
TPBank (TPB)	Market value: 41,888.1	—	—	—	6.80%	2,835.80
FPT Securities (FTS)	Market value: 9,223.7	—	—	—	15.50%	1,431.50
Holdco net cash	Parent-only net cash	—	—	—	—	2,263.00
Equity value before conglomerate discount						171,245.00
Conglomerate discount			10%			(17,124.5)
Total equity value						154,120.50

SOTP Model

Foreign IT - 25% discount - Target P/E: 16.1x

- Smaller
- More geographically concentrated
- Less exposed to high-end consulting and proprietary platforms
- Stronger growth
- Rising cloud, data and AI mix
- Expanding large-deal pipeline

Domestic IT - 44% discount - Target P/E: 12x

- Earnings rely on system integration, public-sector projects & third-party hardware and software
- Earnings quality and profitability remain materially below Foreign IT
- Lower scalability
- **Fast-growing Made-by-FPT ecosystem**
  improve revenue quality and reduce dependence on project-based services.

Education - 44% premium - Target P/E: 10x

- Small and heterogeneous peer set
- Understates FPT Education's stronger brand
- Integrated education network and technology-focused positioning
- Margin pressure from campus expansion and demographic headwinds

Total SOTP equity value	154,120.50
Diluted shares outstanding (mn)	1,714.30
Implied SOTP value per share	VND 89,902
Current market price	VND 70,600

Sensitivity

FPT's margin risk–reward is asymmetric: downside protection matters more than upside capture.

Only a combined demand slowdown and cost shock materially threatens IT margin

Cost ↓ \ Revenue →	(5.0%)	(2.5%)	-	2.50%	5.00%
(10.0%)	19.40%	21.40%	23.40%	25.30%	27.00%
(5.0%)	14.90%	17.10%	19.10%	21.10%	23.00%
-	10.40%	12.70%	**14.90%**	17.00%	18.90%
5.00%	5.90%	8.30%	10.60%	12.80%	14.90%
10.00%	1.40%	4.00%	6.40%	8.70%	10.80%

Japan scale offers moderate margin upside, but cost discipline remains the key driver.

FPT Japan CAGR ↓ / Current share →	1.04%	1.14%	1.24%	1.34%	1.44%
14.65%	17.38%	17.65%	17.90%	18.13%	18.34%
16.65%	17.69%	17.96%	18.20%	18.43%	18.64%
18.65%	17.99%	18.25%	**18.50%**	18.73%	18.93%
20.65%	18.28%	18.55%	18.79%	19.02%	19.23%
22.65%	18.57%	18.83%	19.08%	19.30%	19.51%

Sensitivity

Technology-cycle peer margins serve as a relative factor for stress-testing FPT's IT pre-tax margin.

Each technology cycle is treated as a distinct industry-margin environment. Peer EBT margins are normalized against the current **GenAI cycle.**

2005-2009
Offshoring & ERP Boom

2010-2014
SMAC & post-GFC

2015-2019
Cloud & Digital (DX)

2020-2022
Pandemic Digital Sprint

2023-2026
Generative AI

Technology cycle	Peer EBT margin	Factor vs GenAI
Offshoring & ERP Boom	21.80%	1.31x
SMAC & post-GFC	21.30%	1.28x
Cloud & Digital (DX)	19.30%	1.16x
Pandemic Digital Sprint	18.00%	1.08x
Generative AI	16.60%	1.00x

Sensitivity

Technology-cycle peer margins serve as a relative factor for stress-testing FPT's IT pre-tax margin.

Total Technnology PBT Margin

Technology cycle \ Pass-through	0%	25%	35%	50%	75%	100%
Offshoring & ERP Boom (2005–2009)	14.90%	16.00%	16.50%	17.20%	18.30%	19.50%
SMAC & post-GFC (2010–2014)	14.90%	15.90%	16.30%	17.00%	18.00%	19.00%
Cloud & Digital (DX) (2015–2019)	14.90%	15.50%	15.70%	16.10%	16.70%	17.20%
Pandemic Digital Sprint (2020–2022)	14.90%	15.20%	15.30%	15.50%	15.80%	16.10%
Generative AI (2023–2026) — Base	14.90%	14.90%	14.90%	14.90%	14.90%	14.90%

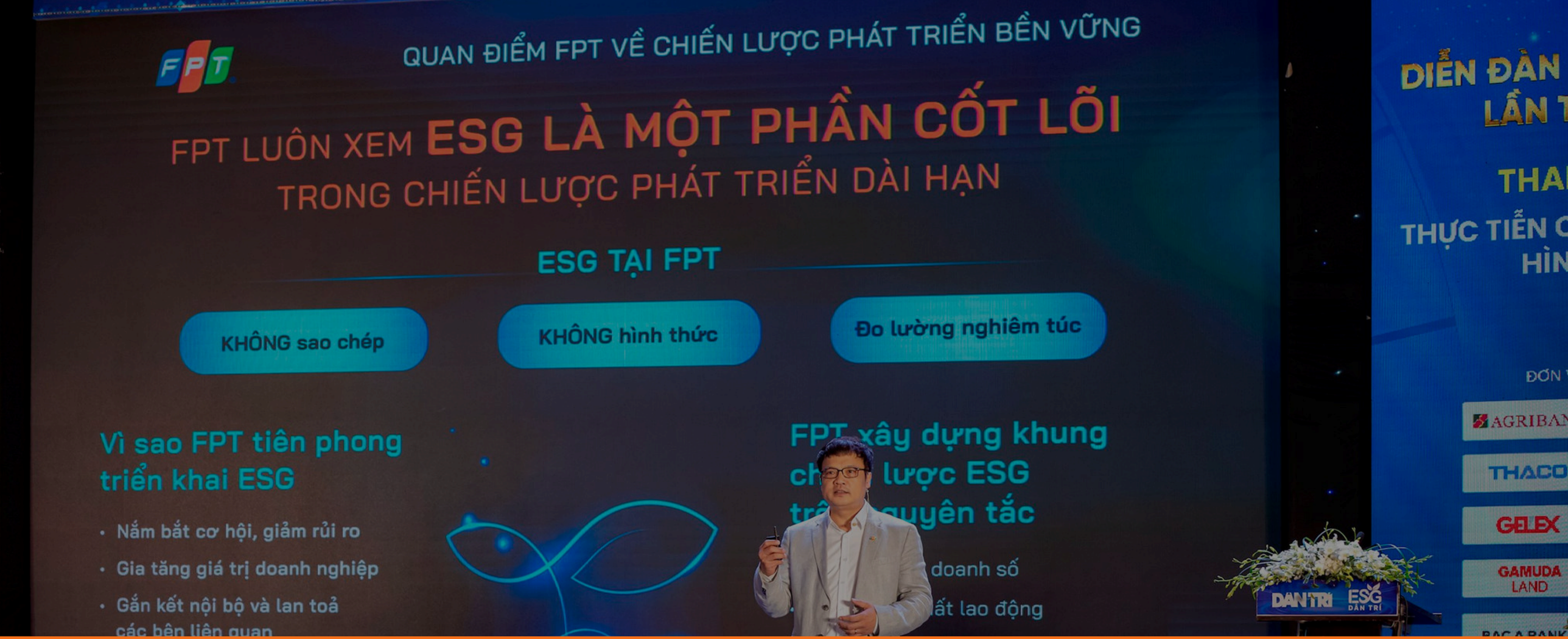
Domestic Technnology PBT Margin

Technology cycle \ Pass-through	0%	25%	35%	50%	75%	100%
Offshoring & ERP Boom (2005–2009)	7.30%	7.90%	8.10%	8.50%	9.00%	9.60%
SMAC & post-GFC (2010–2014)	7.30%	7.80%	8.00%	8.30%	8.90%	9.40%
Cloud & Digital (DX) (2015–2019)	7.30%	7.60%	7.70%	7.90%	8.20%	8.50%
Pandemic Digital Sprint (2020–2022)	7.30%	7.50%	7.50%	7.60%	7.80%	7.90%
Generative AI (2023–2026) — Base	7.30%	7.30%	7.30%	7.30%	7.30%	7.30%

Foreign Technnology PBT Margin

Technology cycle \ Pass-	0%	25%	35%	50%	75%	100%
Offshoring & ERP Boom	16.80%	18.10%	18.60%	19.40%	20.70%	22.00%
SMAC & post-GFC (2010–	16.80%	18.00%	18.40%	19.10%	20.30%	21.50%
Cloud & Digital (DX) (2015–	16.80%	17.50%	17.70%	18.10%	18.80%	19.50%
Pandemic Digital Sprint	16.80%	17.10%	17.30%	17.50%	17.80%	18.20%
Generative AI (2023–2026) —	16.80%	16.80%	16.80%	16.80%	16.80%	16.80%

Applying historical peer-margin cycles as a relative factor indicates the greatest margin sensitivity in **Overseas IT.**



APPENDIX F

ESG

ESG Scorecard (E)

Pillar	Theme	Key Issue	Weight	Risk Exposure	Exposure Score	Max	Risk Management	Management Score	Max	Key Issue Score	Key Theme Score	Key Pillar Score
E	**Climate Change**	Climate Targets & Emissions Performance	33.33%	FPT has moderate-to-high exposure to carbon emissions because its data centers, office campuses and telecom infrastructure rely heavily on grid electricity. In 2025, total GHG emissions reached 127,952 tCO_2e, of which Scope 2 represented approximately 96%.	7	10	Total Scope 1 and 2 emissions decreased 10.9% YoY despite an 11.6% increase in revenue, demonstrating improving carbon efficiency. FPT has committed to Net Zero by 2040. However, Scope 3 emissions remain in the pilot-research stage, and the company does not yet have an SBTi-validated target.	4	10	4.5	4.5	**4.67**
	Resource Efficiency	Data-Centre Energy & Water Efficiency	33.33%	Expansion of data-center capacity and telecom infrastructure increases electricity and water demand. FPT therefore has a higher physical environmental footprint than pure-play IT service peers.	6	10	Total water consumption increased by only 0.48% during a period of operational expansion. Nevertheless, FPT does not disclose facility-level PUE, WUE or renewable-power usage metrics, limiting comparison with leading global data-center operators.	6	10	6.5	6.5	
	Environmental Opportunities	Renewable Energy & Transition Execution	33.33%	FPT remains highly exposed to the transition toward low-carbon electricity because renewable energy accounts for only approximately 0.45% of total power consumption. Its 2026 renewable-electricity target of 2.5% remains significantly below major technology peers.	8	10	FPT has introduced the VertZero platform, adopted energy-efficient solutions and developed EDGE-certified buildings. However, renewable-energy deployment remains limited, the transition target lacks ambition, and the company has not quantified green revenue generated from its environmental solutions	3	10	3	3	

Appendix F - ESG

ESG Scorecard (S)

Pillar	Themes	Key Issues	Weight	Risk Exposure	Score	Risk Management	Score	Quant. Exposure	Management	Key Issue Score	Key Theme Score	Key Pillar Score
S	**Human Capital**	Employee Retention	16.67%	FPT's IT-services model is highly dependent on skilled engineers and digital talent. Voluntary attrition increased sharply from 10.0% in 2024 to 15.4% in 2025, exceeding the company's internal threshold of below 14%, the peer median of 13.4% and LTIMindtree's 14.4%. Persistent employee turnover could increase recruitment costs, weaken project continuity and constrain delivery capacity.	8	FPT provides competitive compensation, internal career mobility and extensive employee-development programs. However, the company relaxed its 2026 voluntary attrition target to below 15%, effectively accepting a structurally higher turnover level. FPT also does not disclose an employee Net Promoter Score or equivalent engagement metric.	5	8	5	4.5	6.83	**7.5**
		Training & Digital Upskilling	16.67%	Rapid technological change, particularly in AI, cloud and cybersecurity, creates substantial reskilling requirements. A shortage of relevant technical capabilities could reduce employee productivity and limit FPT's ability to execute higher-value digital-transformation contracts.	7	FPT delivered approximately 7.1 million training hours, equivalent to 151 hours per employee, substantially above the 40–96 hours reported by peers. This included 1.1 million hours of AI-specific training, with approximately 98% employee completion, indicating strong preparation for AI-related service demand.	9	7	9	9	6.83	
		Workforce Diversity	16.67%	FPT operates across multiple international markets and requires a diverse workforce to serve customers across different industries, languages and cultures. Limited diversity in senior leadership could constrain talent development and decision-making perspectives.	5	Women represent 37.7% of FPT's total workforce and 36.4% of management, broadly in line with major technology peers. However, FPT provides limited disclosure regarding pay-equity outcomes, promotion rates and board-level diversity, reducing visibility into the effectiveness of its inclusion policies.	7	5	7	7	6.83	
	Data Privacy & Security	Data Security Controls	16.67%	FPT handles sensitive information for financial institutions, Japanese and US enterprise customers, government-related clients and direct subscribers of its Telecom business. A major breach could result in financial penalties, client losses and reputational	9	FPT maintains a strong certification framework, including ISO/IEC 42001:2023 for AI governance, ISO/IEC 27001, PCI DSS, SOC 2, ISO 22301 and HITRUST. ISO 42001 certification places FPT ahead of many peers in formal AI-risk and governance controls.	9	9	9	8	8.17	
		Security Incident Management	16.67%	FPT's growing cloud, telecom, managed-services and digital-platform operations increase its potential attack surface. Cyber incidents could disrupt client operations and expose commercially sensitive information.	8	FPT reported zero security incidents with a material reputational impact in 2025. In addition, 100% of employees completed phishing-simulation exercises, supporting strong employee awareness and reducing risks associated with social-engineering attacks.	9	8	9	8.5	8.17	
		Customer Privacy	16.67%	FPT collects and processes personal information through its telecommunications, retail, education and digital-service operations. Customer-facing activities create decentralized data-handling risks, including potential employee misconduct or unauthorized access.	9	FPT applies internal data-sharing restrictions, encryption controls and compliance measures aligned with Vietnam's Decree 13 on personal data protection. However, a 2021 incident involving unauthorized copying of customer data during device repair at FPT Shop demonstrates residual privacy risks within customer-facing subsidiaries. FPT subsequently terminated the employees involved.	8	9	8	8	8.17	

ESG Scorecard (G)

Pillar	Theme	Key Issues	Key Highlights of FPT	Key Issue Score	Key Theme Score	Key Pillar Score
G	Corporate Governance	Board Independence	Chairman–CEO roles are separated; 3/7 directors are independent, below the 50% benchmark.	6.5	6.7	7.45
		Board Diversity	Only 1/7 directors is female; no Board skills matrix is disclosed.	5	6.7	
		Ownership & Voting	Dispersed ownership and one share class support minority-shareholder rights.	8	6.7	
		Executive Pay Alignment	Founders receive no Board pay, but pay ratios and say-on-pay results are undisclosed.	6.5	6.7	
		Audit & Assurance	PwC audits financial statements, while ESG data lacks independent assurance.	7.5	6.7	
	Corporate Behavior	Business Ethics	All managers received anti-corruption training; no major misconduct was reported.	8	7.5	
		Whistleblower Policy	FPT operates the iName channel but does not disclose case-resolution statistics.	7	7.5	
	Technology Governance	Responsible AI	ISO/IEC 42001 certification demonstrates industry-leading AI governance.	9	8.67	
		Technology Resilience	ISO 22301 supports continuity, although AI infrastructure carries utilization and capex risks.	8.5	8.67	
		Data Privacy Governance	Strong security certifications and group-wide data standards support data protection.	8.5	8.67	

Board of Directors

Name & Position	Since	Prior Board Experience?	Background
Truong Gia Binh Chairman	1988	Yes	Co-founder of FPT (1988) and Chairman throughout; sets group strategy and core-technology direction. Also a board member of FPT Telecom, Chairman of FPT Education's members' council, and a member of the FPT University council. Executive (non-independent) director.
Bui Quang Ngoc Vice Chairman	1988	Yes	Co-founder; led the modernization of FPT's governance. Owner of BQ Real Estate Co. and a member of the FPT University council. Executive (non-independent) director.
Do Cao Bao Member	1988	Yes	Co-founder; 30+ years in IT. Major shareholder of BDM Investment & Trading JSC and a board member of FPT Danang Urban JSC. Executive (non-independent) director.
Jean-Charles Belloil Independent Director	2017	Yes	Brings over 40 years of corporate finance expertise. Previously First Vice President at Crédit Lyonnais Japan, Country Manager at Crédit Lyonnais Vietnam and Calyon Corporate and Investment Bank, and Head of Foreign Direct Investment at Vietnam International Bank. French Commercial Counsellor since 2002.
Hiroshi Yokotsuka Independent Director	2022	Yes	Brings nearly 50 years of IT industry experience. Previously Director at Tokio Marine & Nichido Fire Insurance and Tokio Marine & Nichido Systems, Chairman of the Japan IT Services Industry Association, and President of CeFIL.
Hampapur Itangadore Binod Independent Director	2022	Yes	Spent approximately 28 years at Infosys, rising to Executive Vice President and Global Head of Talent and Technology Operations. Previously Senior Engineer at MICO BOSCH India, Chief Advisor of FPT Software, and Head of FPT India until April 2025.
Tran Thi Hong Linh Member	2022	Yes	Served at the State Capital Investment Corporation (SCIC) since 2010, currently Deputy Head of Investment Department. Previously represented state capital at Hapharco and Vocarimex, and served on the FPT Telecom board until December

Board of Management

Name & Position	Years of Industry Experienc	Background
Nguyen Van Khoa Chief Executive Officer	29	Khoa was appointed CEO of FPT Corporation in March 2019. He joined FPT in 1997 and held senior operating roles, including CEO of FPT Telecom from 2012 and CEO of FPT Information System in 2018. He currently serves as Chairman of the Vietnam Software and IT Services Association (VINASA).
Nguyen The Phuong Deputy CEO & CFO; Chairman, FPT Smart Cloud	25	Phuong brings over 20 years of experience in finance and pioneered the digitalization of FPT's financial management systems, helping FPT become one of the earliest VN30 companies to publish financial statements. He has also served as Chairman of FPT Smart Cloud since August 2020.
Pham Minh Tuan Deputy CEO; CEO, FPT Software	29	Served as CEO of FPT Software since 2018 and was appointed Deputy CEO of FPT Corporation in 2024. He currently leads FPT Railway Mobility since December 2025 and oversees the Technology Steering Committee covering Quantum AI and Cyber Security.
Nguyen Xuan Phong Chief AI Transformation Officer;	15	Director of AI at FPT Software since August 2019 and appointed Group CTO in March 2026. He holds a PhD in AI from the University of Tokyo and an MS from Carnegie Mellon, and has led FPT to five international AI patents.
Hoang Huu Chien Chief Accountant	25	Chien previously worked as CFO and Chief Accountant at TienPhong Bank and has served as Chief Accountant at FPT Corporation since 2011.
Nguyen Xuan Viet Chief Information Officer	28	Viet was appointed CIO of FPT Corporation in 2017 and has built the company's cyber-attack defence and information-security systems.
Chu Quang Huy Chief Human Resources Officer	13	Huy joined FPT in 2012 and held several roles at FPT Retail, including Vice Director and Director of the Online Business Center, before being appointed Chief Human Resources Officer at FPT Corporation in March 2019.
Pham Thi Quynh Vi Chief Quality Officer	21	Vi joined FPT in 2004 and built her career within FPT Software's quality operations, progressing through Quality Officer, Quality Assurance Department Head, and Head of Quality Assurance and Control. She has served as Chief Quality Officer since June 2021.
Mai Thi Lan Anh Chief Communications Officer	21	Lan Anh has served as the company's official information-disclosure officer since 2021 and was appointed Chief Communications Officer in August 2024. She previously held the position of Deputy Director of Marketing and Communications from 2001 to 2024.

APPENDIX G

INVESTMENT RISKS

F1 | FOREIGN FLOW AND MULTIPLE COMPRESSION

FPT: Monthly Foreign Investor Buy/Sell Volume (Million Shares)

Numeric YYYYMM month labels for Canva import · Data through 09 Jul 2026 · Source: FiinProX

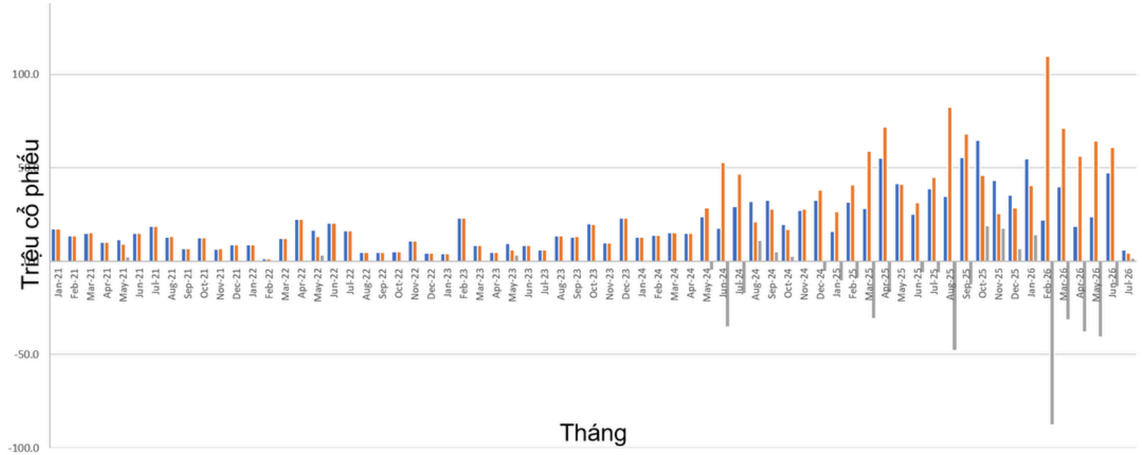
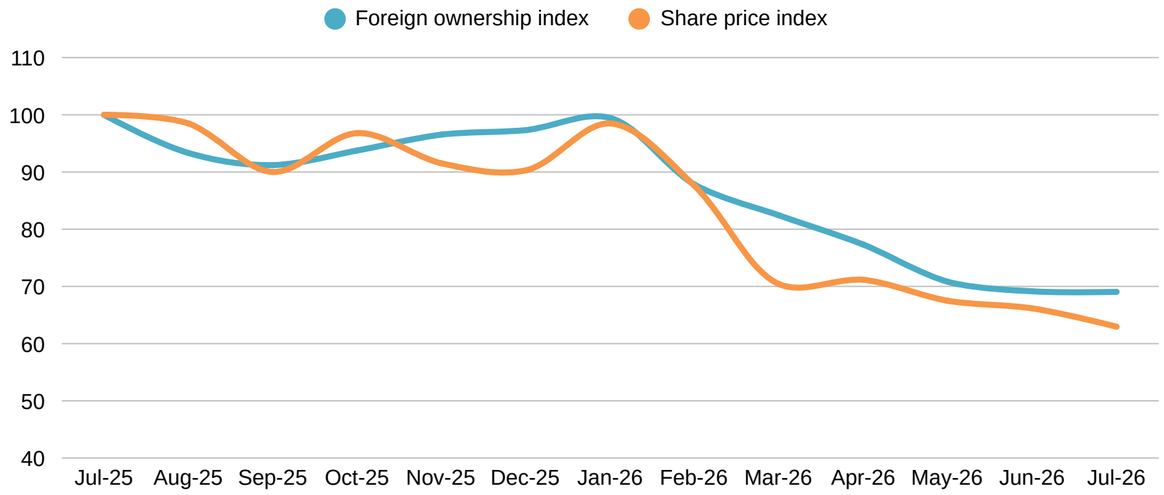


Fig. R14: Ownership and FPT price (Jul-25=100)



Macro & FX Headwinds

Elevated USD rates and a strong dollar raised the hurdle for EM allocations, pressuring FPT's valuation multiple.

Liquidity & Positioning

Large-cap status made FPT a preferred funding source during redemptions; compounded by profit-taking after years of outperformance and an extended period at full foreign room.

Fundamental Re-rating

AI is eroding FPT's labor-arbitrage edge, driving a quality re-rating and capital rotation. Telecom accounting and moderating 2025 growth triggered screen exits

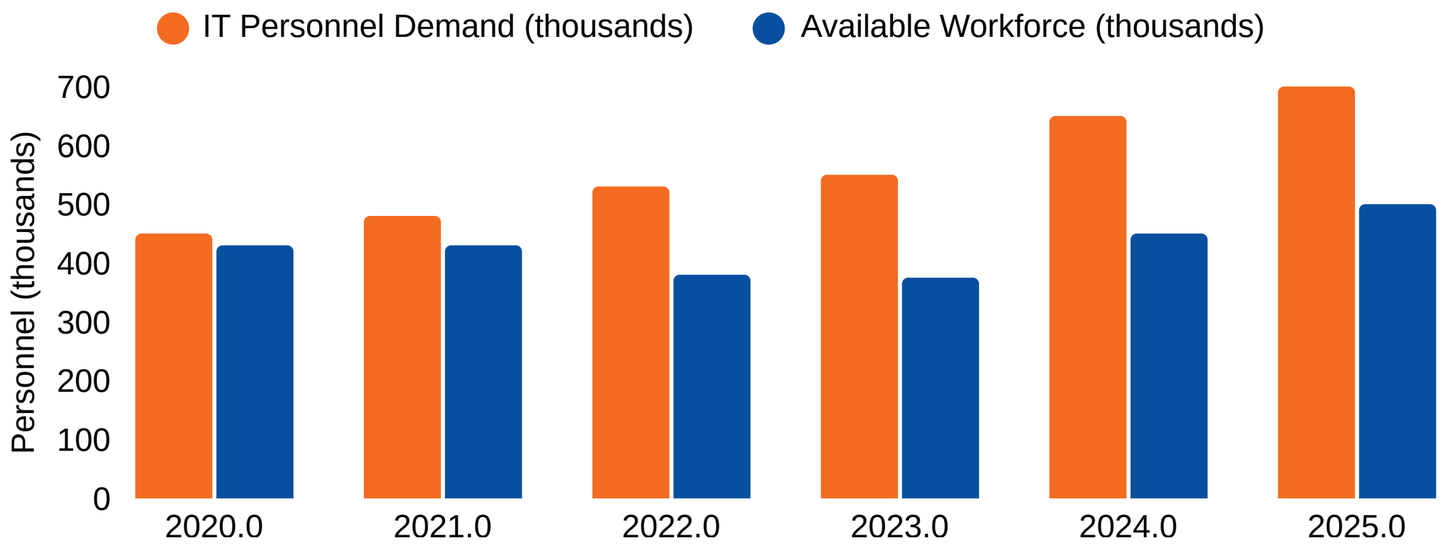
A1 AI PRICING

2026E TOTAL TECHNOLOGY PBT MARGIN

Pass-through ↓ / Productivity →	15.00%	20.00%	26.00%	32.00%	38.00%
35.00%	14.76%	14.96%	15.19%	15.41%	15.64%
45.00%	14.67%	14.84%	15.03%	15.23%	15.42%
55.00%	14.58%	14.72%	**14.88%**	15.04%	15.20%
65.00%	14.49%	14.59%	14.72%	14.85%	14.98%
75.00%	14.39%	14.47%	14.56%	14.66%	14.75%

S1 | WORKFORCE SHORTAGE

Vietnam IT Talent Gap: Demand vs. Available Workforce (2020-2025)



2031E TECHNOLOGY PBT MARGIN					
Senior poaching ↓ Revenue-at-risk multiplier →	0.50x	0.75x	1.00x	1.25x	1.50x
0.00%	16.05%	16.05%	16.05%	16.05%	16.05%
3.00%	15.87%	15.82%	15.77%	15.72%	15.67%
6.00%	15.68%	15.58%	**15.48%**	15.38%	15.28%
9.00%	15.50%	15.34%	15.19%	15.03%	14.88%
12.00%	15.31%	15.10%	14.90%	14.69%	14.48%

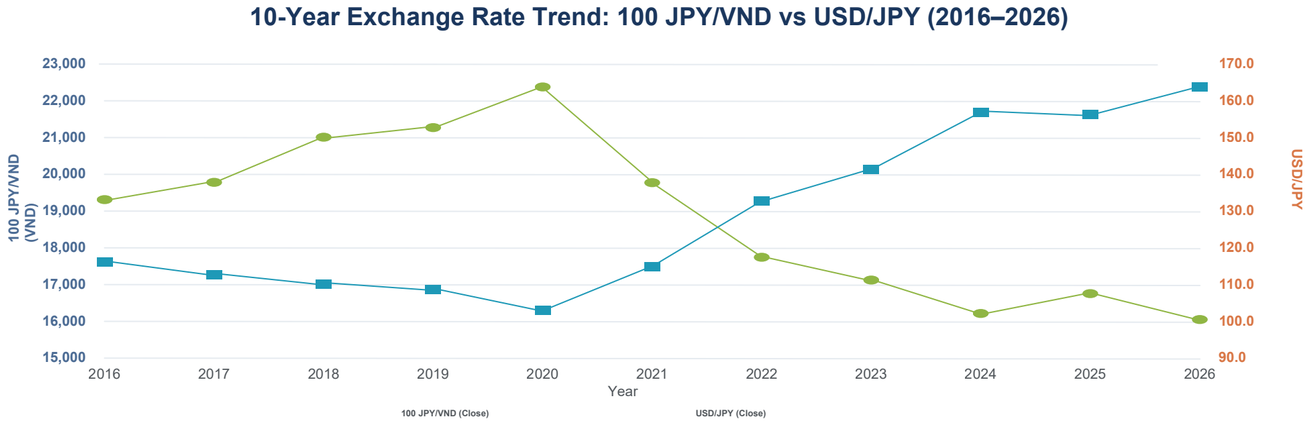
AI Automation Offset

AI automation eases talent shortages by reducing headcount needs.

Captive Talent Pipeline

25% of FPT University graduates join FPT—securing a stable, low-cost talent pipeline.

J1 | JPY TRANSLATION



2026E TECHNOLOGY PBT MARGIN					
JPY move ↓ JPY-cost hedge →	20%	30%	40%	50%	60%
-20%	9.28%	9.95%	10.62%	11.29%	11.97%
-15%	10.76%	11.26%	11.75%	12.24%	12.74%
-10%	12.19%	12.51%	**12.83%**	13.16%	13.48%
-5%	13.56%	13.72%	13.88%	14.03%	14.19%
0%	14.88%	14.88%	14.88%	14.88%	14.88%

28%

JPY/VND Depreciation

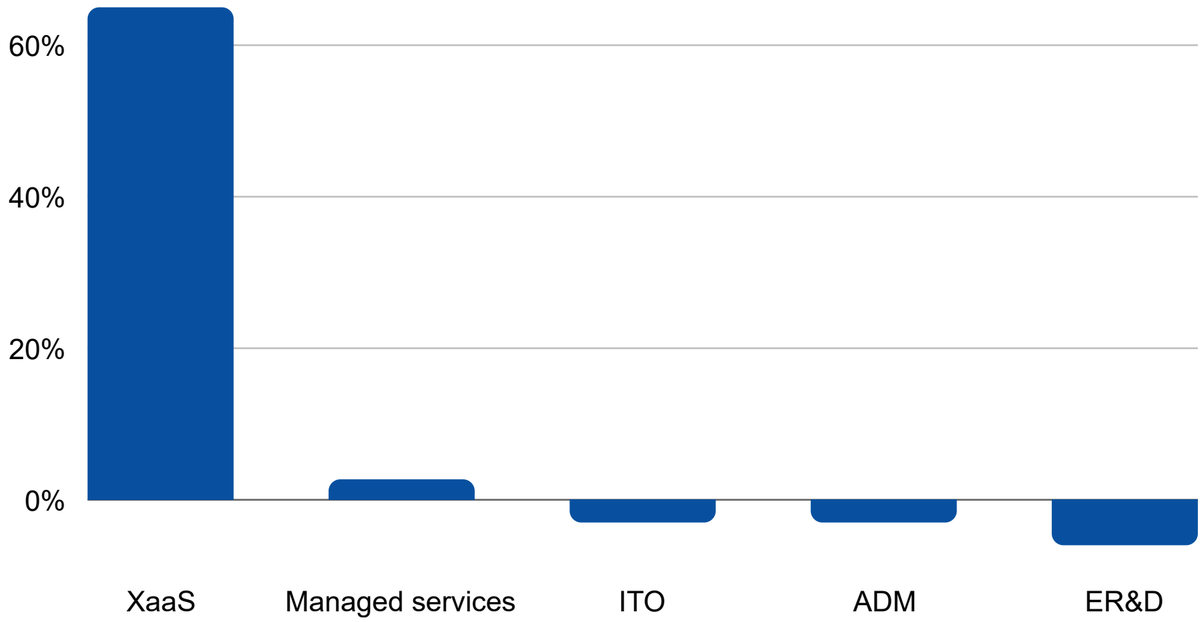
Negatively affect

Yen-denominated revenue.

D1 | DELIVERY DELAY

The risk is not the absence of demand; it is slower conversion of signed work into recognised Global IT revenue.

US spending shifted away from labor-based IT (%)

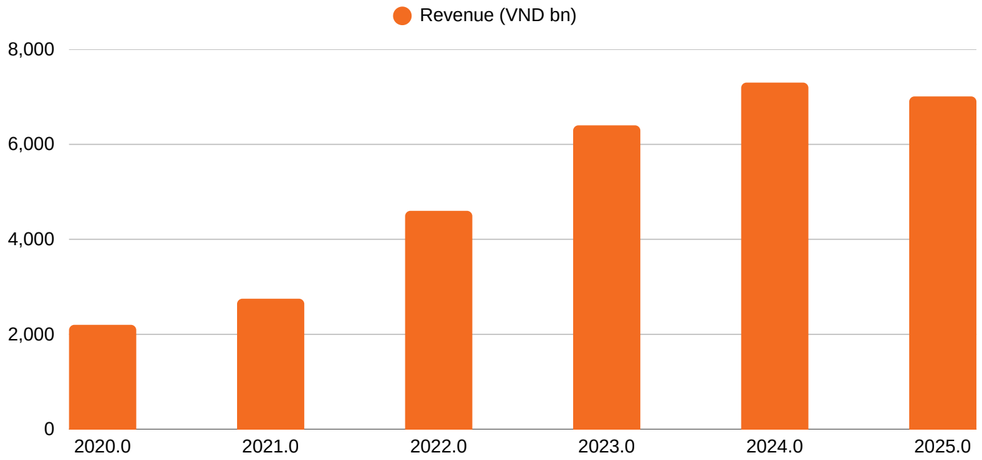


ITO ADM ER&D

Threatens traditional labor revenue of FPT

E1 | EDUCATION-SEGMENT UTILIZATION

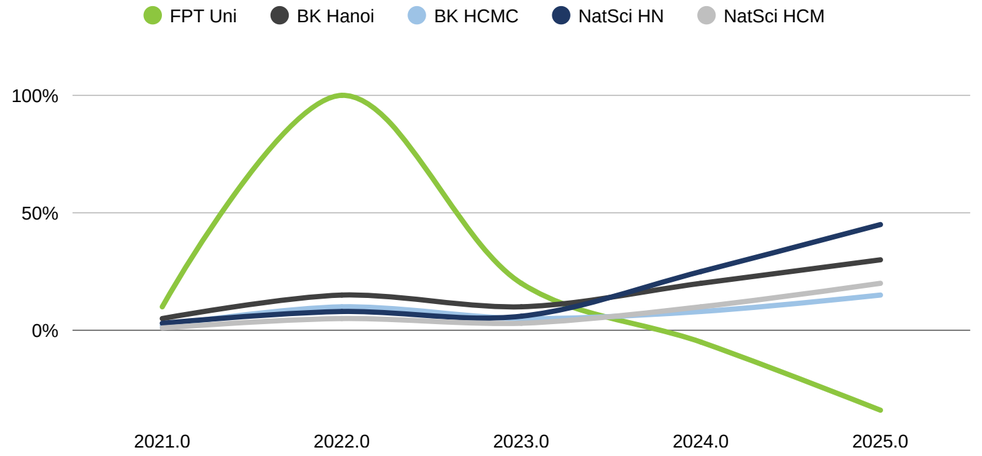
Education revenue growth slows as competition intensifies



Top-Line Contraction

Revenue contracted 1.1% YoY to VND7,009bn in 2025 after tripling 2020–2024, on enrollment softness.

Public universities raised IT quotas in 2024-25



Public Sector Crowding Out

Public tech universities raised IT quotas 15–45% (2023–2025), undercutting FPT on fees and prestige—draining enrollment.